STRATEGY

Selling Latin America: A Problem in International Salesmanship. What to Sell and How to Sell It

Aughinbaugh, William Edmund

SELLING LATIN AMERICA

[Illustration]

SELLING LATIN AMERICA A Problem in International Salesmanship WHAT TO SELL AND HOW TO SELL IT

BY

WILLIAM E. AUGHINBAUGH, M.D., LL.B., LL.M.

Illustrated from Photographs

[Illustration]

BOSTON SMALL, MAYNARD & COMPANY PUBLISHERS

Copyright, 1915

BY SMALL, MAYNARD AND COMPANY

(INCORPORATED)

Printers S. J. PARKHILL & CO., BOSTON, U.S.A.

FOREWORD

I made the acquaintance of Doctor W. E. Aughinbaugh about eight years ago, when I was in charge of the advertising department of a large concern doing an international business. The doctor came with us to look after the export trade, especially in the West Indies and South America. My work naturally brought me into close association with him, and I soon began to appreciate his unusual ability in many directions and his special fitness for the position he occupied. There seemed to be no phase of merchandising in far-off markets with which he was not fully conversant; nor did this knowledge relate solely to Latin America. He had previously travelled the distant markets of the Orient in the interests of an American house whose products he successfully introduced there and to him the Far East was an open book.

He has been in Egypt eight times on business missions. He has travelled Somaliland, Palestine, Asia Minor, Morocco, Tunis, Tripoli, Algiers, South Africa, Persia, Arabia, Afghanistan, Cashmir, Beluchistan, India, Assam, Burma, Siam, China, Cochin-China, Japan, the East Indies and all over Europe with the single exception of Russia. The doctor also spent two years of his restless life in the Far North where a business mission of importance took him into Iceland, Greenland, Labrador, Newfoundland, Cape Breton Island, Prince Edward Island and the Hudson’s Bay Country. As to the West Indies and South America, he has been not only to them, but through them many times and in every habitable spot where business was to be done. Some idea may be gained as to the frequency of his visits to South America by mentioning the fact that he has made thirty-six trips across the Equator.

Dr. Aughinbaugh talks about the markets of foreign countries with the authority of long experience for he has been engaged in these special fields for more than twenty years; yet he is still a young man with a modern viewpoint. He speaks the languages of many countries and speaks them well. His information is first-hand, reliable data gathered on the ground where he lived and worked, whose people he knew and could speak to in their own tongue, not the unreliable, superficial vaporings of some dilettante globe-trotter who has given the high-spots of civilization the “once over” and therefore considers himself a competent authority to write upon the commerce, customs and manners of foreign countries the very languages of which he does not understand without the aid of an interpreter, or who could not find his way back to the railway station or dock without the assistance of a guide.

Doctor Aughinbaugh is no such lightweight. He has not written this book because he believes he knows it all. Left to himself he would never have written it. It was only after repeated urgings on the part of some of his friends who appreciated his ability to write an unusual book, that he consented to undertake the work, and then he did so under protest.

It may be asked with pertinence how a man could travel in the interest of one line and yet be in possession of so much information relating to every other line; or how one could master the intricacies of foreign banking and credits and still attend to his business. The answer to all of this is that no man can successfully negotiate foreign markets unless he is more than a mere “order taker.” As to the doctor’s ability to measure the requirements of a market all the way from cereals to concrete, that may be accounted for by the fact that he is both a physician and a graduate of the law, and while he never practised at the bar to any great extent he did have considerable experience in medicine, a profession which developed a naturally analytical mind, so that he looked at things with the eyes of a student and from the viewpoint of the trained diagnostician. For six years he followed medicine in Latin America, finally giving it up to accept an offer from a large company who compensated him accordingly. His experience in that line alone took him all over the world and the ramifications of the business brought him into close contact with the marketing of nearly every other commodity. But even had this not been so, he is the sort of man who would have sensed a business opportunity because he is naturally a keen observer and everything interests him. He is the type of man who absorbs information; he does not have to be shown—he sees.

Here, then, is a man possessed of a fund of particularly desirable information—especially valuable to-day when Europe is war-mad and, in her sanguinary frenzy, has left open the door of opportunity to peaceful Uncle Sam. Why not put this information in concrete form for the benefit of American commerce?

These considerations were put up to the author by some of his friends who knew him to be a keen, accurate, analytical observer, a writer and a _raconteur_ of more than ordinary ability, and this book was the result.

Probably never—let us fervently hope never for the same reason—will the United States have another opportunity such as the present one, to enter those fruitful fields

to the south, where Europe in general, and Germany in particular, has reaped a golden harvest for so many years.

A careful reading of this book—not a difficult matter, for unlike most works on commerce it is full of lively interest—will be profitable to every business man interested in the subject of Latin America. It will be valuable to those who are equipped or willing to prepare themselves to cope with conditions as they really are, and just as valuable to those who are not, for it may save them from the costly mistakes of experimentation in foreign fields.

MAURICE SWITZER.

New York, March 20, 1915.

CONTENTS

CHAPTER PAGE

I GENERAL REMARKS ON FOREIGN TRADE 1

II BRAZIL 13

III ARGENTINE 31

IV URUGUAY 49

V PARAGUAY 57

VI CHILE 67

VII BOLIVIA 79

VIII PERU 91

IX ECUADOR 106

X COLOMBIA 114

XI VENEZUELA 126

XII CENTRAL AMERICA 138

XIII MEXICO 156

XIV CUBA 168

XV SANTO DOMINGO 176

XVI HAITI 182

XVII PORTO RICO 186

XVIII THE GUIANAS: BRITISH, DUTCH AND FRENCH 191

XIX EUROPEAN POSSESSIONS IN THE WEST INDIES 199

XX FOREIGN TRADE WITH LATIN AMERICA AND HOW IT DEVELOPED 212

XXI METHODS OF DOING BUSINESS 224

XXII THE SALESMAN AND THE CUSTOMER 242

XXIII CUSTOM-HOUSES AND TARIFFS 266

XXIV TRADE MARKS 276

XXV FINANCE AND CREDITS 288

XXVI PACKING AND SHIPPING 311

XXVII ADVERTISING 331

XXVIII RECIPROCITY 345

XXIX HEALTH PRECAUTIONS 368

APPENDIX 377

INDEX 401

ILLUSTRATIONS

PAGE

THE HARBOR OF RIO DE JANEIRO 14

AVENIDA RIO BRANCO AND OPERA HOUSE, RIO DE JANEIRO 28

TAKING PRODUCE TO THE STATION, ARGENTINE 36

GRAIN ELEVATORS, BUENOS AIRES 44

INTERIOR OF A GENTLEMEN’S HAT STORE, ASUNCION, PARAGUAY 60

A COUNTRY STORE IN COLOMBIA 60

VALPARAISO 68

LAKE TITICACA AT PUNO, PERU 86

OROYA LINE, PERU 98

A COMPARISON OF CLIMATES 224

DRYING HIDES AND SKINS IN ARGENTINE 240

AVENIDA CENTRAL, RIO DE JANEIRO 262

CALLE RIVÀDAVIA, BUENOS AIRES 288

A PACK-TRAIN ON THE ANDES TRAIL IN COLOMBIA 312

LLAMAS IN CERRO DE PASCO, PERU 316

CHILEAN INFANTRY. _See page 220_ 340

ADVERTISEMENT OF COGNAC BISQUIT 340

SOUTH AMERICAN APPRECIATION OF ADVERTISEMENTS “MADE IN U. S. A.” 342

THE PLAZA HOTEL IN BUENOS AIRES 368

MAPS

SOUTH AMERICA _Frontispiece_

CENTRAL AMERICA 138

MEXICO 156

THE WEST INDIES 168

SELLING LATIN AMERICA

I GENERAL REMARKS ON FOREIGN TRADE

War completely changes commercial currents. The victor takes the established and profitable trade, leaving to the vanquished the harder lines of business and the development of new fields. This is as true of the first war recorded by history as it will be of the last.

As an illustration of the veracity of this statement it is only necessary to recall our war with Spain. Prior to her defeat, Spain controlled the bulk of the banking and commerce of the Philippines, Cuba and Porto Rico. To her possessions she exported wines, foods, manufactured articles, textiles, drugs, perfumes, canned goods, shoes and hats, receiving in exchange their sugar, tobacco and coffee.

To-day the United States consumes all of these exports, while the requirements of the three countries are supplied by America, which also does their financing through banks organized in these possessions, and capitalized with American money. To be more specific and by way of a concrete example let me mention Cuba, which in 1913 exported $165,000,000 worth of products, all but 15 per cent. of which was taken by the United States, the amount shipped to Spain being about four-tenths of one per cent. During the same period of time she imported goods to the value of $132,000,000 of which we supplied 65 per cent. against Spain’s 8 per cent. Since 1902, Cuba’s foreign commerce has increased 250 per cent. due absolutely to the part played by the United States in the Spanish-American war. The same condition of affairs in exports, imports and other lines is equally true, although not on such a large scale, of course, of the Philippines and Porto Rico.

The Napoleonic wars gave to England the strong position she now occupies in the financial and commercial world. Her bankers and shippers, merchants and manufacturers, with one accord grasped the opportunity that presented itself then and have held the supremacy thus gained for more than a century.

Perhaps it was the recollection of what gave Great Britain her start in this field which led the London _Spectator_ to remark, at the outbreak of war in 1914:

“The present war gives the United Kingdom an excellent opportunity to capture the export and import trade of Germany and Austria-Hungary.”

If England, engaged in the most desperate and expensive war she or the civilized world ever has known, with her enormous resources taxed to their utmost, saw an “opportunity” for trade expansion, how much greater is the chance in this line for an absolutely neutral power, populated with keen business men, and provided by Nature with unparalleled productive possibilities.

The war in Europe developed the most remarkable business situation for the United States ever presented to any nation. The virtual closing of all the doors of the export and import trade of the Old World and the almost total dependence heretofore of the Far East and Latin America, especially, on Europe for finance and trade connections made the war truly the psychological moment for us, as a nation, not only to overcome the lead of the European commercial world, but also to cement by other than ties of business the bonds of friendship due us not only on account of our ideal geographical position, but also because of our similar republican form of government.

By embracing this extraordinary opportunity—apparently almost created for our express benefit, we being the only people able to profit by it—we can make the nations which formerly depended on Europe for support in their trade ventures our business allies, our sincere friends and well-wishers, and at the same time bring about a new trade alignment so that all America will reap the benefit.

Let us briefly consider some of the enormous possibilities of foreign trade in Latin American countries.

Latin America—that is, the countries of Central and South America, together with Mexico, Cuba, Santo Domingo and Porto Rico—comprises twenty distinct states, with a total population of about 65,000,000, a large portion of whom are Indians and half-breeds—a fact which we should not lose sight of in view of the tremendous imports.

Statistics recently compiled by the Pan-American Bureau show that these countries, in 1913, conducted a foreign commerce valued at $2,870,178,575. Of this the imports were $1,304,261,763, and the exports, $1,565,916,812, thus giving Latin America a favorable balance of $261,655,049.

Ten of these countries alone purchased goods to the amount of $961,000,000. Of this sum Great Britain supplied $273,000,000; Germany, $180,000,000; France, $84,000,000; Italy, $54,000,000; Belgium, $47,000,000, and Austria-Hungary, $8,000,000. The United States exported to these ten countries last year $160,000,000 and imported from them $250,000,000. Brazil, in 1913, imported $15,000,000 in textiles alone, of which amount the United States supplied only $500,000. In the same length of time Argentine imported goods to the amount of $468,999,996, of which amount less than 8 per cent, was supplied by this country. The United Kingdom exported to all of Latin America $23,500,000 worth of coal in 1913, the United States,

during the same period of time, $750,000.

Practically the same story in all lines of exports could be told of these countries, demonstrating that individually in nearly all cases the United States is the largest consumer of their raw or finished products and the smallest exporter of the goods they most require.

Fearful that some one may infer after looking at these figures that European countries have preferential duties with Latin America, let me state most emphatically that this is not the case. With one single exception no favoritism is shown any of the trading nations, in the matter of import fees, and in that instance we benefit by it. Brazil makes a decided preferential tariff in favor of some of our goods in view of the fact that we are the largest consumers of her chief product—coffee.

Everyone of these countries is in process of development and expansion. They have in profusion the things the busy world most needs. Their mines are the richest known to man. Some have been worked for thousands of years and are still productive. Their broad fields are destined to make them the granaries of the world. Their miles of pasture lands and their extensive acreage mean that Europe and the United States will depend upon them for meat. Their vast virgin forests are capable of supplying humanity with cabinet and other woods for several centuries. Their trade and imports must therefore increase. It is apparent that they cannot diminish. We cannot as a nation afford to remain indifferent any longer to their possibilities and opportunities.

Very naturally there have been many objections on the part of our business men to going after this trade which all of Europe strained every resource to acquire and control. It was urged that we had all the business we required; that we lacked foreign banking facilities; that our merchant marine was small and inefficient; that to go abroad for trade meant learning new languages, acquiring new customs, opening new accounts, taking more risks. These conditions were equally true when the European merchant decided to enter this field. He met and overcame all these difficulties under far more adverse circumstances than exist for us, to-day. His experience in this territory has charted the path for us to follow, and if we take advantage of the beacons he has erected we shall be saved from many pitfalls.

Latin America with the things the world most requires—wheat, meat, wool, coffee, sugar, nitrates, minerals, woods—can never collapse completely through any financial crisis. Furthermore its power of reviving quickly from any unfavorable panic is truly phenomenal. I recall Venezuela, the year she terminated her bloodiest revolution under Castro, harvesting and exporting a bumper crop of coffee, which immediately cleared up her monetary depression, and this rapid convalescent condition has been duplicated time and time again after every period of internal trouble experienced by all of these countries.

Nature has been bounteous in her gifts to these favored lands of the sun. If in a given locality the soil is not fertile, it is rich in mineral wealth, or covered with luxuriant forests. Throughout Latin America large and small rivers afford easy and cheap means of transportation. Drought or excessive rainfalls are comparatively unknown. Despite the fact that a majority of the population lives primitively,

epidemics of a severe nature have been few and far between. Revolutions, formerly the blight on these lands, are becoming rare and in most of these countries there have been no such uprisings or demonstrations of this character for more than twenty years.

The opportunities for successful business in almost any chosen line in Latin America are unlimited, provided one uses ordinary judgment and simple tact in the undertaking. Furthermore less capital is required to start an enterprise than in lands where competition is keener, and less energy necessary to insure success. The truth of these statements is demonstrated most completely by the fact that millions of Europeans—many of them uneducated and possessed of no great amount of ability or money—have settled throughout these lands and established themselves in prosperous occupations.

The greatest possibilities exist along the lines of general development. All these countries are new; most of them practically unexplored—many of them not even having their boundary lines definitely established. Think of what must be the opportunities in Brazil—a country larger in area than the United States, and supporting only 20,000,000 people—or of Argentine, spreading over almost as much territory as Europe, excepting Russia and Austria-Hungary, with a population slightly more than 7,000,000. It is to these countries that overcrowded Europe must come for elbow room—for a glimpse of the sun.

Once a business or a plant is established in Latin America one need not have the intense fear of bitter local competition. These people have never been manufacturing or creative in their desires, and the chances are, if we are to predicate their future from their past, that they never will become competitors in any of these fields. Climatic conditions, racial and inherited traits have made them follow the lines of least resistance and they have become cattle raisers and large farmers, while comparatively few have entered commercial life. This being true it follows that these countries are ideal for those desirous of leading an active commercial or manufacturing career.

All of Latin America is in the process of awakening. They are building railways, making vast municipal and national improvements, exploiting their natural resources, modernizing their agricultural methods. The advent of the foreigner has been potent in raising their standard of living. If these people were to raise their standard of living to that of the United States at the present time, it would be the equivalent, so far as market possibilities are concerned, to creating three new Americas. Each day sees some progress in this direction, and with it a desire for more of the comforts of modern civilization—for more of the things which go to make up the full and complete life. This means employment for their people—civic progress—and prosperity.

Their markets are easily reached, the merchants willing to buy, our producers capable of providing the things they require. Their first orders may be small, but they become enormous buyers when they find the article adapted for their needs. The European marts which might have supplied the things these nations require in their growth cannot do so for a long time to come, thus giving us an ideal opportunity to

capture these markets and at the same time introduce American methods throughout the length and breadth of the land.

II BRAZIL

The Republic of the United States of Brazil, including the Acre Territory, is the largest of the South American countries and if we include Alaska and our island possessions is really larger in area than the United States of America, by about 200,000 square miles. It is fifteen times larger than Germany and sixteen times larger than France. With the exception of Ecuador and Chile its frontier touches every country of South America, being bounded on the north by British, French and Dutch Guiana and Venezuela; on the west by Colombia, Peru, Bolivia, Paraguay and Argentine; on the south by Uruguay, while the Atlantic Ocean forms its eastern and a portion of its northern limitation. Its most eastern point is but three days' sail from the western coast of Africa. It is the fourth largest country in the world, and is widest between the Equator and the Tropic of Capricorn, covering an area of 3,292,000 square miles.

The population has been variously estimated at from 20,000,000 to 24,000,000, of whom less than 1,000,000 are aborigines, thus giving it about one-fifth of the population per square mile of the population of the United States of America. Its inhabitants are white, black, mulattoes, Indians and mixed breeds, a heavy percentage being descendants from the slaves imported originally from Africa, slavery in Brazil having been abolished in 1888.

The language of Brazil is Portuguese except among the Indian tribes, each one of which has its own dialect. These Indians are to be found in the interior and the remote districts, and are a negligible quantity as far as trade is concerned, living primitive lives and having few wants that the rich country and rivers cannot supply.

[Illustration:

The Harbor of Rio de Janeiro]

Brazil was discovered April 22, 1500, by Pedro Alvarez Cabral, a Portuguese explorer, but no definite attempt was made to settle it, or assume governing power by the Portuguese until 1549, fifty-seven years after Columbus had been to America, when Portugal awoke to the great possibilities of the country and dispatched her first Governor General in the personage of Thome de Souza.

During the century following the arrival of its first constituted governor, Brazil became the scene of numerous attacks and invasions on the part of the French, Dutch and British, each one desirous of acquiring portions of its territory, having been attracted by the current stories of its great wealth and latent resources. For a time both France and Holland established themselves in a small way within its boundary, but ultimately abandoned their outposts.

From 1640 to 1808 Brazil was governed by a Viceroy, who resided in Rio de Janeiro. The victorious armies of Napoleon and their progress across the Spanish Peninsula ultimately caused King John to abandon his capital in Portugal and flee to Brazil, where he established himself in Rio de Janeiro (in 1808), and ruled Portugal

from this one of his possessions. This is the only instance in history of any portion of Europe ever being ruled from the western continent. When peace came to Europe, King John returned, leaving Brazil under the regency of his eldest son Dom Pedro, who in 1822, proclaimed Brazil independent of Portugal, and established himself in power as Emperor, the first and only instance of such a form of government in South America. Dom Pedro was forced to abdicate in 1831 in favor of his son Dom Pedro II, who after reigning through a regency assumed the throne on becoming of age in 1840. It is unnecessary to detail the causes that led to the bloodless revolution of November 15, 1889, which ended his reign and by means of which Brazil proclaimed herself a republic, adopting a constitution patterned after our own and a government comprising a President, with legislative powers vested in a Congress composed of two bodies, a Senate and a Chamber of Deputies.

Brazil is so immense, situated between the fifth degree north and the thirty-third degree south, and its topography so varied that it has all kinds of climates excepting extreme cold. Lying in the temperate and tropical zones one would incline to the belief that it would be more or less warm, but its many rivers and mountains, its high table-lands and plateaus exert a beneficial influence in this regard and materially modify what otherwise would be extreme degrees of heat.

More than half of Brazil is an elevated plateau, varying from 2000 to 3000 feet in altitude. It has four distinct mountain ranges, which deflect its rains and form vast watersheds for irrigating the fertile lands at their base. The eastern and central portions are elevated while the chief characteristics of the north and west are its fertile plains and valleys.

The coast of Brazil straggles along for over 5000 miles and is provided with numerous natural harbors, where the earlier settlers established cities which have grown and prospered, the principal ones from the north to the south being Belem, or Para, San Luiz, Parnahyba, Fortaleza or Ceara, Natal, Parahyba, Recife or Pernambuco, Maceio, Aracaju, São Salvador or Bahia, Victoria, Rio de Janeiro, Santos, Paranagua, São Francisco, Rio Grande do Sul and Porto Allegre. As a rule each of these ports is the terminus for a railway system penetrating the interior, designed solely for the purpose of bringing the products to market and carrying supplies and necessities to the part of the country dependent upon it. There are practically no trunk or interstate lines, but plans are now formulated to overcome this condition.

Manaos is an inland port of Brazil, famous as a trading depot and one of the centers of the rubber industry. It is located on the Rio Negro, at its mouth where it empties into the great Amazon, one thousand miles from the Atlantic Ocean, and maintains direct steamship connection with the United States and Europe as well as the other ports of Brazil.

Perhaps no other country in the world is so well provided with rivers as Brazil. The mighty, muddy Amazon, the greatest river in existence, practically traverses the country from east to west in its 3850 miles journey to the sea. Some idea of its strength and volume may be gained when I state that its yellow waters color the

Atlantic for over 100 miles beyond its mouth, and freshen the salt water for a distance of 180 miles. Emptying into this Queen of Rivers are more than 200 tributaries, over 100 of which are navigable, the famous Rio Roosevelt or River of Doubt forming one of the number. There are over 10,000 miles of navigable waterways for ocean vessels and 20,000 miles for light-draft boats.

Brazil is a pastoral country and the indications are that it will always remain so. Its vast savannahs and fields have formed ideal locations for raising cattle and sugar, while its mountain sides and plateaus are unparalleled for the growth of its staple product—coffee, the average yearly crop of which is the enormous amount of 1,596,000,000 pounds. Rice, cotton, sugar, tobacco, matte (a species of tea for native use), mandioca (a starchy tuber from which a bread is made much liked by the native) and cacao are also extensively grown. India rubber, the use of which was early known to the Indians of Brazil, to whom it is indebted for its name, is the second leading product of this remarkable land. The tree, the juice of which produces this twentieth century necessity, grows wild in the northern portion of the country, although it can be successfully cultivated. No effort is made to preserve the trees when once tapped, and the rubber prospectors are continually going farther and farther into the interior in search of new districts. The trees are from three to twelve feet in diameter, of slow growth, indigenous to the region of the Amazon and its tributaries, growing wild, scattered through the jungles and tropical shrubbery.

The forests of Brazil are practically virgin. They abound in dye, cabinet and hard woods and the opportunities for the development in this field alone are enormous. Due to the fact that the country has a wonderful series of aqueous arteries the transportation problem to mills and markets is easily solved and the waterpower can be used in preparing the timber for shipping.

Brazil has at present more local factories than all the other Latin American countries combined, forty per cent. of her manufactured articles being cotton goods, which find a ready market. In the Federal District of Rio de Janeiro, five of these mills have eight thousand operatives, producing yearly about 80,000,000 yards. Petropolis has four mills and São Paulo twenty-five with a total output of nearly 100,000,000 yards. The number of establishments in this industry alone amounts to 3664, giving employment to 168,760 hands, with a total yearly output of 275,000,000 yards of goods.

Of late the shoe-making industry has developed extensively. In 1913 there were in all of Brazil 4524 factories employing ten or more operatives, with a total invested capital of $18,857,000. These plants are nearly all operated by American machinery, many of them under American superintendents, the demand for American equipment being sufficiently large to warrant the big shoe machinery and shoe-finding houses of New England in maintaining their own offices and carry their own stock in the larger cities devoted to this business.

Brazil is wonderfully rich in mines of precious and semi-precious stones. Among the semi-precious stones to be found are achroite, actinolite, agates, amethysts, analcime, anatase, andalusites, anthophyllite, apophyllite, apatite, aquamarines,

cymophane, citune, columbite, desemine, iolite, jasper, opals, ruby, sapphires, spinel, topaz, tourmalines. There are many deposits of minerals, such as copper, iron, silver, gold, arsenic, barium, bismuth, cinnabar, cobalt, galena, manganese, nickel, platinum, tin, and wolframite. There are also rich veins of asbestos, coal, soapstone, sulphur, salt, marble, mica, and evidences of petroleum.

Gold has been mined in Brazil for over 300 years, the principal deposits being in the State of Minas Geraes. A mine near the Honario Bicalho station produced from 1888 to 1912, over $26,000,000 worth of gold and as late as 1911, paid a dividend of 10 per cent. An English authority has estimated the total output of gold to date from all mines at $1,000,000,000.

Brazil is reputed to be the second largest diamond-producing country in the world, the Brazilian stone being considered fifty per cent. better than others owing to the constant attrition it has undergone in prehistoric days. At one time more than 40,000 men were employed in this industry in Minas Geraes alone. The best diamond fields extend from 10 degrees to 25 degrees south latitude and many enormous and high-grade stones have been discovered, the total amount exported in 175 years or up to 1903, being estimated at four tons. Edwin Streeter in his book on precious stones, says that “The State of Minas Geraes produced in the first twenty years 144,000 carats. Up to 1850,—5,844,000 carats worth $45,000,000 were sold and some $10,000,000 stolen from the mines by employes.” As an evidence of the fact that these mines are still productive, there were registered 456 claims in 1909 in the Diamanta Districts, which produced $1,000,000 worth of gems. In 1911 there were registered in the State of Minas Geraes 437 claims.

Travel along the coast and to the cities located on the railway lines is comparatively convenient and comfortable although very expensive. In the interior and from the beaten paths it is difficult and filled with hardships.

Living is high—much more so than in the larger cities of the States or Europe. Hotels are far from the standard one is accustomed to in towns of corresponding size, throughout the world—a statement equally true of all Latin America.

At first the monetary system of Brazil may confuse one, its currency being on the gold exchange basis. A _milreis_ is the unit of value and while it is subject to fluctuation, may for all practical purposes be reckoned as worth .33⅓ cents, or three _milreis_ as the equivalent of a United States dollar. The symbol for the unit is $ and the value of our dollar would be expressed thus 3$000. A _conto_, or about $333.33 would be written 1000$000. The banking of Brazil is chiefly controlled by the British, while Germany is their closest competitor, both France and Italy being represented each by a bank. The National City Bank of New York has recently established a branch in Rio de Janeiro, with sub-agencies throughout Brazil, so that direct exchange on New York may now be bought.

Brazil imported in 1913, $326,428,509 worth of goods, of which sum the United Kingdom supplied $79,881,008; Germany, $57,043,754; United States, $51,289,682; France, $31,939,752; Argentine, $24,293,712.

In the same period of time she exported goods to the value of $315,164,687, the United States taking about one-third of the total amount or to be exact, $102,652,923; Germany, $44,392,410; United Kingdom, $41,701,815; France, $38,685,561; Holland, $23,252,700.

The United States should do a much larger trade with Brazil owing to a preferential duty allowed our nation due to the fact that we are the largest consumers of her leading staple—coffee. According to government decree No. 9323, of January 17, 1912, flour imported from the States pays 30 per cent. less duty than if imported from any other land, while dried fruit, condensed milk, typewriters, rubber articles, and supplies, scales, refrigerators, cement, corsets, school furniture, windmills, watches, desks and printing inks, pay 20 per cent. less duty than similar articles imported from other countries.

Brazil exports coffee, rubber, hides, skins, cacao, tobacco, salt, cotton, sugar, woods, nuts, precious and semi-precious stones and gold. She imports foodstuffs, shoes, machinery, textiles, building woods, ammunition, wheat, automobiles, vehicles, codfish, dried fruits, glass, toilet articles, building and kitchen hardware, cement, scientific instruments, iron and steel, enamelled ware, paints and varnish, haberdashers' goods, cottons, hats, corrugated iron, galvanized iron, tools, condensed milk, stationery, pipe, printing material and presses, electric machinery and supplies, typewriters, nails, screws and rivets.

American fruits are much in demand in Brazil, and an excellent market exists to-day for apples. Potatoes, onions, beets, garlic and other fresh vegetables would also sell well and a lucrative trade in these necessities of life could be developed without any great effort. The refrigerator ships running from the Argentine to New York with meat could carry as return freight these perishable cargoes at a low rate.

Steamship connections between Europe and the United States, with Brazilian ports are numerous and sailings comparatively frequent and as a rule the accommodations are all that could be desired. From New York the Booth line (English) has two steamers a month to North Brazil and Amazon River towns, touching at Barbados, Para and Manaos, with a ship every six weeks to Iquitos, Peru. One steamer goes each month to North Brazilian ports including Parnahyba, Natal and nearby localities. The United States Steamship Line (American) has one vessel monthly for Pernambuco, Rio de Janeiro and Santos, freight being redistributed at these ports for intermediate points. The Lloyd Brazilleiro Line (Brazilian) maintains a semi-monthly service between New York and Natal, and Parahiba; and Pernambuco, Rio de Janeiro, and Santos, with occasional service to other larger ports. These boats do not as a rule carry passengers. They also maintain a service along the smaller coast towns and the rivers leading into the interior of Brazil, even having regular sailings from Asuncion, Paraguay, for Brazilian river towns. The Lamport & Holt Line (English) has weekly sailings from New York to Bahia, Rio de Janeiro and Santos, generally stopping at Trinidad and Barbados, West Indies, on their trip north. The Prince Line (British) touch once a month at Rio de Janeiro and Santos, carrying freight chiefly. Other vessels of this line make monthly calls at Pernambuco, Bahia, Rio de Janeiro and Santos. Numerous tramp ships also sail from American ports on the eastern coast of

the States to Brazil.

[Illustration:

Photograph by Underwood & Underwood

Avenida Rio Branco and Opera House, Rio de Janeiro]

Brazil has 15,272 miles of railways, federal, state and private, over many of which tickets which correspond to our mileage books are issued, for the convenience of the travelling public. Many new lines are in process of construction or contemplated, and a very decided effort is being made to unite the various main lines by connecting roads, so that the entire republic, including its most remote districts, may be thus reached.

The leading cities, which should be visited for business purposes, are:—

Population Rio de Janeiro 1,128,000 São Paulo 450,000 Bahia 300,000 Belem or Para 250,000 Pernambuco 200,000 Porto Allegre 125,000 Mañaos 60,000 Santos 45,000 Campinas 40,000 Ceara 40,000 San Luiz or Maranao 40,000 Parahiba 32,000 Nichteroy 30,000 Florianopolis, or Desterro 27,000 Rio Grande do Sul 20,000

Some of the States and municipalities of Brazil have a special tax for commercial travellers, which varies from year to year, concerning the payment of which arrangements can be best made when on the ground. A small tax is also levied on trade samples, presumably to be refunded when leaving the country. It is advisable to learn how best to handle the situation from travellers with whom you will meet en route. As a rule, all of these are mere matter of detail and can be advantageously arranged, through the proper channel.

III ARGENTINE

Juan Diaz de Solis in 1508 discovered the Rio de la Plata, otherwise known as the River Plate, while searching for a southerly passage to the Pacific Ocean. In 1525 Sebastian Cabot entered the river and gave it the name it now bears, at the same time erecting a fort near its mouth. A wealthy Spaniard, Pedro de Mendoza, in 1536, in exchange for certain landed rights and governmental privileges, established what is now the present city of Buenos Aires.

It is unnecessary for the purposes of this book to do more than state briefly that the conditions imposed by Spain on all its colonies were outrageously unjust and caused much dissension. Efforts to progress were throttled and the friction between the mother country developed until the conquest of Spain by Napoleon, which gave the many Spanish colonies that had become thoroughly satiated with disgust and contempt for the Madrid Government, a chance to rebel and establish themselves as independent nations. Taking advantage of the condition in Europe and having in mind the successful revolution of the American colonists, the people of Argentine, Bolivia, Paraguay and Chile revolted, and after much fighting finally drove the Spanish troops from their shores. May 25, 1810, the people of Buenos Aires declared their independence. A Congress was held in Tucuman on July 9, 1816, the result of which was the more complete unification of the Argentine people under the title of the

United Provinces of the La Plata River. The government in 1860 adopted as its national title “The Argentine Nation” by which it now prefers to be called.

Few know that the British had covetous plans upon this really wonderful country and twice invaded it, once in 1806, and again in 1807. After their fleet had bombarded the capital, the troops landed, and were both times thoroughly defeated, some of the English battle flags which were captured still being exhibited in Buenos Aires.

The government of the Argentine Nation is patterned after that of the United States of America, and has a constitution similar in its important features. There are three branches of government, executive, legislative and judicial; the legislative power being vested in a Congress composed of a Senate and a House of Deputies. The executive power is vested in a President and Vice-President elected as those of the United States, each holding office for the period of six years. Of late the Government has been very stable and there have been less tendencies to overthrow the authorized power than in most Latin American countries. By a treaty with Chile in 1881, the great territory of Patagonia, to the south of the Argentine, was divided between these two nations.

Argentine covers an area of 1,153,418 square miles, or about one-third as large as the United States. To be more specific it is as large as Texas, and all of our territory east of the Mississippi. It is bounded on the north by Bolivia, and Paraguay, on the west by Chile, on the south by a portion of Chile and the Atlantic Ocean. Paraguay, Brazil and Uruguay, together with the Atlantic Ocean which washes its shores for more than 1500 miles, constitute its eastern boundary. Over 700,000,000 acres of its land is admirably adapted for cattle raising and the growing of cereals, a fact which argues much for its future development and prosperity.

Its population is variously estimated at from 6,000,000 to 9,000,000 but it can with safety be placed at 7,000,000, a little less than 25 per cent. of its inhabitants residing in the city of Buenos Aires, which has 1,700,000 citizens, a rather unusual condition of affairs. The early settlers of the Argentine were of course Spaniards and their descendants form the bulk of the population to-day. There are comparatively few blacks or mixed breeds, slavery having been abolished in 1813, while the Indians and aborigines are scattered along the frontier. Early in its history Argentine encouraged emigration from Europe, using as an inducement the free grant of public lands, which proved especially attractive to the Italian and Spaniard. In fact the preponderance of the Italian in the business and social life, due to this movement has had a noticeable effect on the Spanish language as spoken in this country. From 1857 to 1913 the total of newcomers amounted to 4,781,653, many of whom became landholders and began at once to contribute to the growth and wealth of the country. The population to-day is 7.8 persons per square mile as against 32.31 per square mile in the United States. More than 300,000 persons migrate to this country each year.

The chief characteristic of the physical formation of the Argentine is its vast pampas or plains stretching from the Rio de la Plata to the west, terminating in the foothills of the Andes, or the Cordilleras. Perhaps no part of the earth’s surface has

such flat, smooth, treeless plains as here confront the traveller. The climatic conditions, owing to the fact that it extends over thirty-four degrees of latitude, vary from tropical in the north to practically arctic coldness in the south, the seasons being the reverse of ours,—that is, they have winter when we have summer and vice versa. The greater portion of the country is in the temperate zone, the summers being very hot and the winters typified by heavy rains, especially in the eastern portion, diminishing toward the west where there is often much drought. In the extreme south, in what was formerly Patagonia the heavy snows of winter take the place of rains, which together with the warm summers produce a luxuriant growth of grass, especially adapted for the grazing of sheep.

[Illustration:

Photograph by Underwood & Underwood

Taking produce to the station, Argentine]

The Argentine has for some years been one of the granaries of the world and as its available land becomes cultivated is destined to play a more important rôle in this field. Some idea of its rapid development may be gained from the fact that in 1904, 26,000,000 acres were under cultivation, while in 1913 over 60,000,000 were sown. Wheat is of course its chief cereal, last year over 17,000,000 acres being cultivated. The Argentine Agricultural Department states that for the same period of time there were 12,000,000 acres in corn; 4,000,000 in oats and 15,000,000 in lucerne or alfalfa, proportionately large territories being planted with barley, sugar, grapes, rice, cotton and tobacco.

This country has been the second largest linseed producing nation of the world, yielding first place to India. Last year nearly 6,000,000 acres were devoted to the growing of this seed alone.

Comparatively little attention is paid to truck gardening or the raising of kitchen vegetables, fruits or berries, and this offers a remarkable opportunity to one versed in the subject. Conditions for growing these necessities are most favorable but have been neglected in the efforts made to develop other sources of revenue.

Tucuman has been the center of the sugar industry, practically all of which is consumed in the country, 43 refineries and plants being devoted to this business. The grapes grown at the foot of the eastern slopes of the Andes, near and around Mendoza, yield 500,000,000 quarts of wine yearly, most all being for internal consumption. Owing to the reversal of seasons here, crops are harvested when ours are being sown.

Recently dairying has developed to a remarkable extent, over 1300 creameries and factories being devoted to the manufacture of butter and cheese, doing a gross business of nearly $9,000,000. Much butter and cheese are shipped to England, Brazil and South Africa. For the first time in its history, butter was exported to the United States last year.

Flour milling was established in the Argentine in the 16th century. Prior to this Chilean flour supplied the demands for this article. To-day in addition to providing

sufficient for its own requirements, Argentine ships much of its flour to Brazil, Chile and Europe and has about 800 flour mills in operation, representing an investment of approximately $14,000,000.

From the days of the early Spaniards stock-raising has flourished and will always be one of the chief industries of the land. Not only the Government but individuals as well realize this and co-operate with each other for the purpose of producing the best strains of all breeds of cattle.

There are many “refrigerificos” or cold-storage plants and abattoirs throughout the land and for years Europe received practically all of Argentine’s animal products, her exports in this line alone being approximately $350,000,000 in 1914. Due to the fact that these establishments were operated by British capital, England naturally took most of this meat. The larger American packing-houses have now entered the trade with the double purpose of supplying both their European and American customers from this field and direct refrigerator ships now run from the River Plate to New York City with cargoes of Argentine beef and mutton. The last census showed 30,000,000 beef cattle; 9,000,000 horses; 500,000 mules; 300,000 asses; 90,000,000 sheep; 4,000,000 goats and 3,000,000 pigs.

Nature seems content in having blessed this country with fertile pampas and agricultural lands, consequently there are comparatively few minerals within its territory. There are however some veins of gold, silver, copper and wolfram. Petroleum has recently been discovered, but not in large quantities. There is no coal in the Argentine, but in some sections bogs of peat cover extensive areas and await development.

To the north and in the interior are forests of valuable woods, there being over thirty-three species of commercial value. Quebracho wood is found in the provinces of Santa Fe, Santiago del Estero and Corrientes. It is very hard, impervious to moisture and will not rot. Due to these admirable qualities it was formerly used for sleepers for railways but now owing to the fact that it is excessively rich in tannin it is used almost exclusively for the purpose of curing leather. Formerly it was exported in large logs to Europe or to the States and the tanning extracts expressed, but to-day there are many factories in the districts where the wood is grown, devoted to obtaining the tannin directly, thereby materially reducing the cost of the article. Inasmuch as hides and quebracho are products of the Argentine it would seem that the tanning of leather would under proper management develop into a large industry here. The export of tannin for 1914 was over $11,000,000.

Outside of the industries referred to and a few breweries, cigar factories, and apparel factories, wherein goods for local consumption are produced, there is no general manufacturing in the Argentine.

No other country of Latin America is as well provided with railways as the Argentine, nor with as regular and superior access to Europe and the States and all parts of the world. More than fifty steamship lines arrive and depart regularly from the various Argentine ports, all the seafaring nations of the earth being represented. In 1852, one observer counted over 600 vessels in the harbor of Buenos Aires flying

the American flag or more than double the number of all the other nations combined. To-day but few are to be seen in the vast shipping of this busy port.

The Argentine Republic stands ninth among the world's nations in the length of her railways, having about 22,000 miles of track. Many lines are in process of construction or contemplated, the public and the government both realizing that a complete network of railways leading to the ports accelerate the moving of crops and cattle and are absolutely essential to its prosperity. Buenos Aires quite naturally is the principal terminal of most roads, while Santa Fe, Rosario, Bahia Blanca and La Plata are rapidly coming to the front as shipping centers and are providing appropriate facilities for handling trade. It has been said that every railway in the country is extending its lines more and more into the interior, and railway journeys to Brazil, Paraguay and Bolivia as well as Chile are now possible. It may be interesting to note that the longest stretch of straight track known to railroad builders is to be found in the Argentine, where the rails run a distance of 175 miles without a curve of any kind.

Wagon roads outside of the larger cities are poor and in bad condition, and much is needed to be done in this respect.

There are many weekly sailings of the most modern and swift passenger ships to Europe, one Italian line making the voyage from Buenos Aires to Genoa in fifteen days. It is also possible to go via Hamburg or England to New York in better ships for practically the same money and in less time than is taken by ships engaged in the direct run from Buenos Aires to New York. The Lamport & Holt Line (British) runs directly from New York to Buenos Aires, with weekly sailings, carrying freight and passengers. The Prince Line (British) and the Barber Line (American but flying the British flag), the Norton Line (British), the American Rio Plate Line (American) leave New York twice a month for Argentine ports. The Houston Line (British) from Boston and New York and the New York and South American Line sail monthly from New York for River Plate ports. The Munson Line (American) from Mobile, Alabama, sends two ships monthly to Buenos Aires. There are many tramp ships from American ports in this trade also.

The docks and facilities for handling goods in Buenos Aires are second to none in the world and are modeled after the famous Liverpool system, having cost over $50,000,000. Steamers unload cargoes directly into the government custom warehouses, on the other side of which are networks of railway tracks from which they can be forwarded to the interior. Each of the large cement-sided canals or basins for the ship traffic is provided with locks or water gates, while the masonry warehouses, buildings and grain elevators extend for miles along the city water front. Yet the business of the port has grown so that there is much congestion, especially at certain seasons of the year and plans are being considered for doubling its present facilities.

[Illustration:

By permission of the editor of The Americas

Grain Elevators, Buenos Aires]

Much of the impetus in trade circles in this land is due to the presence of the English, Germans and Italians who control the banking, transportation and commercial life of the country. Both the Briton and the Teuton have large sums invested in all kinds of enterprises, the total being estimated at $2,000,000,000. The Italian has developed into the small shopkeeper and farmer. In Buenos Aires alone there are two daily papers printed in English, which serves to give some idea of the extent of the English speaking population in this city. There are also daily papers published in Italian, German, French and Arabic.

Practically all the nations of Europe are represented in the banking business, the United States being the last to enter the field. The English are the strongest and the Germans next.

Argentine is supposed to be on a gold exchange basis, the gold _peso_ being worth one hundred _centavos_, or in our money 96.5 cents. The gold _peso_ is designated by the sign $C/L, the symbol C/L meaning _curso legal_, or legal tender. This is practically an imaginary coin, and the money one sees is paper currency, the paper _peso_ being worth 44 per cent. of its face value, or 42.46 cents in United States gold. This is represented in the following manner $M/N, meaning _moneda nacional_ or national money. This paper currency fluctuates slightly each day, being governed by the market conditions. The abbreviations O/S, C/L, and M/N are placed before the dollar or _peso_ mark, as for example O/S $500 or may follow it, as, for instance, $500 M/N.

The Argentine has long been noted for its unfavorable fees charged travellers, each province having a separate tariff, varying according to the commodity one may be selling. They are subject to such changes on short notice that it is useless to give them here, besides the subject has been dealt with elsewhere in this book. Before doing business it is wise to give this matter careful consideration. No duty is charged on samples.

The following cities should be visited:

Population Buenos Aires 1,700,000 Rosario 300,000 Cordoba 120,000 La Plata 100,000 Tucuman 80,000 Bahia Blanca 75,000 Mendoza 65,000 Santa Fe 50,000 Salta 40,000 Parana 37,000 Corrientes 30,000 San Juan 16,000 San Luis 15,000

The Argentine exported goods to the value of $468,999,410 in 1913, and during the same time imported goods to the extent of $408,711,966, of which amount less than 8 per cent. came from the United States. England controlled the bulk of the trade with Germany second and France third.

The principal exports are meats and meat products, agricultural products such as wheat, corn, oats, barley, linseed, hay, alfalfa, woods and dye woods, live animals, wool, hides, skins, butter and cheese. It imports foodstuffs, textiles, iron, steel, railway supplies and rolling stock, agricultural implements and machinery, wagons, carriages, automobiles and automobile supplies, electrical apparatus, glass, china, ready-made clothes, hats, shoes, toilet articles, drugs and chemicals, paints and varnish, stockings and socks, silks, kitchen-utensils, enamelled ware, tools, vegetables, fruits, eggs, oils, greases, and coal.

IV URUGUAY

The first European who set foot on Uruguayan soil was the man who discovered the Rio de la Plate—Juan Diaz de Solis. This was in 1508. He and his associates were immediately attacked by the Charruca Indians, who annihilated the party. Later on Portuguese settlers from Brazil attempted to colonize this land, but they met with repulses, as did also the Spanish colonists who followed them. As a result of the invasion of this territory by Portuguese and Spanish it was claimed by both these countries and became a bone of contention between them for more than two hundred years. The Portuguese colonists were finally routed bodily and their city of Montevideo, founded in 1724, came under control of the Spanish Viceroy. Portugal still persisted in claiming this province and when Dom Pedro made an Empire of Brazil, he also attempted to exercise jurisdiction over Uruguay as well. This ultimately resulted in a war between Brazil and Argentine, in which the Uruguayans rallied to the aid of the Argentinians, defeating the Brazilians. A treaty of peace in which the mediation of England was asked, was signed August 27, 1828, giving Uruguay its independence.

The present government is based upon that of the United States and comprises executives in the persons of a President and a Vice-President, elected for four years, and a legislative body, consisting of a House of Representatives and a Senate.

Uruguay occupies an area of 72,210 square miles, or is about as large as all of the New England States. It is virtually an extensive undulating plain, having in its northern section a series of mountain ranges but few of which are higher than 2000 feet. It is bounded on the east by the Atlantic Ocean and on the north by Brazil, the Rio Cuareim flowing between the two countries. The Uruguay, dividing Argentine and Uruguay, forms its western boundary while the wide mouth of the Rio de la Plate may be called its southern boundary line.

The climate is extremely temperate and healthful—so much so in fact that it is rapidly developing into a summer resort for Chileans, Argentinians and Brazilians; many of the wealthiest of these nationalities have established seashore homes within its boundaries, especially outside of Montevideo. Extreme summer heat such as one finds in Buenos Aires, is never encountered here, although there are days in winter when it is particularly cold. Snow occasionally falls.

Uruguay has a population of 1,500,000, its people being among the best in Latin America. As in Argentine, the Indians are comparatively few and to be found in remote districts only. There are practically no negroes and mixed breeds. Owing to the influx of English, Italian, and Swiss colonists, the standard of the population is continually rising and its geographical position, salubrious climate and vast areas of tillable land will attract more and more desirable settlers to its boundary. Immigration is encouraged along the most modern and progressive lines.

Uruguay is fortunate in having many navigable rivers, the chief of which are the Rio de la Plate and the Uruguay, giving a total of over 700 miles of water deep enough for ocean-going vessels. One river alone—the Uruguay—has ten ports open for interoceanic trade, the cities on this river being Carmelo, Neuva Palmira, Soriano,

Fray Bentos, Neuva Berlin, Casa Blanca, Pysandu, Neuva Pysandu, Salto and Santa Rosa. Mercedes is a large city, on the Rio Negro, and is used as a port of call for ocean-going vessels. There is also Lake Merim on the borders of Brazil on which run small launches.

Uruguay has comparatively few railroad systems and only 1600 miles of railways. There are many projects for railway development however and the completion of the mileage planned will rapidly bring the country to the fore. American capital is now being interested in this field.

While there are some minerals to be found in the mountainous sections, still the country will always be a pastoral one. Mica, gold, precious stones and petroleum are known to exist, yet comparatively little, if anything, has been done along these lines.

Of her 45,000,000 acres of land, less than 5 per cent. is devoted to agriculture, owing to lack of population. There are about 1,700,000 acres of virgin forest lands and over 40,000,000 acres devoted to grazing cattle and sheep.

Wheat is the chief cereal grown, with corn, barley, oats and linseed in the order named. Tobacco has been tried with favorable results.

The raising of cattle of all kinds and the maintenance of slaughter-houses and packing establishments for the purpose of supplying Europe with meat forms the largest industry. One plant alone at Fray Bentos—owned by the Liebig Company and where the extract of that name is made,—kills over 3,000,000 head a year. Very naturally meat by-products are produced and exported in large quantities. Much frozen and tinned meat is exported. Some idea of the enormous size of the cattle industry here may be gained when we are told that at the present time Uruguay has over 9,000,000 cattle, 30,000,000 sheep, 800,000 hogs, 600,000 goats and 430,000 horses.

One of the leading industries is the shearing of wool, all of which is exported. The good climatic conditions, in connection with attention paid to breeding, have resulted in the production of a wool of superior length and texture and as a consequence wool-buyers from Europe are attracted to this market. In 1913 the amount exported reached the enormous sum of $35,875,975.

Despite the fact that Uruguay has no gold coin of its own, it is on a gold basis and its _peso_, or dollar, is worth almost four cents more than ours, or to be exact, $1.034. This is a decidedly unusual state of affairs for Latin America, and reflects favorably on the financial condition of the country.

There is much English capital invested here, and to a large extent trade is in the hands of Englishmen. Many German and Italian houses are represented and these nationalities are also becoming interested in local enterprises.

Uruguay exports wool, hides, horn, hair, meats and meat products, grease tallow, grain and cereals, the total amount expressed in figures for 1913 being $65,142,000.

In 1913 she imported goods to the value of $50,666,000, the leading items being foodstuffs, iron, steel, glass, china, wooden products, oils, chemicals, medicines,

stationery, toilet articles, tobacco, textiles, shoes, hats, and silks.

While commercial travellers are supposed to pay a yearly license of $100, still this can be waived by making the proper connection with some local dealer or commission house.

The following cities should be visited:

Population Montevideo 500,000 Pysandu 35,000 Mercedes 25,000 Salto 25,000 Fray Bentos 15,000 Rivera 10,000 Guadalupe 10,000 Minas 10,000 Florida 10,000 Colonia 10,000

Uruguay has from three to five steamships sailing weekly direct for Europe, or the United States.

All vessels leaving either Europe or the United States and calling at Buenos Aires touch at Montevideo the day before arriving at Buenos Aires, as well as on the return trip. Two night lines of comfortable steamers connect Buenos Aires and Montevideo, which are about 110 miles apart. Ample transoceanic and coastwise freight service is also provided.

V PARAGUAY

Due to the ambitions of one man—Carlos Antonio Lopez—a dictator of the worst type, with Napoleonic designs, Paraguay, one of the finest of South American countries, one with brilliant prospects and holding the greatest opportunities, is to-day the most backward and has the smallest population.

Paraguay was discovered by Sebastian Cabot in 1526. Following him came Juan de Ayolas and Domingo Irala, who in 1536 founded the city of Asuncion, now the capital of the republic. Up to 1810 it was a Spanish colony, being latterly governed by the Viceroy from the home country who resided in Buenos Aires. At that time it was called the Province of Paraguay. It declared its independence from the mother country in 1811, the Spanish Governor-General aiding in the movement. After trying various forms of government it became a republic in 1844, which form of government still exists, the executive power being vested in a President and Vice-President, with a legislative body composed of a Senate and Chamber of Deputies.

It is impossible in even briefly writing of this really wonderful country to refrain from some reference to the one man, Lopez, whose desire for power resulted in the almost total annihilation of a people. His arbitrary rule embroiled his nation in disputes with much of Europe and the United States, and resulted in a war with Uruguay, Brazil and Argentine. In addition to this internal strife developed in which assassins, murderers and executioners played their parts. When Lopez was finally killed and his power gone, Paraguay’s population, according to Dawson, the well-known historian, had decreased from a “1,300,000 to a little over 200,000, only about 29,000 being men and 90,000 children under fifteen years of age.” There were five women to one man. As a result of this devastation the country never has revived. Recent revolutions have set it back still further and whatever of good may come to this benighted land must be written in the future tense.

Paraguay is almost an inland country, having but one outlet to the sea in the Parana River. Its 196,000 square miles of territory is bounded on the north by Brazil and Bolivia; on the west and south by Argentine, and on the east by Argentine and Brazil. The Paraguay River runs directly through its territory from south to north dividing it into two sections, Western Paraguay, or the Chaco, and Eastern Paraguay. It is well watered with many small streams, while toward the north and east are mountain chains.

The climate of Paraguay is so equable that the country is sometimes called the “Sanitarium.” The two seasons are the rainy and the dry. It never snows in this land and flowers in great variety and a riot of color bloom constantly. The southern two-thirds are in the Temperate Zone, the northern one-third in the Tropic Zone.

The population is estimated at 800,000, over 100,000 of which are wild Indians, the remainder being largely of mixed blood, negro predominating. There have been some sporadic attempts to encourage immigration, which have not resulted in any great movement in this direction, owing to the instability of the government and the backward condition of the people as well as to the general isolation of the country.

Travel in Paraguay is most primitive. There are few roads and most of the commerce is carried by bullock carts on almost impassable trails or by pack train over narrow paths. But one railway, having a total length of about 250 miles, ekes out a homeopathic existence, running from Asuncion, the capital, to Ville Encarnacion. Many railways must be built to open the country. One can go by rail from Asuncion to Buenos Aires in two days, the trip requiring a ferry-age from Posadas to Ville Encarnacion. The Trans-Paraguayan Railway now in course of construction will do much to develop the country. Communication with the outside world via Montevideo or Buenos Aires is maintained by river steamers, requiring from five days to a week to make the trip to Asuncion, which is about 1100 miles from the Argentine capital.

[Illustration:

Interior of a gentlemen’s hat store, Asuncion, Paraguay]

[Illustration:

A country store in Colombia]

From Asuncion it is possible to go into the interior or even to Brazil, on light-draft steamers, the Guyara Falls, 1300 miles above the capital, stopping navigation of the Parana River at this point.

The Paraguay River is navigable for vessels of twelve-foot draft to Asuncion and for smaller vessels 700 miles farther.

Most of the commerce of Paraguay is carried in lighters drawn by tugs, and these emissaries of trade are to be met on all the rivers and waterways of this country.

There are several lakes, navigable for small craft, but of no importance from a commercial standpoint.

While both the climate and the soil warrant one in stating that Paraguay is susceptible of high agricultural development, little has been done in this regard, outside of locally producing the few vegetables and fruits required for home consumption. Sugar-cane, tobacco, tropical fruits and cotton would thrive in this country. Each one of these staples has been successfully raised, the cotton being something like our own famous Sea Island brand.

A business, small in size, yet of great importance, and restricted to this locality, is the production of oil of petitgrain, a form of orange perfume, much in use in European perfume houses as a base for toilet and flavoring extracts. The essential oil is obtained in the most primitive manner and is always in great demand.

A lace peculiar to the country, called “nanduti” or spider lace, is made by native women, and if properly commercialized might develop into a paying trade.

The growing and curing of “Yerba Mate,” a native tea, used extensively in Paraguay, Uruguay, Brazil, Argentine and Chile, yields considerable income, but is never destined to become an article of great international commerce. The plant or shrub grows wild. The crop amounts to about 18,000,000 pounds yearly.

Quebracho, a red-colored wood, rich in tannin, is indigenous to the country. It is used for furniture and railroad ties and the extract made from it is employed in tanning leather. In one year, over $4,000,000 of this wood alone was imported to the United States, much of it being used for paving blocks.

Thousands of acres of cabinet and other commercial woods are to be found in the forests, but are without value, owing to their isolation and lack of means of transportation to get them to the markets.

The country has some ore deposits. The principal ones are copper, mercury, manganese and iron. They cannot be developed on account of their remote location.

It therefore follows that the chief industries of Paraguay for years to come will be in the production of raw materials and in the raising of cattle for which its well-watered plains are admirably adapted. It has now about 6,000,000 head of cattle and sheep and two slaughter-houses, killing about 40,000 annually. There are two large American companies engaged in the cattle industry; also one big German firm in the same line.

Paraguay has not invited capital and inducements of this nature need not be expected for some time.

While supposedly on a gold basis, money of this metal exists only as a fiction. The inconvertible paper _peso_ has a fluctuating value, being at times as low as two and a half cents U. S. gold, and as high as five cents U. S. gold, according to the stability of the government and local commercial conditions.

Credits should be extended with the greatest caution.

In 1913 Paraguay exported $5,462,000 worth of materials, chiefly fruit to Argentine, as well as yerba mate, timber, hides, dried beef, quebracho, lace, and tobacco. Most of her exports were taken by the neighboring republics, and by them

reshipped to the markets of the world. No exports to the United States for 1913 are given, but in 1912 they amounted to only $593. Germany is her largest European creditor, last year taking over $1,198,686 of her products.

Paraguay in 1913, imported $7,671,551 in textiles, foods, hardware, fancy and toilet goods, shoes, hats, liquors, drugs, clothes, steel and iron, of which amount the United States contributed $181,367 as against Germany's $989,898 and England's $963,418.

Commercial travelers are supposed to pay a duty proportionate to the business they do. As a matter of fact, no effort is made to collect this tax and the local merchant generally protects the traveler visiting him from such exploitation.

The following cities should be visited:

Population Asuncion 60,000 Villa Rica 35,000 Concepcion 25,00 Encarnacion 10,000

Owing to its situation it is necessary in order to reach Paraguay to go by train or boat from Buenos Aires, or by boat from Montevideo; the journey from Buenos Aires is the quickest and most comfortable.

All goods intended for Asuncion or other points in the country are trans-shipped at either Buenos Aires or Montevideo, arrangements for which can be made with the lines running from Europe or the United States direct to either of these ports. Or your customer in Paraguay will instruct you to ship his order through some agent whom he will specify in his shipping instructions, who will attend to the routine detail to forward the consignment.

VI CHILE

After Pizarro had conquered Peru he dispatched Diego de Almagro with an army, instructing him to explore and take the territory to the south, or what is now Chile. He was unable to accomplish the task. In 1540 Pizarro sent another expedition under Pedro Valdivia, whom fortune favored and who penetrated to what is now the city of Santiago, which he founded in 1541. For more than 100 years the warlike Araucanian Indians made repeated attacks on settlers in this territory, the Spaniards having great difficulty in conquering them. A treaty of peace was concluded in 1640.

When the revolutionary movement in South America started against Spain, Chile on September 18, 1810, declared her independence, and became the scene of much fighting, finally on April 5, 1818, defeating forever Spanish power and becoming absolutely independent.

A republican form of government was adopted, the executive power being vested in a President, and the legislative in two houses, a Senate and a Chamber of Deputies.

The Republic of Chile has 292,580 square miles, with a ragged coast line of 2,627 miles, and varies in width from 90 to 248 miles. It is bordered on the north by Peru, the east by Bolivia and Argentine, the south and west by the Pacific Ocean.

Two almost parallel ranges of mountains, the Cordillera de la Costa and the Andes, run from north to south, with a valley over 500 miles long and 40 wide spread between them. In this chain of mountains are more than 30 extinct volcanoes from 11,700 to 21,340 feet in height.

Owing to its extreme length Chile possesses many climates. To the north it is dry and hot, the central portion being decidedly temperate with changing seasons, almost like California, while in the south the temperature gets lower, and rains increase. To the extreme south there is much snow and cold with but little vegetation.

[Illustration:

Valparaiso]

There are practically no negroes in the 3,500,000 of Chile’s population. Some writers estimate that 25 per cent. of the inhabitants are Germans, or of German descent, this nation having many business men and large colonies in the Republic, especially toward the south and around Valdivia. Perhaps 50 per cent. are descendants of the Araucanian Indians by the early Spanish explorers. There is a large percentage of English; it is estimated that in Valparaiso, a city of 250,000, there are at least 20,000 Anglo-Saxons. The French and Italian colonies are also quite numerous.

Chile ranks third in South America in her railways, possessing a total of 3800 miles, nearly 2000 of which are owned by the Government. A longitudinal railway, designed to run practically the length of the country—2132 miles—from north to south, is in process of construction. It will be connected with the coast and the hinterland by roads crossing it at right angles, and is designed to develop the entire country and to be of strategic value in transporting troops. Two new trans-Andean roads are contemplated in addition to the one now running from Los Andes to Mendoza, one to operate about 300 miles north of Santiago—the other to cross 400 miles to the south of the capital. Other lines from the smaller ports to the longitudinal road are proposed, in all over 3000 miles being projected. Of the roads maintained by the government, it might be said that they are run at a great annual loss, a condition which may operate materially against the country’s prosperity at some near date. Many of the privately owned roads are used only in connection with the nitrate industry.

Chile has many small rivers varying from 25 to 150 miles in length arising in the mountains and rushing to the sea. Most of them are dry a greater part of the year, but during the rainy season become raging torrents. With the exception of a few in the southern part of the country, they are not navigable, but by a proper system of conserving and storing their water might be made useful for generating power or light.

Her extensive coast line gives Chile 59 ports on the Pacific, most of which are open roadsteads and at certain times of the year positively dangerous, loading and unloading of vessels being done by means of lighters, ships being obliged to lie from one to two miles off the land. The principal ports from north to south in the order named are Arica, Pisagua, Iquiqui, Tocopilla, Antofagasta, Taltal, Caldera, Carrizal,

Coquimbo, Valparaiso, Talcahuano, Coronel, Valdivia, Puerto Monte, Ancud, and Punta Arenas, the most southerly city on this continent and one of the big fur markets of the world.

Chile is to-day spending millions of dollars on the modernization of her leading ports so as to properly safeguard life and property, but it will be years before this work is finished.

Primarily the wealth of Chile comes from her nitrate beds and her mining possibilities. There are about $150,000,000 invested in the nitrate industry alone—$55,000,000 being English and $51,000,000 local. American capital is little represented in this line. The exports in 1913 amounted to 60,500,000 _quintals_, a _quintal_ being 101.41 pounds; the value in money was $98,239,569. Iodine is one of the by-products in the manufacture of nitrate, and is controlled by a combination or trust, $1,876,277 worth being exported last year, the United States taking 183 tons, England 65 tons and the remainder of Europe 264 tons.

The nitrate beds run a distance of 450 miles south of the Camarones River, at an altitude of 4000 to 5000 feet and from 10 to 20 miles inland. Many theories have been advanced as to these deposits, the one generally accepted being that these fields were once the bottom of some sea elevated by a titanic upheaval. The beds vary in width from a half to five miles, and the “caliche” or strata of earth bearing the nitrate is usually covered by sand and dirt varying from a few inches to 10 feet. This is blown out by dynamite, separated by washing and boilings from foreign matter, then bagged and shipped. A more desolate spot than a nitrate “officina,” as these reduction plants are called, would be hard to imagine. No trees or vegetation are to be seen and even water has to be carried for miles in cars for operating the machinery and for other uses. Authorities differ as to the extent of the deposits, some alleging they will be worked out in 20 years, while others claim there is sufficient supply available for 200 years. Nitrate is used extensively in the arts, for manufacturing gunpowder and explosives and for a fertilizer in agriculture.

Copper is found in great profusion, $7,947,307 worth being exported last year. One of the largest copper mines is owned by the Braden Copper Company, an American concern. In 1913 its average daily production was 30 tons of bar copper. Machinery is being installed which is intended to double this output. Chile at one time contributed one-third of the world’s supply of this metal and mineralogists state that there are yet great bodies of high grade ore awaiting the discoverer.

Coal is found throughout the south of Chile, one coal field alone being estimated to contain 1,862,000,000 tons. Over $7,500,000 is invested in this enterprise.

Iron ore of excellent quality and freeness from sulphur is found in large quantities. An American company is largely interested in developing this market, and contemplates investing $6,000,000 in their property.

There are silver and gold, deposits of salt and borax, as well as cobalt, nickel, mercury bearing ores, tungsten, zinc, graphite, sulphur and alum. All of these await proper development as they exist in paying quantities.

Much of the territory, which resembles California in scenery, climate and formation, is given over to agriculture. Over 600,000 tons of wheat were harvested in 1912 with 71,000 tons of barley, 50,000 tons of oats and 40,000 tons of corn. Some authorities claim Chile to be the fourth largest wine producing country of the world, most of its vintage being consumed locally.

Stock raising is increasing, especially to the south, where sheep are profitably grazed. The latest census gives the number of cattle at 1,900,000, sheep 5,000,000 and goats 300,000. Much wool from three to four-inch staple is produced, last year 20,563,833 pounds being exported. Dairying is rapidly growing. Bee culture is becoming a permanent industry, there being 90,000 hives in Chile in 1913. Much honey and wax are exported.

There are millions of acres of virgin forests of valuable hard woods in the south, the north being a barren, treeless country. The chief trees are the Chilean oak, the rauli, elm, cypress, pine, cherry, laurel and of late the eucalyptus is being propagated extensively.

Some industries such as shoe factories, canneries, breweries, distilleries, sugar refineries, cracker bakeries, and the like exist but their products are for local consumption.

The fruits of Chile, such as the cherry, peach, pear, apple, nectarine, plum, apricot and melon, are the equal of ours. Inasmuch as the seasons here are reversed, these luscious fruits would reach our markets during winter, and this could be developed into a profitable trade.

Chile exports nitrate of soda (nitrate), copper, iodine, wheat, borate of lime, iron, gold, silver, wool, hides, woods, honey, and wax.

She imports bottles, cars and rolling stock, cement, cotton goods, glassware, iron and steel manufactures, such as wire, nails, pipes, corrugated iron, hardware, tools, locomotives, mining and agricultural machinery, mineral waters, paper, petroleum, rice, sacks, tinned salmon, thread, tea, woolen goods, shoes, and hats.

Chilean money is unstable and fluctuates from day to day, the paper _peso_ or dollar being worth from 17 to 36 cents, according to variations in exchange. A gold _peso_ exists fictitiously for trade purposes, being estimated at 18 pence or 36 cents U. S. gold. When this mark “$” is followed by the word _oro_ the amount is understood to be gold. If however this abbreviation is used “m/c” it means “moneda corriente” or the paper money.

Chile has for a long time talked of changing its currency and making it staple. The sooner this is done the better for the country. Such a movement has been greatly retarded by men who have made money due to the fluctuations in currency.

Both the English and Germans have large interests here, and as a consequence do the bulk of the exporting and importing business with Chile. Imports in 1913 were $122,075,994 as against $139,878,201 of exports. India shipped to Chile $3,500,000 worth of jute bags for nitrate in 1913, and stands seventh in the list of countries sending goods here, the United States being third with $16,806,341 to its credit as

against England’s $38,616,886 and Germany’s $33,189,070.

Commercial travelers are not required to pay a license. The authorities are very liberal about admitting samples.

The following cities are worth visiting for trade purposes:

Population Santiago 400,000 Valparaiso 250,000 Iquiqui 50,000 Concepcion 50,000 Chillon 45,000 Antofagasta 35,000 Punta Arenas 20,000 Talcahuano 16,000 Valdivia 16,000 Coquimbo 12,000

Chile may be reached by taking any line from New York to Buenos Aires, then crossing via the Trans-Andean road to Santiago or Valparaiso, or by any line of steamers sailing for Colon, thence via train to Panama from where English, German, Chilean or Peruvian steamers sail weekly, touching at all the leading coast ports. There are also English and German ships direct from Europe, which pass through Smythe Channel on the southwest coast of Chile and touch at all its ports on both the outward and return voyage.

VII BOLIVIA

Bolivia, the fourth largest of the South American republics, extending over an area of 708,195 square miles, is without a seacoast, having lost control of her ports on the Pacific Ocean as a result of the war between Peru and Chile. This country occupies as much territory as all of the states east of the Mississippi, excepting those of New England, or is as large as the combined areas of California, Washington, Oregon, Idaho, Arizona, Utah and Nevada, and is bounded on the north and east by Brazil, the south by Paraguay, Argentine and Chile, while her western boundary is made up by Peru and Chile.

After Pizarro discovered Peru, he organized an expedition, explored Bolivia, and annexed it to the Spanish crown, which controlled its destinies until all of Latin America revolted against the home government. In 1809 the Spanish authorities were deposed and independence declared in 1825, as a result of the Battle of Ayacucho, fought on Dec. 9, 1824, when the Spanish forces were totally defeated.

Simon Bolivar, the hero of the rebellion against Spain, drafted its constitution which provided for a President, two Vice-Presidents, and two houses of Congress—composed of a Senate and a Chamber of Deputies.

Although Bolivia is entirely within the Tropic Zone, it is blessed with a variety of climates, due chiefly to its altitude. There are two seasons, the rainy from December to May and the dry covering the remainder of the year.

Owing to some gigantic convulsion of Nature, ages ago, what evidently was the bottom of the ocean was forced upward, and now forms an enormous plateau over 500 miles in length, covering more than 60,000 square miles, at an average altitude of 12,000 feet. This is a comparatively barren stretch of land with little vegetation, but is extremely rich in mineral deposits.

Running north and south, and at the east and west sides of this vast plateau are two ranges of the Andes, the distance between them being about 85 miles. In addition

to these main ranges are many others which criss-cross the country in numerous directions. In but few, if any, countries of the world is there to be found such a wealth of scenery, Bolivia possessing three of the highest peaks in this hemisphere, namely Illampu, Sorata and Illimani, the sentinel of La Paz, whose snowcovered peak towers into space 22,500 feet.

As may be surmised the climate in the plateau and mountain regions is cool and invigorating most of the year, but extremely warm in the summer, while as the land descends toward Brazil and the upper Amazon region it becomes milder until it reaches tropic warmth.

On account of the high altitude of Bolivia, the traveler generally has attacks of what is known locally as “puno” or “sirroche”—or in plain English, mountain sickness, owing to the rarity of the atmosphere. While it is exceedingly unpleasant and may cause palpitation of the heart, shortness of breath, bleeding at the nose and ears, and other disagreeable symptoms, it seldom results fatally. Rest until acclimated and the use, under a physician’s direction, of some heart stimulant, are all that is necessary to restore the patient to his normal state. Stout persons are apt to suffer more than others and should exert themselves as little as possible. Compressed oxygen is carried in most of the passenger trains to give immediate relief in case of danger from mountain sickness, the train crew being instructed as to its administration.

The population of Bolivia is estimated at 2,300,000, but no census has ever been taken, and it is doubtful if it has more than 1,500,000 inhabitants. Fully fifty per cent. of its people are docile, full-blooded Indians, living the most primitive life and speaking their own dialect with a few head men familiar with Spanish, which is the official or state tongue. The Beni, or white Indians of Bolivia, are a rather warlike race and have maintained their tribal laws, the control of their lands and customs, independent of all attempts to subjugate them. In fact, the Bolivians stand in awe of them. There are about 500,000 “cholos,” the native term for half-castes or mixed breeds, 250,000 whites of Spanish descent and perhaps 10,000 foreigners,—that is Americans and Europeans engaged in business.

Bolivia has been the scene of a remarkable railway development encouraged by the government. There are to-day about 900 miles of road in actual operation, about 400 miles in the process of construction and nearly 2,500 miles, plans and estimates for the completion of which are under consideration.

These railways maintain three arteries of commerce with the Pacific coast from the interior, and reach the ocean via Lake Titicaca at Mollendo, Peru; at Antofagasta, and also at Arica in Chile, the last named being the shortest and most direct route from the coast to the capital at La Paz, a distance of 274 miles, and only recently completed, requiring about 14 hours for the journey. To go to La Paz via Mollendo, or via Antofagasta is much longer in distance, requiring two days’ time, but repays the traveller in the magnificence of the scenery encountered all along the line.

Roads are in process of construction from Potosi to Sucre, in order to afford an outlet for the products of the mines located in this vicinity, and from Uyuni to Tupiza near the border line of Argentine, so that direct communication can be had with this

country as well as Chile and Peru. Other roads are being built from Oruro to Banderani and Oruro and Cochabamba, also from La Paz to Yungas, from Yungas to Puerto Panda and from Cochabamba to Chimon. The government also intends building roads from Yacuiba to Santa Cruz, and thence to Puerto Saurez. Connecting lines will be built to the famous Mamore-Madeira R. R. in Brazil.

There is a perfect net work of rivers in Bolivia, located chiefly in the northeast and southeastern sections, many of which are navigable for light draught vessels and lighters. It is estimated that the Paraguay, Beni, Itenes, Mamore, Pilcomayo, Paragua, and other streams give a total water transportation of more than 11,000 miles. These streams, however, can be used more advantageously as commerce carriers toward Brazil, Paraguay and Argentine than to the West Coast countries. Various projects have been suggested for dredging them and providing locks so as to develop the territory drained by them, but it is doubtful if the next century will see this work started, although it is feasible.

Lake Titicaca is the highest body of navigable water in the world, the steamers which operate on it having been brought from Europe in sections and erected on its banks. It is one of the largest lakes in this hemisphere, covering an area of more than 4,000 square miles and being 160 miles long and 30 wide. While the steamers which ply on its surface carry passengers, they also bring all of the freight into or leaving the country via the port of Mollendo in Peru.

Bolivia may rightly be called the mineral storehouse of the world, for locked within the heart of her many mountains are untold riches, the tons which she has contributed to the universe being microscopic in proportion to what remains. Her inexhaustible dried lakes of borax and salt, glistening like snow in the pure air of the high elevation, have been scraped for centuries without apparently reducing their supply. There are many rich deposits of gold, silver, copper, tin, antimony, bismuth, borax, zinc, wolfram and coal.

In the production of tin, Bolivia ranks second, the chief producer being the Malay Peninsula. Tin forms about 70 per cent. of the total export of Bolivia, amounting in value to over $23,000,000, Great Britain taking about 90 per cent. of the output of the mines and selling it to the other nations of the world. There are yet enormous unworked deposits of this metal in this land.

[Illustration:

Copyright by Underwood & Underwood

Lake Titicaca at Puno, Peru, with native balsas in the foreground. Balsas, which are made of reeds lashed together, are used for carrying freight and passengers]

Bolivia is one of the largest bismuth producing countries of the world and the third in the production of copper, and is rich in antimony and wolfram. In 1912, the latest available authentic data, she exported the following amount of metals:

Antimony $ 26,615 Bismuth 784,183 Copper 1,311,156 Gold 23,039 Silver 1,676,704 Tin 23,289,732 Wolfram 114,847 Zinc 129,243

If the forests of Bolivia as well as the territory sloping toward Brazil were more accessible, much of value would be added to its products. This land is especially adapted for grazing and agriculture as well as the growth of medicinal plants and trees.

In 1912, Bolivia exported rubber to the value of over $6,000,000.

It gives to the pharmacopœia the following drugs: aconite, arnica, belladona, some camphor, cocaine, digitalis, ipecac, jalap, quinine, quassia, sarsaparilla, tamarind, tolu and valerian.

Cabinet woods, such as ebony, mahogany, rosewood, satinwood and cedar are to be found in great profusion. Fruits of the tropical and temperate zones flourish. Coffee and cocoa are largely grown.

Bolivia is one of the few countries of the world without a national debt, a remarkable condition of affairs, more especially for a Latin American country, and its monetary system is on a gold basis, the unit being the _boliviano_, worth about 39 cents in our currency.

English capital is largely invested in the various mines and railways but the greater portion of the mercantile business, especially in the crude drug line, is in the hands of Germans, who shipped to the Fatherland over 83,000 pounds of the 100,000 pounds of quinine exported last year.

In 1913 Bolivia exported tin, rubber, silver, copper, bismuth, cocoa, wolfram, zinc, lead, hides, alpaca-wool, medicinal and crude drugs to the value of $36,551,390. Her imports during the same time were $20,600,000, comprising iron, steel and railway building materials, textiles, machinery, arms and ammunition, foodstuffs, toilet goods, glass ware, and medicines.

Bolivia is one of the countries where the travelling salesman is sure to be obliged to pay a tax; the porters, hotel employes and others assisting, on a commission basis, of course, the person who has this concession. The fee which amounts to about $115 can often be “side-stepped” by arrangement with the local merchant with whom you may desire to establish a connection. Under no circumstances let it be known that you are a travelling man until you have perfected your plans with regard to this problem.

The following cities should be visited:

Population La Paz (the capital) 85,000 Cochabamba 35,000 Sucre 30,000 Potosi 28,000 Oruro 25,000 Santa Cruz 20,670 Tarija 10,000 Tupiza 5,000

Bolivia may be reached via the three cities referred to, namely Mollendo, Antofagasta and Arica, these places being ports of call for all vessels. Both the Peruvian and Chilean steamship companies, as well as the European lines, touch here also. It is to be expected that some of the larger lines from New York will arrange a service passing through the Panama Canal and calling at these places, thereby saving the long trip around the Horn, or the trans-shipping at Colon and Panama.

VIII PERU

Recent archæological finds warrant some authorities in claiming Peru to have been the home of a highly civilized and cultured people 25,000 years before Christ. The race which inhabited the land then were the Chumus, the progenitors of the Incas, whom Pizarro found when his expedition arrived in Peru from Panama in 1532. The Incas had a socialistic form of government, were able engineers, good surgeons, noted agriculturists and really a wonderful people. The treatment of this docile and intellectual nation by the invading Spaniards is one of the darkest pages of history.

Francisco Pizarro founded Lima, the capital of Peru, in 1535, was appointed by the Crown governor of the newly acquired territory and was assassinated in front of his palace in 1541.

The great wealth which Peru, through her rich mines, contributed to Spain, warranted that country in making this possession a viceroyalty, the viceroy at one time governing all Spanish possessions in South America from Lima.

The movement for independence from Spanish control, started early in the last century, found many adherents in Peru and after several reverses the yoke of Spain was thrown off July 28, 1821, a congress organized in 1822, representing a republican form of government and the first president inaugurated in 1823.

In 1879, over a question of boundary lines, Peru became involved in a war with Chile, lasting five years, the result being the defeat of Peru and the invasion of its capital. As a consequence, Peru ceded one of its richest provinces, Tarapaca, outright to Chile, and the territories of Tacna and Arica conditionally for ten years, at the end of which period a vote was to be taken in these provinces, and the inhabitants were to decide under which country they preferred to remain. The Chileans, despite the repeated requests of Peru, have failed to observe this condition of the peace treaty and these territories with all their wealth still are under the control of the conquerors. The methods employed by the Germans in Alsace-Lorraine have been used here by Chile, and the chances are that this district will always remain in the hands of its present governors.

A President and two Vice-Presidents, together with a legislative body of two branches, a Senate and a House of Representatives, control the destinies of Peru.

Peru contains 687,600 square miles, and is bounded on the north by Ecuador and Colombia, on the east by Brazil and Bolivia, on the south by Chile, its western boundary being washed by the waters of the Pacific for its entire length of 1600 miles. For purposes of comparison Peru covers as much territory as Texas, Nevada, Utah, New Mexico and Arizona.

Three mountain ranges run through this country between which are found extremely fertile and productive plateaus, the scene of much of the country’s agricultural development. The land from the coast to the foothills of the Andes is as a rule barren, and were it not for the Humboldt Current which runs close to the shore and cools it, would be exceedingly tropical. On the eastern slopes of the Andes, as they stretch toward Brazil and Bolivia, there is a wealth of verdure, vegetation and virgin forests, due to the heavy rains and the tropical sun’s action. This comprises three-fourths of Peru’s territory. The table-lands are cool and enjoy a temperate

climate. From June to November, the days are marked by a fine drizzling rain, particularly along the coast but for the rest of the year rain coats and umbrellas are not needed.

Peru claims a population of 4,500,000 but I seriously doubt if it will reach 3,500,000. Of this number fully half are unlettered, ignorant Indians, lacking in ambition, requiring few necessities and living most primitively. One-fourth are half-breeds, the descendants of the conquerors and the Incas. About two per cent. of the population are Chinese. Here it may be noted that many archæologists and anthropologists believe that the early settlers of Peru came from China, across the stepping stones in line with the finger of Alaska which points toward Asia, and by degrees wandered down the western coast of America, finally establishing a government near what is now the city of Cuzco. Perhaps 15 per cent. are pure white. There are nearly 50,000 Europeans and Americans located throughout Peru. Italians and their descendants are most numerously represented, followed by Germans and English.

Peru has no navigable rivers on her west coast, the many streams which empty into the Pacific being dry or very low except during the periods of heavy rains. Properly husbanded their water power could be effectively used. To-day they serve for irrigation and near some of the larger cities, such as Lima and Callao, have been advantageously used for generating electric light and power for tram systems. On the eastern side of Peru there are about 3500 miles of navigable rivers for light-draft vessels, drawing 8 to 15 feet, all of these streams ultimately emptying into the Atlantic.

Iquitos with 20,000 inhabitants, on the Amazon, 2500 miles from the Atlantic Ocean, is the center of the rubber industry, and is more accessible from New York than from the capital of the Republic, Lima.

Peru has 1840 miles of railway, 1300 being standard and 500 narrow gauge. Nearly 3500 miles of road have been surveyed and are in various process of construction. Nominally about 1200 miles of these roads are owned by the Government but are operated and controlled by the Peruvian Corporation, Ltd., an English organization, whose presence is very much in evidence in Peru, and which also operates a line of steamers on Lake Titicaca. Under the present contract with the government this concern is to control the railways under it until 1973, a certain percentage of the profits to go to the State, and another portion to be utilized in railway extension.

The Peruvian Corporation, it should be stated, was organized by Europeans holding Peruvian bonds on which it was impossible to collect the guaranteed interest, due to the mismanagement of the government as well as the outcome of the war with Chile. This corporation took over and cancelled the indebtedness in return for certain privileges among which was the right to exploit the railways.

To Henry Meiggs, an American from San Francisco, Peru and the world is indebted for the completion of what are the most marvelous railways on the globe. By a series of twists and turns, which include 65 tunnels and 67 bridges, it climbs to the highest

point in the world ever reached by a railway, 15,665 feet above sea level in a distance of 138 miles, to what is locally called “the roof of the world.” Some idea of the rapidity of the ascent may be gained when I state that in the first twenty-five miles from Lima the train ascends 2800 feet above the sea, while it reaches 5000 feet twelve miles further on its journey.

Another wonderful road runs from Mollendo through Arequipa and on to Puno, at the edge of Lake Titicaca, passing through the most magnificent scenery and ascending to an altitude of 14,665 feet. There are numerous Americans employed in the management of the Peruvian railways and practically all the rolling stock comes from the States.

The many mountains paralleling the coast make railway construction a difficult and expensive problem. It is possible that this will have much to do with the retarding of the progress of mine development, inasmuch as many of the mineral deposits are almost inaccessible due to their interior location.

Unlike Chile, Peru has many natural harbors, affording protection against storms, Mollendo, Salaverry and Eten being the only ones really dangerous to shipping and life. The ports from north to south are Tumbez, Paita, Eten, Pacasmayo, Salaverry, Chimbote, Huacho, Ancon, Callao, Pisco, Mollendo, and Ilo. The docks at Callao, the leading port, are quite modern and capable of receiving the largest vessels.

[Illustration:

Copyright by Underwood & Underwood

Oroya Line, Peru]

Peru’s products are chiefly mineral and agricultural.

Her mines have long been famous, producing gold, silver, copper, iron, coal, bismuth, lead, quicksilver, tungsten, antimony, molybdenum, vanadium and borax. Her petroleum fields are a source of much revenue. Her guano industry is being revived by protecting the birds which frequent the islands and by restricting the working of these deposits. Sugar cane, cotton, and rice are profitably raised.

The forests of the eastern section are rich in cabinet and medicinal woods.

Copper is the leading metal mined, the production in 1912 being valued at $9,625,000, while the amount of silver extracted in the same period was $5,152,412. Vanadium, used for hardening steel, exists, the deposits being larger than in any other locality. More than $500,000, or 70 per cent. of the world’s output, was exported in 1912. The bulk of these industries is controlled by American capital and many Americans are employed.

There was mined in Peru in 1912, 268,000 long tons of coal, 254,088 of which came from the mine owned by the American companies operating at Cerro de Pasco and was used chiefly in the smelters. Geologists estimate that there is a carboniferous area in this country of approximately 40,000,000 tons of coal.

Peru is fortunately rich in being the possessor of petroleum fields yielding a high-quality oil, much of which goes to the States and Europe for purifying. One local refinery has a capacity of 300,000 gallons per month. The Standard Oil Company owns some of these properties, but the largest holders are British and Italians. In 1912, 214,947 metric tons of oil were produced. The national line of steamers are oil burners.

In 1913 Peru exported over $51,000,000 worth of cotton and $7,500,000 of sugar; $2,000,000 of vicuna, alpaca, llama and sheep's wool; $500,000 worth of cocaine and $3,000,000 worth of rubber. Much coffee, tobacco, and cocoa are grown, most of which is used for home consumption.

Peru's crops are produced chiefly by irrigation, the watersheds on the mountain sides being of great advantage in this connection.

Cotton is manufactured into cloth in mills situated at Lima, Arequipa and Ica. There are also woolen mills but they do not come anywhere near supplying the local demand and much is imported.

Panama hats are largely produced, in 1911 the exports in this line reaching the enormous sum of $2,147,668. Some twenty-five factories in the Cuzco valley are devoted to the production of cocaine, the world's supply largely coming from this section. The cattle and wool growing industries are capable of much greater development.

Peru is on a gold basis, the _sole_ being the unit of value. This is a silver coin and is designated thus "$." Ten _soles_ ($10) equal a gold _Libra_ or pound, worth a pound sterling or $4.8665 U. S. gold and expressed thus "_Lp._," meaning _Libra Peruana_, or Peruvian Pound. A _sole_ contains 100 _centavos_, or cents.

Peru's exports in 1912 were $45,871,504, and her imports $25,066,354, the bulk of the business being done with the United Kingdom, the United States being second. Within the past five years the exports from and imports to the States have materially increased and are rapidly approaching those of our greatest competitor, England. This is due perhaps to the development of the mining industries, under the control of American capital. In 1910, England shipped Peru $8,134,189 worth of goods to our $4,484,214 and Germany's $3,842,855. In 1912 the figures were as follows, England $6,800,708, United States $5,763,423 and Germany $4,557,698. Undoubtedly the figures for 1913, when available, will show a decided further gain for us.

Peru exports copper, gold, silver, mercury, vanadium, bismuth, cocaine, quinine, wool, sugar, petroleum, hides, hats and guano, and imports textiles, mining machinery, oil machinery, pipe, railway supplies, windmills, corrugated iron, tools, hardware, flour, canned goods, shoes, electric supplies, typewriters, mineral waters, wines and liquors.

The bulk of invested capital is English, but in this line the Americans are forging to the front. Germans, Italians, and French are chiefly interested as merchants throughout the country.

There are no taxes or restrictions placed on commercial travelers and samples are admitted duty free.

If you are handling mining machinery or devices for use in mines or petroleum fields, it is apparent that the localities where these industries thrive should be visited personally. Many of the mines have company stores located in their holdings that are worthy of calls, while others maintain purchasing agents in Lima for this purpose. Inquiry of local authorities will give all the information necessary, otherwise the following cities should be visited:

Population Lima 150,000 Callao 35,000 Arequipa 35,000 Cerro de Pasco 18,000 Piura 15,000 Trujillo 12,000 Mollendo 6,000

Cuzco, with a population of 26,000, is hardly worth a visit for business purposes, but is interesting for its historical associations. It was the ancient metropolis of the Inca Empire. Mostly all of its buildings were of stone, set together as wonderfully as the Pyramids, their joints being so perfect that a knife blade cannot be inserted between them. Streets crossed each other at right angles, and were paved with naturally colored stones, forming intricate patterns and geometrical designs, which can still be seen. There was an imposing temple dedicated to the sun, whose walls were studded with gold plates. Water from the mountains ran through the city streets, while around the entire town were fortifications many of which yet remain. Its civilization was of the highest order.

Iquitos, 20,000, should only be visited from Mañaos in Brazil. It is a good business town.

Peruvian ports can be reached via the Straits of Magellan and Smythe Channel from New York or via Colon and Panama. There are direct European steamers from England and Germany weekly, with connections for Panama, either through their own lines or via the Chilean or Peruvian National steamers, both of which make all the ports along the coast. There are also tramp and freight boats from San Francisco which carry passengers, but for personal comfort this service is not to be recommended.

To get to Iquitos, take the river boats from Mañaos, Brazil.

IX ECUADOR

Sebastian de Benalcazar, a lieutenant of Pizarro, on December 6, 1534, was the first European to enter the Kingdom of Quito, the seat of government of the Caras Indians. The Spaniards controlled this territory at different times from Lima, Peru, or from Bogota, Colombia, as conditions warranted.

In 1809 the Ecuadorians attempted to throw off the yoke of Spain, but were unsuccessful in establishing their independence from the Mother Country until May 24, 1822, when General Sucre defeated the Spanish forces at Pichincha, as a result of which Ecuador entered a union, fathered by the Great Liberator, Simon Bolivar, and comprising as its other states Colombia and Venezuela. Internal dissension which grew resulted in the dissolution of this trinity of republics, and on August 14, 1830, Ecuador proclaimed herself an independent republic, adopting a constitution similar

to those in vogue in Latin America. The executive power is vested in a President and Vice-President, the legislative in a National Congress composed of two houses—a Senate and a Chamber of Deputies.

Ecuador has an area of 116,000 square miles, or about as big as the combined areas of Missouri and Arkansas. The Galapagos Islands, which at one time the United States tried to acquire by purchase for a coaling station, lying 750 miles to the westward, with an area about 2500 square miles, also belong to this country.

Ecuador is wedge-shaped, bounded on the north and east by Colombia, on the south by Peru while the waters of the Pacific lap its western shore line.

The climate is diversified, running all the gamuts of change from tropic, semi-tropic and temperate to cold. The tropical region, as may be surmised, starts at the coast line and continues to the foothills where it gradually changes to semi-tropical at 6000 feet, and to cold in the fertile plateau on which Quito is situated at about 9000 feet. Above this in the mountains it is always much colder. The Equator passes across the northern tip of the country near Quito, while two ranges of the Andes run parallel throughout its length for 520 miles, embracing some of the highest peaks in the system, Chimborazo being 20,498 feet high and Cotopaxi 19,613. The plateau between these ranges averages 65 miles in width and has a mean altitude of 8250 feet.

These mountains form watersheds giving rise to two river systems, flowing respectively toward the sea and toward the interior, which ultimately develop into 91 distinct rivers, only one, the Guayas, on which Guayaquil is situated about 60 miles from where it empties into the sea, being of any great commercial value. The other rivers which are navigable for a short distance are the Daule and the Vinces in the west, while the extension of the Amazon in Ecuador, there called Marañon, affords direct communication with Brazil.

A census has never been taken in Ecuador but the population is estimated at 1,500,000. Perhaps 1,200,000 would be nearer the true figure. Seventy-five per cent. are Indians, 200,000 half-breeds, 100,000 white, 2500 negroes, with a floating foreign population of 7500.

There are fewer railways in Ecuador than any other country of South America. One American owned and operated railway running from Duran, on the opposite bank of the river from Guayaquil to Quito, a distance of 285 miles, may be described briefly as the scenic road of the world. There is another road of about 20 miles, and one or two contemplated lines.

Ecuador has been cursed by revolutions, and depressed by the lack of enterprise on the part of its various governments. Guayaquil is perhaps the dirtiest city in the world and at all times a hotbed of filth and disease. For these reasons it has been shunned by tourist and traveler alike, although it is one of the best markets I know of on the West Coast.

The country has no great industries. It is, however, susceptible of enormous developments. It has no agriculture to speak of, but can successfully raise sugar,

tobacco, coffee, cotton, cocoa, bananas, wheat, cereals and tropical and temperate fruits. Its forests are rich in cabinet and hard woods. Medicinal trees abound, as well as the tagua nut tree from which the ivory nut comes, and the species of palm which furnishes the fibre for Panama hats. Cocoanuts are plentiful and of an excellent quality. There are minerals in quantities sufficient to pay for the mining, such as coal, sulphur, copper, gold, iron and silver. Oil has recently been discovered. Over most of the land disease lurks and the ambition of the native is dead.

The monetary unit of value is the _sucre_, named after one of its military heroes; it has a value in American money of 48.7 cents. Ten _sucres_ are the equivalent of a pound sterling and are called a _condor_, after the Andean bird.

There are a few English houses in business here, but the bulk of the trade is under German control. Many Syrians have come to the country and established themselves as petty merchants.

Cocoa is largely grown in Ecuador, the bean being of a high grade, rich in color and fats. Strange to say, practically none of the chocolate of commerce is made here, the crude dried bean only being exported. In 1912 $7,653,505 of this article alone was exported, chiefly to Europe, despite the fact that we, as a nation, are the largest users of chocolate.

Forty million one hundred and forty-three thousand four hundred and fifty-two pounds of tagua or ivory nuts worth $936,511 were exported in the same time, most of it going to Germany to be made into buttons; one German village has fourteen factories elaborating this product into the finished article of commerce.

Panama hats are made by individuals, collected by jobbers, and exported, this trade in 1912 amounting to $1,372,051.

More than $1,000,000 worth of rubber was exported in 1913, and in the same time coffee to the value of $783,787, most of which went to Chile.

The total exports in 1912 amounted to $13,717,884, as against $10,652,843 imports, the leading articles being boots and shoes, candles, ready made clothes, crockery, drugs, food stuffs (flour and canned goods), hats, hardware, machinery, oils, paper, perfumes, textiles, wines and liquors.

I cannot refrain from repeating that Ecuador, due to the prevalence of disease, is passed over by most travelers and as a consequence there is little competition, and one is sure of doing business here if his product is appropriate.

A small license or fee is one of the legal requirements to sell goods in this country, but is more honored in the breach than the observance.

These towns should be made:

Population Guayaquil 80,000 Quito 80,000 Cuenca 35,000 Riobamba 18,000

There is but one city in the Galapagos group of islands, namely Floriana. They are unworthy of any attention from a commercial standpoint.

Ecuador is reached most directly from Panama in about three days. Travelers going to Peru or Panama from any of its ports are detained in quarantine and have their baggage disinfected. This rule is strictly observed. Freight should be sent via any line to Colon or Panama for trans-shipment as there are but few direct boats. From San Francisco the Kosmos Line of Hamburg formerly maintained a bi-monthly direct service which may be resumed after the war. The West Coast Line from New York has irregular sailings via the Strait of Magellan, carrying only freight; the voyage takes about three months as the ships drop off cargo en route.

X COLOMBIA

Columbus on his fourth trip of discovery to the New World was the first European to sight Colombia. He sailed along the coast during September, 1502, but did not undertake to land. Alonso de Ojeda in 1508 obtained a patent from the Spanish crown and after repeatedly repulsing the warlike Indians, secured a foothold at Cartagena, which place he proceeded to fortify. Others with warrants from the King of Spain also entered the territory, ultimately subjugating the Indians and establishing the capital at Bogota in 1538.

The province was called New Granada and was governed by a Viceroy until 1810 when a revolutionary movement deposed him, and on December 17, 1819, the Republic of Colombia was born. Under the guidance of Simon Bolivar, Venezuela and Ecuador joined with Colombia in forming a union of these republics, which could not be held together after the death of the founder, in 1830. On the dissolution of this body of states, the Republic of New Granada came to light November 17, 1831, this title being changed to the United States of Colombia in 1863.

Colombia covers an area of 438,436 square miles, and like the United States enjoys the unique advantage of having a coast line on two oceans—the Caribbean Sea to the northwest being part of the Atlantic and the Pacific on the south and west. Ecuador and Peru form her southern boundary, Brazil and Venezuela are on her eastern frontier, while Venezuela stretches across much of her northern limits, and the Republic of Panama is the only land on the west.

Colombia is a land of mountains, plateaus and wide plains. To the east and south are large areas of level ground known as “_llanos_,” or “_selvas_,” covered with grass and tropical growths including virgin forests. This section has enormous rainfalls, is very warm, unhealthful and sparsely populated, in fact, has hardly been explored. There are three different mountain systems running northeast and southwest, between which are rich, luxuriant valleys, capable of great agricultural possibilities. These mountains contain many extinct volcanoes, of varying altitude, one being 18,000 feet high.

The climate ranges from tropical to temperate, Bogota, the capital, having a uniformly cool and spring-like temperature throughout the year, due to its elevation of 8600 feet. In the lowlands, and especially along both coasts, the heat is oppressive and far from salubrious. This is also true of much of the low-lying interior country. The cities on both coasts are notably unsanitary.

Colombia claims a population slightly in excess of 5,000,000, but I doubt if it really has 4,000,000. About one-tenth of the inhabitants are pure white and there are 200,000 wild Indians, living primitively under tribal chiefs, nominally under the control of the local government. The remainder are mixtures of white, black and Indian in varying proportion, over 300,000 of whom are negroes and mulattoes. Little can be hoped for from the majority of these people owing to their poor source of origin and the climatic conditions which surround them.

The Government recognizes the doctrine of states rights, and is republican in form with the usual branches, judicial, legislative and executive. A President with two Vice-Presidents represent the executive control, and the legislative body is composed of a Senate and House of Representatives.

The mountainous topography of Colombia has had much to do with the scarcity of railways, rendering them expensive in construction and owing to the great distance between possible termini, likely to make them profitless ventures. There are about 650 miles of railroads in Colombia, many of them supplemental to river transportation, or connecting ports with interior towns. It is doubtful if this condition will ever alter materially.

The trade of Colombia is carried chiefly on the Magdalena River, which is 1060 miles long with a swift current, and navigable to Honda, a city 600 miles from Barranquilla at its mouth. A marine railway, around the rapids at Honda, allows small steamers to go about 200 miles above this inland port. Goods intended for Bogota usually go via rail from Puerto Colombia to Barranquilla, a distance of about sixteen miles, and are then transferred to the stern wheeler, wood-burning, river steamers for all the world like those which navigate the Mississippi. A trip from Barranquilla or from Cartagena to Bogota takes via the Magdalena River from ten to fourteen days, according to the stage of water in the river and includes steamboat, railway and muleback travel. In making this trip the traveler is advised to take tinned food and bottled mineral water.

Travel through Colombia at best is difficult, the roads are bad and the hotels miserable. Goods intended for Bogota have six trans-shipments from the ocean to their destination—an argument for good packing.

The Atrato River, which rises in the foothills of the Andes and empties into the Gulf of Darien, an arm of the Caribbean Sea and which England threatened to make into a canal connecting the two oceans if not given special privileges in the Panama Canal, is navigable for about 225 of its 350 miles. The largest river on the Pacific side is the San Juan, being navigable for 150 of its 200 or more miles. The rivers emptying into the Amazon are navigable for canoes and lighters, but are so remote and in such a sparsely populated region as to be negligible quantities in this connection.

Agricultural experts estimate that only one-third of Colombia is susceptible of cultivation, the eastern part being swampy and the high mountain lands incapable of sustaining any growth, especially at an elevation of 13,000 feet. The belt of coast lands with the plateau regions can be made highly productive.

Coffee is perhaps the largest crop grown, in 1913 the output being nearly 55,993 tons valued at $16,777,908, practically all of which came from the Cauca Valley, and nearly all taken by the United States.

Some cotton is grown, of a particularly long fibre, and this industry could be easily developed into a larger one.

Due to the work of the United Fruit Company of Boston, which maintains banana plantations near Santa Marta and Cartagena, the growing of this staple fruit is enlarging into a great business, owing to the fact that the soil and climatic conditions are ideal for its propagation. In 1913, $1,996,999 worth of this fruit alone was shipped.

Rubber to the extent of $736,427, tobacco valued at $442,461, most of which went to Germany, ivory or tagua nuts worth $754,708 and Panama hats to the extent of $1,174,641 were shipped in 1913. These industries are susceptible of a greater increase.

The cattle-raising business could be materially developed in some sections of the country which now grazes about 3,000,000 head. The breeding of goats could be done profitably. Hides to the value of $2,661,721 were exported last year, the United States taking by far the greater portion. Some 30,000 alligator skins are sent annually to the leather markets of Europe and America.

Excellent hard, cabinet and dye woods are to be found toward the interior, but the poor transportation facilities retard the development of trade in this field.

Colombia’s chief wealth is in her mines. There is much gold, also iron, silver, lead, copper and coal. In the production of platinum this country ranks next to Russia. Petroleum is found and the petroleum industry is rapidly assuming large proportions. Practically all the emeralds of the world to-day come from Colombia, this precious stone being worth more per carat than diamonds. The government controls the exploitation of emerald mines, leasing them to operators. The chief groups of mines are the Muzo, the Coscuez, the Chivor and the Cuincha, the first named having a yearly output of 262,548 carats of the first water, 467,690 of the second, 22,700 of the third and 17,800 of the fourth class. The Chivor group, it is estimated, is capable of producing $500,000 worth of these stones per year.

Gold to the value of $6,634,914 was exported in 1913. Its production increases annually. About $1,000,000 worth of silver and $600,000 worth of platinum were shipped abroad in 1913.

Colombia is presumably on a gold standard, having as its unit of value a _peso_ or dollar equal in value to the American one. As a matter of fact, however, the currency in circulation is an inconvertible paper dollar, which fluctuates in value according to the stability of the government. I have seen it take three hundred of these dollars to equal one of ours. Now a paper dollar is worth about one cent gold. Business transactions are usually done in United States dollars or English pounds.

Much of the business of Colombia is in the hands of the Germans who maintain houses at the port towns and branches at other trade centers in the interior. The

English are the next largest investors, followed by the French.

Colombia in 1913 imported goods to the value of $28,535,780 and exported products worth $34,315,252. Of these amounts the United States shipped her 27 per cent., Great Britain 20 per cent. and Germany 14 per cent. Colombia shipped us 55 per cent. of her products, to Great Britain 16 per cent. and to Germany 9½ per cent. Expressed in figures we bought from Colombia $18,861,880 and sold her $7,629,000. It is obvious that we should do a much larger trade with the country, especially when it is practically next door to us. Our trade with her in textiles now is $1,500,000 against England's $3,500,000. In this one line we should be able to make a 100 per cent. increase.

Colombia exports coffee, gold, emeralds, platinum, rubber, tagua nuts, hides, skins, feathers, bananas, hats, and requires textiles, foodstuffs, flour, kerosene, railway supplies, hardware, machinery, medicines, paper, metals, wines and liquors.

While Colombia _per se_ does not impose a tax in order to do business within her territory, many of the municipalities do. This problem is a matter that can generally be adjusted with the leading police official of the city.

The chief cities are:

Population Bogota 150,000 Medellin 72,000 Barranquilla 50,000 Cartagena 40,000 Manizales 35,000 Sonson 30,000 Pasto 28,000 Aguadas 27,000 Cali 27,000 Ibague 25,000 Palmari 24,000 Neiva 22,000 Monteria 21,000 Yarumal 21,000 Cucuta 20,000 Bucaramanga 20,000

Travel is tiresome, cities hard to reach, samples difficult to carry. The country can be thoroughly covered by calling on the trade in Barranquilla, Cartagena, Bogota, Santa Marta, Rio Hacha, Medellin and Bucaramanga. The larger business houses are located at these points and have branches in the smaller cities, to which goods are shipped, and with which they are in close contact.

Colombia may be reached directly from the United States by the United Fruit Company's ships which stop at all ports on the Caribbean Sea, or one may go direct to Colon and there transship to some vessel, of which there are many plying along the coast.

Buenaventura and Tumaco are the largest ports on the Pacific coast and are in weekly connection with Panama through the medium of small steamers.

XI VENEZUELA

Venezuela was discovered by Columbus on his third voyage to America August 1, 1498, at the time of his visit being the home of more than 150 different tribes of warlike Indians, who resisted to their limit the attempts made by Spain to conquer them and explore the country. In 1520, Cumana, on the coast of the Caribbean Sea, was founded and is the oldest European settlement in this hemisphere. The Indians, however, kept up a continuous warfare against the invaders, being gradually pushed into the interior while the conquerors established themselves along the coast in towns fortified to resist invasion from the buccaneers who paid them many visits.

An attempt at independence was made in 1718, which was suppressed. Although quasi loyal to the Spanish crown, there were many abortive attempts at revolution, which finally assumed definite form in 1810 when the citizens of Caracas revolted openly, and declared Venezuela independent July 5, 1811. Spain, however, put down this uprising and reestablished its authority, maintaining control of the colony until August 7, 1819, when Simon Bolivar defeated the Castilian army, and made Venezuela one of the three States of Greater Colombia. With the breaking up of this alliance Venezuela became absolutely independent September 22, 1830.

Venezuela is situated in the northern tip of South America with a northwestern boundary of 2000 miles on the Caribbean Sea. To the east she is bounded by British Guiana, on the south by Brazil and the west by Colombia, a total area of 393,976 square miles, although it is really doubtful if the exact extent of the country is known, especially along the Brazilian frontier. It is as large as Illinois, Indiana, Ohio, Michigan, Wisconsin and Iowa.

There are three different mountain regions in Venezuela—a continuation of the Andes—the Coastal Range and the Parima Range, between which are many high plateaus. The mountain ranges reach an altitude of nearly 10,000 feet, while the highest plateau is about 6000 feet.

Owing to the mountain systems, Venezuela is divided into three climatic zones: the tropical extending along the coast and up into the valley through the center of which flows the Orinoco River, the semi-tropical zone to be found in the llanos or broad plains or plateau between the mountain ranges, and the temperate zone along the sides of the mountains on which is grown the famous coffee for which the country is noted.

The United States of Venezuela is a federal union with a republican form of government, the States, of which there are 20, being entirely autonomous in their internal affairs. The executive power is vested in a President and two Vice-Presidents, and the legislative in two houses—a Senate and a Chamber of Deputies.

While the official estimate of the population is 2,743,000, it is doubtful if the country has 1,500,000 inhabitants. There are about 400,000 semi-nomadic Indians, the remainder being of mixed blood, part Indian, part negro, part white, or a mixture of all three. Pure white and pure negroes are comparatively few. There are perhaps 20,000 Europeans engaged in business and located in the larger cities, the countries represented in the order of their population being Germany, Italy, France, Spain, England and a very few Americans.

In the northwest of the country is situated Lake Maracaibo, 370 miles in circumference, covering an area of 8000 square miles, and navigable over its entire surface. This lake is accessible to the Caribbean Sea by a strait 34 miles long and varying from 8 to 12 miles in width. Its channel permits the entrance of ocean-going vessels of 5000 tons or less.

The fluvial systems of Venezuela are numerous, there being about 70 rivers navigable for shallow-draft boats for over 6000 miles, the third largest river in the world—the Orinoco—with its many tributaries contributing some 4000 miles of this

distance. About 600 miles up this river is situated the town of Ciudad Bolivar, formerly known as Angostura, where the bitters of that name were first made. Regular lines of ocean-going vessels and steamboats run to this inland port, the river being navigable for smaller vessels to San Fernando de Apuri, where the Apuri River joins it over a thousand miles from its mouth. It drains a territory of over 370,000 square miles. Other navigable rivers are the Meta, the Portuguesa, the Yaracuy, and the Escalante. Along the coast of Venezuela there are about 50 harbors and 32 ports.

For its size there are few railways in Venezuela, the total mileage being about 550, and the chances are that it will be many years before there will be any marked activity in this field, due to the topography of the country, its lack of population and its tendency to revolutions. Some idea of the conditions confronting the engineer may be had when I state that the German railway from Caracas to Valencia, a distance of 111 miles, is cut through the mountains in 86 different tunnels and passes over 212 bridges, often coming out of a tunnel on a bridge and into a tunnel again. Every time a revolution started some of its bridges were blown up or tunnels blocked. The English road from La Guaira to Caracas, a distance of 23 miles, has nowhere 50 feet of straight track and goes up the mountain its entire length at a gradient of 4 per cent. The road from Valencia to Puerto Cabello, a distance of 33 miles, owned by an English company, requires a rack and pinion supplemental track to negotiate some of its climbs.

There are no manufactured products exported from this country. The few things elaborated within its confines, matches, candles, shoes, beer, alcohol, sugar and the like, are for local consumption.

The chances are that its people will always be pastoral in their pursuits. Its coffee and cocoa are world famous and form a large proportion of its exports, about 25 per cent. of its population being engaged in this line. In 1912, $15,137,994 worth of coffee was exported, two-fifths of this going to the United States and the remainder to Germany. “Caracas” cocoa is famous, most of the product going to France, which in 1913 imported $2,305,475 worth of this article alone.

Tonka beans, used in flavoring extracts, are shipped to the United States, which bought $137,156 worth of them in 1913.

This country is rich in dye woods, cabinet and hard woods, but the great distance of the forests from the seacoast retards this industry.

“Ballata,” an inferior rubber, much used in the arts and found in the forests bordering the Orinoco and its tributaries, formed an important article of export, $1,767,259 worth being shipped abroad in 1913.

One of the largest asphalt deposits in the world, covering 1000 acres in extent, is to be found in the State of Bermudez. This is owned by an American company and is practically all exported to the States, $294,184 of the $303,589 shipped last year going to America, and the remainder of $9,405 to England.

Venezuela, due to its vast grassy, well-watered plains, is destined to become one of the world’s greatest cattle-producing countries, and is capable of supporting many

million heads. It is estimated that there are more than 2,000,000 goats and 3,000,000 head of beef cattle in this land to-day. Four slaughter-houses adapted to ship frozen meat to Europe were opened and seemed to be on the verge of success when governmental interference closed them.

Hides to the extent of $1,010,636 and goatskins to the value of $365,447, came to the United States from this country in 1913. Feathers, horns, wild animal skins, deer skins and fish-sounds are also large items of export.

The extent of the mineral wealth of Venezuela is unknown, but the chances are that it is exceedingly rich in such deposits. It is certain that there is gold, silver, copper, iron, tin, sulphur, asphalt, coal, lead, petroleum, phosphates, manganese and caolin. One gold mine between the years 1871–1890 yielded $25,000,000. I have seen many Indians bring bottles of gold dust to stores to trade for supplies. There is undoubtedly much gold to be found in the country and the man with determination and enterprise who will follow this clue is sure to get rich returns.

The Island of Margarita, off the coast of Venezuela, and owned by the Republic, produces the finest of pearls and mother of pearl. Other islands off the coast are rich in guano and phosphate rock.

Venezuela is on a gold basis, the _bolivar_, equalling almost 20 cents in our currency, being the unit of value. The _peso_, according to which bills of the country are reckoned, consists of four _bolivars_, and is a fictitious coin not existing in reality. The “_peso fuerte_,” or five-_bolivar_ piece, is a regular silver coin.

The bulk of the business of Venezuela is handled by the Germans, although the United States takes most of its exports, with France second, Germany third and England fourth. German merchants are all over the country, the Italians also are much in evidence.

In 1912, the latest data available, Venezuela exported goods to the value of $25,260,908 and imported articles worth $20,568,940.

She purchases agricultural implements, arms, ammunition, bags for coffee and cocoa, beer, butter, canned goods, confectionery, chemicals, drugs, medicines, flour, glassware, iron-ware, lard, leather, oils, paints, paper, perfumery, railroad material (chiefly from Europe), wall-paper, wines, textiles, cotton and woolen goods, shoes, hats, and exports coffee, cocoa, hides, skins, horns, feathers, dye woods, tonka beans, gold, pearls, guano, phosphate rock, fish-sounds and ballata.

There are no fees or taxes assessed on the commercial traveler, and samples are as a rule admitted duty free.

The following cities should be visited:

Population Caracas 100,000 Valencia 65,000 Barquisimeto 60,000 Maracaibo 50,000 Puerto Cabello 40,000 Ciudad Bolivar 40,000 La Guaira 20,000 Cumana 10,000 Carupano 10,000 Barcelona 10,000

A visit to the Island of Margarita is not necessary because its traders come to the ports of Venezuela for supplies.

Owing to the fact that in Venezuela the consignee can obtain his goods without presenting an invoice or bill of lading, it is well, unless the merchant to whom the goods are shipped is known to be reliable, to send them through some bank or banker, with draft attached.

Venezuela is reached by the Red D Line, flying the American flag, direct from New York to La Guaira, which maintains weekly freight and passenger sailings. The Royal Dutch West Indies Line, under the Dutch flag, sail bi-monthly from New York, having freight and passenger service, but their route involves many stops and takes about twice the time of the direct Red D Line.

Ciudad Bolivar may be reached by either of these lines or by going to Trinidad, B. W. I., on any of the vessels touching there, then taking the river steamers which cross the Gulf of Para and make the Orinoco River landings. Better passage and quicker time can be made for these ports by taking a Red D ship to La Guaira and trans-shipping there to one of the coast boats.

XII CENTRAL AMERICA

Owing to their many points of similarity in productions and climate and their geographical position, the five republics of Central America, the English colony of British Honduras, as well as the Republic of Panama, may be considered together.

Nicaragua and Costa Rica were discovered by Columbus on his last voyage to the New World in 1502, and a small settlement was made by him in Costa Rica, which the Indians afterwards destroyed, being incensed by the treatment received at the hands of the invaders. In 1540 a further attempt to establish a trading-post was successful and finally in 1565 a Spanish governor was appointed, these colonies having proved to be valuable acquisitions to the crown.

[Illustration: CENTRAL AMERICA]

In the meantime, Cortez, having completely subjugated the Aztecs in Mexico, dispatched his officers in all directions to explore the countries to the south. Pedro Alvaredo, after a series of battles, finally established Spanish rule over San Salvador in 1525, and Guatemala in 1527 when he founded the City of Guatemala. Spanish Honduras was acquired in 1526 by means of conquest.

British Honduras was originally a part of Guatemala, the Spanish troops stationed there having conquered it, and it was ceded by Spain to England in 1760.

Panama was a part of Colombia and was discovered by Columbus in 1502 who minutely explored its shore in search of an expected passage to the Pacific. In 1903 it revolted against Colombia and became an independent republic.

In 1821 the five Central American Spanish Colonies, after many unsuccessful attempts at independence formed a Federation, known as the Central American Federation. This independence, however, was short-lived, for Augustin Iturbide, who had proclaimed himself Emperor of Mexico, annexed them to his territory in 1822 despite their protests. After the downfall of Iturbide’s government and the execution of its head, these states again formed a new union in 1824. Continual friction and

lack of harmony among the various countries, caused its dissolution and one state after the other withdrew and ultimately established and proclaimed its independence. Several abortive attempts since the rupture of 1839 have been made to reorganize this union, and the chances are that these states will always maintain their separate individualities.

Each one, including Panama, is organized as a republic, with a constitution based on that of the United States, an executive in the personage of a President, and a legislative body composed of two houses—a Senate and a House of Representatives or Chamber of Deputies.

British Honduras is ruled by a governor sent from England.

Guatemala has a total area of 48,290 square miles, with a population of 2,000,000, the greater portion of whom are Indians, mixed breeds, some negroes, chiefly from the West Indies, and perhaps 50,000 whites, mostly Europeans and Americans. It is bounded on the north by Mexico, on the east by British Honduras, and Salvador, while the Pacific forms its southern and western boundary.

Salvador with an area of 7,225 square miles is the smallest of the Central American Republics. It has a population of 1,700,000 and its people are of a progressive type. There is a large percentage of Indian and mixed blood among the inhabitants with a fair number of whites. The Pacific Ocean forms its southern boundary, Guatemala its western and Spanish Honduras its northern and eastern limits.

Honduras extends over 46,250 square miles, with a population of 600,000, chiefly Indians, 100,000 of whom are uncivilized. There are few whites and many mixed breeds. Its northern boundary is the Gulf of Honduras, an arm of the Caribbean Sea. Guatemala is on its western frontier, Salvador, with a bay of the Pacific Ocean on its south and Nicaragua on the east.

Nicaragua has 49,200 square miles of territory with 700,000 inhabitants, mostly Indians, and mixed breeds, with a gradual increasing of the white race. Honduras runs diagonally across from northeast to southwest, the Pacific Ocean is on its west coast, Costa Rica on the southern frontier, and the Caribbean Sea washes its eastern boundary.

Costa Rica covers 23,000 square miles and has 399,424 citizens, about 7000 being Europeans, Americans or from the West Indies. There are about 5000 Indians and the remainder whites, blacks and mulattoes. Its northern neighbor is Nicaragua, the Caribbean Sea washes its eastern shore, Panama is its southern boundary, while the Pacific Ocean laves its entire western coast.

Panama, 33,800 square miles in extent, with about 400,000 inhabitants, and varying in width from 37 to 110 miles, needs little description. It is bounded on the north by Costa Rica, on the east by the Caribbean Sea, the south by Colombia, and the west by the Pacific Ocean.

Through its center is a strip of land stretching five miles on either side of the Panama Canal for a distance of 45 miles and known as the Canal Zone. By the

Isthmian Canal Convention of November 18, 1903, the United States acquired a perpetual right of occupation, use and control over the Zone, paying the Republic of Panama the sum of $10,000,000, and, beginning February 26, 1913, the sum of $250,000 annually so long as such occupancy continues. The Canal Zone is governed by the President of the United States. The population of this strip during the building of the canal was as high as 70,000, but it is doubtful if it has 30,000 inhabitants to-day. With the completion of the Canal, the force of workmen necessary to maintain it in running order, together with civilian employes and the United States garrison, will make a permanent population of perhaps 25,000.

British Honduras, with an area of 7562 square miles and a population of 40,000, is the only European colony in Central America. Its inhabitants are Indians and negroes, with a few mixed breeds, and less than a thousand whites. It has no railways, although some effort has been made to get capital interested, so far unsuccessfully. The British Government seems to have completely neglected this possession. Its rivers, navigable for some distance, serve all its transportation requirements.

The topography and climate of all these countries is much the same. Mountain ranges cross and recross them, having peaks of considerable altitude, many of which are still active volcanoes. As is obvious, these mountain systems influence the climate to a marked degree, making it always pleasant and spring-like in the plateaus extended between them, as well as in the intermediary table-lands. The higher elevations are always cool, while the low-lying coast-lands are extremely warm and, as a rule, unhealthy. The watershed which they form deflects the streams arising in them toward either the Pacific or the Atlantic. If harnessed these streams could be used to great advantage for light and power. Near the coast they are navigable for small steamers of light draft and canoes and are also useful in getting out lumber, affording a cheap method of transporting it to the coast.

Due to the smallness of the countries, and the complications in the way of engineering problems, especially in the mountains, there are comparatively few railways.

Costa Rica has 490 miles of railroad, by means of which the capital is kept in touch with ports on the Atlantic and Pacific Oceans.

Salvador has about 174 miles of railroad in operation with about fifty more in progress of construction. Transportation in the interior is made convenient and comfortable by the 2000 miles of really good roadway built in accordance with the most modern methods.

Guatemala contains 450 miles of railroads which afford an ocean to ocean communication.

Honduras possesses slightly over 100 miles of road, in a bad state of repair, with obsolete rolling-stock. Engineers are making preliminary surveys which will mean a material addition to the railway mileage here.

Nicaragua maintains about 225 miles of railway which touch her leading cities. In addition to this, Lake Nicaragua, 92 miles long, and Lake Managua, 32 miles long,

are used largely for transportation purposes and have a fair-sized fleet of steamers operating in connection with the railways.

Panama has no railways of its own at present, although $3,000,000 has been borrowed from New York bankers for the purpose of building lines throughout the Republic.

The Panama Railway, owned by the United States Government, passing through the Canal Zone, and about 50 miles in length, may be considered as a portion of the railway system of the Republic of Panama for its citizens have the use of it for every purpose.

Substantially all the railways of Central America are equipped with American rolling-stock and operated with but few exceptions under American control. It is extremely doubtful if the demands of these republics will warrant a very great expansion of railways for years to come.

These countries have no manufactories, and were designed by nature to be agricultural. In time, with the development of steamship service they may become truck gardens for the United States, as their soil is admirably adapted for vegetables, early fruits, melons and berries. In some districts, especially in Nicaragua and in Honduras, cattle could be raised much more extensively. There are mines, but not of sufficient wealth to attract much capital.

Owing to the diversity of zones, there are opportunities for many varieties of fruits, vegetables, and cereals. For centuries these countries have been covered with the most luxuriant tropical growths, so that the subsoil is overlaid with a thick mould estimated at over ten feet deep, capable of excessive productive possibilities. Tobacco, sugar, indigo, rice, corn, coffee, cocoa, cocoanuts, and bananas, are the principal products.

Virgin forests are numerous; in fact they exist throughout Central America. There is an abundance of pine, oak, many natural hardwoods, such as ironwood, and mahogany, plenty of cedar, and a host of ideally grained cabinet woods, susceptible of high polish. Logwood, dividivi, quebracha, and other trees furnish dye woods. Throughout these countries grows the Peruvian balsam from which the well known balsam of commerce comes. There are rubber trees. Much of the chicle from which chewing-gum is made comes from these lands, as well as other gums of a medicinal nature.

Banana growing has done much to bring prosperity to Costa Rica, Guatemala, Nicaragua, Honduras and Panama and the chances are that this industry will become the chief one of all these countries, along their lowlands, which are so well adapted to the propagation of this fruit now so much in demand.

As an evidence of the growth of this business and what it means to these localities, let me state that in 1913 Costa Rica exported $5,200,000 worth of bananas; Panama, $1,150,000; Nicaragua, $425,000; Guatemala, $825,000; Honduras, $1,400,000, and British Honduras, $200,000. And this trade is yet in its infancy. The markets of Europe, notably Germany and England, are also supplied from these countries and

within twenty-five years the demand will undoubtedly double, due to the opening of the Canal, which permits the dispatch of the fruits along the west coast of South America in modern vessels.

Coffee is also an important export. In 1913 Costa Rica exported $3,600,000 worth of coffee; Nicaragua $1,780,000; Guatemala $12,250,000; and Salvador $7,900,000.

Gold and silver amounting to $6000 was exported from Panama last year; $875,000 from Costa Rica; $900,000 from Nicaragua; $900,000 from Honduras, and $1,600,000 from Salvador.

These with hides and skins, cocoanuts, ivory nuts, cabinet and other woods, rubber, balsam, chicle, tortoise-shell, pearl shells, sugar and tobacco form the principal items of export.

The exports and imports during 1913 were as follows:

Country _Exports_ _Imports_ Panama $ 2,467,556 $10,400,000 Costa Rica 10,432,553 8,778,497 Nicaragua 3,861,516 4,966,820 Salvador 9,928,724 6,173,545 Guatemala 14,449,926 10,062,328 Honduras 3,300,254 5,132,678 British Honduras 2,850,000 3,500,000

The bulk of the export and import trade of all of these countries is in the hands of the United States, due to our geographical position, and the fact that we have many citizens living within their boundaries, engaged in various enterprises. England, Germany and France are our closest competitors. Perhaps Germany has more real money invested here, and there is a great preponderance of German mercantile establishments throughout these nations. The following table gives the details for 1913:

IMPORTS TO CENTRAL AMERICA FOR 1913

Country _U. S._ _Germany_ _United Kingdom_ Guatemala $5,053,060 $2,043,329 $1,650,387 Salvador 2,491,146 713,855 1,603,846 Honduras 3,463,662 558,327 751,651 Nicaragua 2,549,026 804,038 939,290 Costa Rica 4,515,871 1,355,417 1,303,187 Panama 5,483,678 970,263 2,453,118 British Honduras 2,250,000 7,280 300,000

EXPORTS FROM CENTRAL AMERICA FOR 1913

Country _U. S._ _Germany_ _United Kingdom_ Guatemala $3,923,354 $7,653,557 $1,600,029 Salvador 2,823,251 1,699,694 705,607 Honduras 2,869,188 176,112 13,467 Nicaragua 1,766,548 702,265 515,381 Costa Rica 5,297,146 509,804 4,364,436 Panama 2,130,000 240,000 86,000 British Honduras 1,325,000 55,000 675,000

Each one of these countries requires cotton and woolens, iron and steel supplies, corrugated iron, tools, machinery, food-products, flour, wines, liquors, mineral waters, wooden ware and manufactures, agricultural implements, soaps, perfumes, pharmaceuticals, surgical instruments, boots and shoes, hats, hardware, oil, candles,

electric supplies, glassware, coffee sacks, socks, stockings, rubber goods, musical instruments and paints. In fact they are dependent upon the outside world for all the manufactured necessities of life.

American money is accepted in preference to any other throughout this part of the world, although each country has its individual monetary system.

In the Canal Zone American and Panamanian money is interchangeable, that is either United States or Panama currency is equally well received. The Republic of Costa Rica as well as the English Colony of British Honduras, are on a gold basis, while Spanish Honduras and Salvador are on a silver basis, the national money in common circulation in Guatemala being inconvertible paper, subject to daily fluctuations, dependent upon market conditions and the law of supply and demand. Nicaragua and Panama are on a gold exchange standard basis.

The following table gives the necessary data as to the monetary units and the respective value in United States gold:—

CENTRAL AMERICAN CURRENCY

Country _Standard_ _Unit_ _Value in _Condition_ U. S. Gold_ Costa Rica Gold Colon 46½ cents Staple. British Honduras Gold Dollar 100 cents Staple. Nicaragua Gold exchange Cordoba 100 cents Staple. standard Panama Gold exchange Balboa 100 cents Staple. standard Honduras Silver Peso 39 cents Practically staple. Salvador Silver Peso 44 cents Practically staple. Guatemala Inconvertible Peso 5 cents Subject to daily paper fluctuation.

In all these countries the subject of commercial travelers' fees may be dismissed briefly, by stating that British Honduras, Costa Rica, Panama and Salvador require the payment of fees and the others do not. By the exhibition of tact it is often possible to evade these charges, especially if proper arrangements are made with some local agent or merchant.

The following cities should be visited:

Country _Cities_ _Population_ British Honduras Belize 20,000 Guatemala Guatemala City 100,000 Quezaltenango 25,000 Coban 23,000 Salvador San Salvador 70,000 Santa Ana 60,000 San Miguel 30,000 Honduras Tegucigalpa 40,000 La Ceiba 10,000 Nicaragua Leon 70,000 Managua 40,000 Granada 15,000 Bluefields 6,000 Costa Rica San Jose 50,000 Cartago 5,000 Puerto Limon 6,000 Panama Panama 40,000 Colon 20,000 Bocas del Toro 10,000

With the single exception of Salvador, all these countries are most easily reached from the eastern coast, there being many passenger and freight vessels with regular sailings from New York, Baltimore, Mobile and New Orleans. The United Fruit Company maintain an excellent bi-weekly service between the chief ports of Central America and New York and New Orleans.

Steamship service along the west coast is miserable, passenger and freight rates being excessive. The passenger ships from San Francisco are old, poorly equipped,

slow and the food inferior. Travelers are recommended to enter these countries from the east, taking the railway across to the west coast, and a local coasting steamer thence to their destination. The Kosmos Line maintains an irregular service from San Francisco. Salvador has a national line of steamships, making calls at ports in Nicaragua, Honduras, and Guatemala and going as far north as Salinas Cruz in Mexico, the western terminus of the Tehuantepec Railway, from which goods coming from the eastern part of the United States, after crossing Mexico, are reshipped for Central American west coast ports.

XIII MEXICO

Prior to the invasion of Mexico by the Spaniards, the Aztecs who inhabited the country, had developed a wonderful system of religion, education, civilization and government. Hernando Cortes landed April 12, 1519, at about where Vera Cruz is now located, marched inland, and with the aid of friendly Indians succeeded in finally conquering the inhabitants, burning their cities, destroying their libraries and killing their emperors, in reward for his service being made Governor of New Spain as the Spaniards called this land in 1522. The Spanish possessions in Mexico and Central America were united for the purposes of government, and a viceroy appointed first in 1535, this method for the control of these colonies being used until 1821. Spanish rule in Mexico, as with all of her dependencies, was harsh, and the spirit of revolt came to a head in 1810, under the leadership of a Spanish priest, Miguel Hidalgo y Costilla, who was defeated and executed in 1811. The movement for freedom was kept alive by another priest, Jose Maria Morales, who was captured and killed in 1815. In 1821 Augustin Iturbide defeated the Spanish army and was successful in having himself crowned Emperor of Mexico July 21, 1822. He was forced to abdicate in 1823, and to leave the country, but returning in 1824, was captured and shot. On the departure of Iturbide, Gen. Antonio Lopez de Santa Ana proclaimed the country a republic, Guadalupe Victoria becoming the first president. Spain sent an army to regain Mexico in 1829 but was utterly defeated, within three months after landing, and ultimately the Spanish Crown recognized the independence of Mexico, Dec. 28, 1836.

[Illustration: MEXICO]

April 21, 1836, Texas seceded from Mexico and was annexed to the United States in 1845, following which Mexico went to war with its northern neighbor, was conquered and had her capital occupied by American troops.

Taking advantage of the American Civil War, Napoleon III, aided by England and Spain, in 1862 placed the Austrian prince, Maximilian, on a throne in Mexico, maintaining him in power by a European army. When the Civil War had terminated and it became evident that the Washington government would oppose this European invasion of Mexico, Napoleon III withdrew his military support, Maximilian was captured, and on June 19, 1867, was shot at Queretaro. On the death of the second Emperor of Mexico, the republic again came into being; six presidents had controlled its destinies up to the assassination of Francisco Madero and the assumption of the executive power by Victoriano Huerta. Porfirio Diaz, who ruled from 1877 to 1911

gave Mexico a stability that it never possessed before or since.

More than 300 successful or abortive attempts at revolution are recorded during the stormy life of Mexican independence. A confusion of empires, republics, dictatorships and military usurpations have succeeded each other with bewildering rapidity. Between 1821 and 1868 the form of government was changed ten times, over fifty persons succeeding each other as presidents, dictators or emperors. And the end is not yet in sight. The curse of anarchy and military dictatorship hangs over the land like a pall. Murder, assassination, execution, rapine, the wanton destruction of property and the complete paralysis of the commerce of the nation make us ask how long can this continue? It is safe to assume that when some man is found strong enough to take up the frayed fragments of this people, and bring order out of chaos, a republican form of government will again be established.

Its constitution, based after ours, calls for a federal form of government, the various states being free to regulate their internal affairs; the executive power is vested in a President and Vice-President elected for six years each, with a legislative body of two branches, namely, a Senate and a Chamber of Deputies.

Mexico, including the islands along its coast and Southern California, extends over an area of 767,097 square miles. Its northern boundary is the United States, a coast line of 4574 miles on the Pacific Ocean marks its western and southern limit, in connection with a portion of Guatemala and British Honduras, while a little section of Guatemala, 1400 miles of the Gulf of Mexico and 327 miles on the Caribbean Sea form its eastern confines.

Two mountain systems traverse the entire country between which are a series of plateaus of various altitudes and many fertile valleys. An evidence of the extent of these elevated table-lands may be formulated when one realizes that Mexico has fifty-three cities located above an altitude of 4000 feet. Mexico City in the valley of Anahuac is 7850 feet above sea level. The mountains have many high peaks and extinct volcanoes, always covered with snow, the chief ones being Popocatepetl, 17,748 feet, Ixtaccihuatl, 16,176 feet, and Ajusco, 13,628 feet.

Owing to the location of the country partly in the Temperate and partially in the Torrid Zones, the climate is diversified, the varying altitudes tempering extreme heat, except, of course, along the low lands near both coasts. There are two seasons—the wet and the dry, the times for the rains being materially governed by the altitude and location, but generally corresponding respectively to our winter months.

The present population is about 14,000,000 although it was estimated to be 15,063,207 in 1910. The greater number of these people are unlettered Indians, and mixed breeds. There are some negroes about the coastal regions. Most of the business of the country is in the hands of the foreigners, Americans predominating, with many English, Spanish, French and Germans.

There are about 16,000 miles of railway in Mexico in actual operation, with 1000 more contemplated. The Mexican government owns 8612 miles of road, while the remainder is controlled by private interests. These roads form a network in the interior, and lead from both coasts and the United States toward Mexico City.

Mexico has no large rivers suitable for the navigation of ocean-going vessels to any great distance. She has, however, much available water power, which is going to waste, and possesses thirty-four deep water ports on her eastern shore and thirty-one on the Pacific.

The chief wealth of Mexico is in her mines, although agricultural products and the raising of cattle add much to her source of revenue, the annual value being estimated at more than $200,000,000.

The soil is exceptionally productive, yielding coffee, henequen, corn, cocoa, tobacco, fruits, beans and cotton. At one time much rubber was exported and there are to-day many estates of cultivated rubber unable to ship their products.

The forests have valuable woods and have been but little exploited. In the north are excellent pine forests, while cedar, mahogany, dye and many cabinet woods abound in the south.

Henequen-growing, from which rope is made, is a prosperous and profitable industry in southern Mexico. Chicle, the gum from a resinous tree, is found throughout the tropical forests of the country, while guayule, a sort of bastard rubber, is being grown extensively. Owing to the troubled condition of Mexico for the past few years, it has been impossible to get authentic data as to the quantities exported in these various lines.

Over $700,000,000 is invested in mining in Mexico, of which sum $500,000,000 is American, $90,000,000 English, $10,000,000 French and $30,000,000 Mexican.

The leading minerals exported in 1912, the latest records available, were:

Silver $44,784,177 Gold 24,952,558 Copper 13,285,192 Lead 3,009,060 Antimony 859,876 Zinc 441,897

The production of petroleum is rapidly increasing, in 1912 over 17,000,000 barrels being the output from the wells.

Mexico has been dependent upon Europe and the United States for her coal supply, her yearly requirements being about 5,000,000 tons of which she produced from local mines almost 1,000,000 tons. There are, however, enormous deposits of this commodity and under proper development Mexico could supply her own needs in this line as well as become an exporter.

The local industries comprise paper mills, cotton-mills, cigarette factories, woolen-mills, breweries, sugar refineries, shoe, furniture and match factories. They produce only sufficient for home consumption.

Mexico exported goods to the value of $150,202,808 in 1913, while during the same period her imports reached the sum of $97,886,169, the United States buying and selling the greater portion thereof.

The following table shows the relative amounts of exports and imports credited to the leading mercantile nations.

Country _Imports from Mexico_ _Exports to Mexico_ United States $48,643,778 $116,017,854 United Kingdom 12,950,046 15,573,551 Germany 12,610,384 8,219,009 France 9,168,977 3,575,509

The monetary system of Mexico to-day is completely disorganized, owing to the issuance of paper money by the many revolutionary leaders. Mexico is nominally on a gold exchange standard basis, the _peso_ having a value in American gold of 49.846 cents. Prior to the present unrest in this country, there were direct banking connections between Europe and the United States.

Some of the states and municipalities charged commercial travelers' taxes, while others did not. As a rule these fees can be evaded.

Under ordinary conditions travel accommodations in Mexico are not bad and the hotels passable.

The following are the leading cities:

Population City of Mexico 500,000 Guadalajara 120,000 Pueblo 100,000 Monterey 65,000 San Luis Potosi 61,000 Vera Cruz 60,000 Merida 50,000 Guanajuanto 42,000 Aguas Caliente 40,000 Morelia 40,000 Queretero 40,000 Zacatecas 36,000 Chihuahua 35,000 Orizaba 35,000 Toluca 30,000 Jalapa 25,000 Saltillo 25,000 Tampico 25,000 Torreon 25,000 Colima 21,000 Campeche 20,000 Irapuato 20,000 Mazatlan 20,000 Cuernavaca 15,000 Manzanillo 12,000

Mexico may be entered by rail from the United States at Nogales, Ciudad Porfirio Diaz, Ciudad Juarez and Laredo. There are many lines of steamships from Europe, New York and Gulf ports, plying to the larger eastern coast cities. Its western coast is reached by direct steamship lines from San Francisco, Canada and one line every two weeks from Japan, calling en route at China, Hong Kong and Hawaii, and proceeding down the west coast of South America, touching at all the leading ports to and including Coronel, Chile.

XIV CUBA

Cuba is so near to us and our commercial and political relations with it are so intimate that it is worthy of careful study. It was discovered by Columbus on his first trip to America October 28, 1498, and in 1511 Diego Velasquez was appointed its first Spanish governor. His principal task was the subduing of the warlike Carib Indians. In 1762 when Spain was fighting England and France, Havana was captured by the English who, when peace was finally declared, returned it to Spain.

Many sporadic attempts at independence were made, the earliest dating from the beginning of the last century when all of Spain's colonies in this hemisphere revolted. None was successful, however, until American intervention in 1898 when Cuba became free and in May 1902 inaugurated her first president.

[Illustration: CUBA, PORTO RICO and JAMAICA]

Cuba, situated in the Atlantic Ocean, but a few hours sail from Florida, is 760 miles long, slightly over 90 miles in width at its eastern end and about 20 miles at its western extremity with about 2000 miles of coast line containing many deep water

harbors. Its area covers 45,881 square miles. Situated 38 miles off the southern coast of Cuba is the Isle of Pines, containing 1214 square miles, with a population of 3500, including many American colonists engaged in raising citrus fruits. The island is governed by Cuba.

The chief topographical features of Cuba are the many mountain ranges which cross and intersect each other, the eastern end being particularly mountainous, with one peak 8600 feet high. Between the mountains are many fertile, healthful and beautiful valleys and plateaus.

The climate varies from the tropical warmth of the coast to cool on the plateaus and on the mountain sides. The trade winds do much to modify the heat and add to the agreeableness of the temperature. There are two seasons, the wet and the dry, the first lasting from May to October, and the dry the remainder of the year, the average rainfall being fifty-four inches. The thermometer ranges from 60° to 92° Fahrenheit. Since the American invasion when its various cities were cleaned up and made sanitary Cuba claims to be the second healthiest country in the world, with a death rate of 12.69 per thousand as against Australia's 12.00 per thousand.

Cuba's population is 2,457,990, about half of whom are white and the remainder black or mulattoes. The larger percentage of her foreign inhabitants are Spaniards, who elected to remain after the close of the war, and Americans.

Her government is of the republican representative type, consisting of a President and Vice-President, elected for four years, and a Senate and House of Representatives, the Constitution being based on that of the United States.

Cuba has 2360 miles of steam railways, over 200 miles of electric systems, and 1246 miles of excellent macadamized roads, which are probably unsurpassed anywhere in the world, and are ideal for automobiling, being over sixteen feet wide.

Most of the rivers of Cuba are short, with currents too swift for navigation. Some of them can be used for short distances by shallow draft boats, a favorite means of getting sugar to ports. The Cauto is navigable for 50 miles and the Sagua la Grande for 20 miles.

Sugar is king in Cuba, the 1914 crop being worth $240,000,000, with only 4 per cent. of the available soil under cultivation, and but 172 estates growing and grinding cane.

Tobacco ranks next in importance, the annual production averaging $32,000,000. This industry is centered in the Province of Pinar del Rio which grows the famous Vuelta Abajo leaf. Much of this tobacco is made into cigars and cigarettes in the country, the local factories exporting in 1913 $13,878,436 worth while leaf tobacco amounting to $17,604,299 was shipped abroad in the same time.

Although the groves are young and have not reached full bearing yet, citrus fruits and vegetables to the extent of $10,000,000 were shipped in 1913. Pineapples, henequen, cedar, mahogany, bananas, mangoes, figs, cocoanuts, tamarinds, guavas, and honey valued at $8,000,000 are annually exported.

In 1911, there were 1074 mines registered with the government, including iron, copper, gold, mercury, lead, zinc, antimony, coal, asbestos, asphalt and manganese, the total production of which in 1913 amounted to $5,068,449, iron being the chief metal exported, valued at over $4,000,000.

Excellent opportunities exist for truck-farming, bee-culture, lumbering, and cattle-raising. Good markets for all these products prevail throughout Cuba and also in the United States.

Nearly $400,000 worth of sponges and $50,000 worth of tortoise shell are annually exported.

In 1913 Cuba exported goods valued at $165,135,059; her imports in the same year being $143,826,829. Her export trade has increased 140 per cent. in ten years and her imports 82 per cent. Since Cuba has been a republic her foreign commerce has increased 250 per cent.

The United States takes 85 per cent. of Cuba’s exports, and supplies her with about 60 per cent. of her requirements; the United Kingdom receiving 11 per cent., Germany 2 per cent., France 1 per cent., and Spain which formerly controlled this trade but four-tenths of one per cent. England exports 13 per cent., Spain 8 per cent., Germany 7 per cent. and France 6 per cent. of Cuba’s imports.

Cuba requires foodstuffs, textiles, shoes, machinery, tools, hardware, chemicals, drugs, toilet and paper materials. The main articles of import, and their value, last year were:

Potatoes $ 1,897,066 Condensed Milk 2,165,766 Flour 4,327,806 Lard 6,148,827 Hams 735,918 Wines and Liquors 1,473,391 Cotton Goods 12,648,470 Shoes 4,980,055

Cuba has just established its own coinage. Its monetary system is on a gold basis. The unit is the gold _peso_, worth exactly one dollar, United States money. A silver fractional currency, with subsidiary coins resembling our nickel, two and one cent pieces, is employed, these also being the equivalent in value of American money of the same denomination. Formerly American currency was in use, and the possibilities are that it will continue to be accepted at its face value through the island.

Banking houses in close association with American financial institutions are numerous here and every modern facility in this connection is afforded. American capital is largely invested in various enterprises; England and Canada are also well represented here.

Commercial travellers pay no tax in Cuba, and samples are admitted duty free.

Travel is convenient and comfortable and the hotels fairly good, especially in the cities.

The following places should be visited:

Population Havana 350,000 Matanzas 75,000 Cienfuegos 75,000 Camaqüey 70,000 Manzanillo. 56,000 Santiago 55,000 Pinar del Rio 53,000 Santa Clara 48,000

Guantanamo 45,000 Trinidad 31,000 Cardenas 30,000 Guanabacoa 27,000

Cuba may be reached by rail or water routes, it now being possible owing to an ocean ferry via Florida to land in Havana in the sleeper in which one left New York.

There are 22 steamers a week from the leading ports of the United States for Cuba, in addition to others regularly from Europe and Mexico. There are weekly ships from New York, Boston, New Orleans, Mobile and Galveston to Havana. There is also direct daily service between Tampa, Florida and Havana.

XV SANTO DOMINGO

The Dominican Republic occupies the eastern and larger section of the island known as Santo Domingo or Haiti.

This island was discovered by Columbus on his first voyage December 6, 1492. The peaceable aborigines whom he found on landing were so abused under the Spanish rule, that by the year 1500 fully 90 per cent. had died and the colonists turned to Africa for slaves to work their estates, 4000 being brought here in 1517.

French, Dutch and English buccaneers made this island their rendezvous owing to its favorable location. France recognized them as constituting a state in 1630 and gave them the protection of the home government. In 1697 France secured control over the western half of the island, and in 1795 obtained by treaty the remaining portion.

In 1809 Spain and France were at war, and Spanish rule was again established on the island. The Spanish-speaking section of this territory declared its independence of Spain in 1821 and in 1822 the Haitians acquired control of the entire island, governing it until 1844, when as the result of a rebellion in 1846 Santo Domingo became independent, remaining so until 1861 when again fearing conquest she petitioned Spain to direct her destinies. Following a revolution in 1863, Spanish rule terminated in 1865, the country since being known as the Dominican Republic. Uprisings and revolutions followed each other and foreign debts accumulated to such an extent that European invasion was threatened. In 1907 the United States undertook to administer the affairs of the government through American officials, cancelling each year from the revenues of the country a portion of its foreign debt, using another portion for internal national improvements.

The present constitution provides for a President as an executive and a Senate and Chamber of Deputies for legislative purposes.

The island of Santo Domingo, or Haiti, is about 400 miles long and 160 wide, its shores possessing numerous deep-water bays and inlets. Four almost parallel mountain-ranges exist within its boundaries, one peak, Mt. Tina, being 10,300 feet in altitude. These mountains form an excellent watershed, resulting in many creeks and streams, but few navigable and those only for very light draft boats.

Along the coast and in the lowlands, the heat is extreme, Haiti being much warmer than Santo Domingo. The high lands of the interior and the plateaus between the mountains are pleasant and healthful. Continuous sea breezes add materially to the

comfort of the inhabitants.

The Dominican Republic has an area of 19,325 square miles and a population of 673,611, mostly blacks or mulattoes. There is a small white foreign population, numbering perhaps 10,000.

There are 160 miles of railway, partially under government ownership, and 250 miles of railway privately owned and used in connection with the larger sugar estates.

There exist exceptional opportunities for cattle and goat raising. Lumbering of hard, dye and cabinet woods could be profitably developed. Gold is washed from the rivers in small quantities and some copper, iron and silver are found.

Cane is extensively grown throughout the island, the amount exported in 1912 being $5,841,357. Cocoa is largely raised, the crop last year yielding $4,248,724. Tobacco, coffee, beeswax, honey, bananas, lignum-vitae, dye woods, mahogany, gums, resins, hides and copra form the other leading items of its exports which in 1913 amounted to $12,385,248.

In the same period her imports were $8,217,898, consisting of cotton goods valued at $2,000,000, iron and steel, $1,400,000, meat and butter $660,000, flour $450,000, drugs $225,000, paper $125,000, and soap $100,000. Last year this country used 16,221,141 pounds of rice, 94.5 per cent. of which came from Germany, a land that does not grow a pound of this cereal.

The United States takes considerably more than 50 per cent. of this country’s exports, and ships it about 70 per cent. of its requirements, Germany ranking next, followed by England and France.

Santo Domingo has no currency of its own, but uses American money. An American bank in Santo Domingo City exists, being the only financial institution in the country, and affords every facility in monetary matters. Credits are fairly good and detailed information will be supplied by the bank.

Travelers pay no tax and samples are admitted duty free.

The chief cities are:

Population Santo Domingo 30,000 Santiago 15,000 Puerto Plata 10,000 San Pedro de Macoris 7,000 Sanchez 5,000

The Clyde S. S. Company (American) maintains a semi-monthly service from New York touching all the ports of the Republic. There are many European lines calling at the various ports also.

XVI HAITI

Much of the history of Haiti is associated with its neighbor, Santo Domingo, and need not be again told. After the French had established their government in this island they imported negroes from Africa as slaves. These revolted in 1791 and in 1801 declared their independence, finally expelling the French in 1804. This land has been the scene of much bloodshed and lacks stability in its government, as it always

will until taken under the control of some strong power.

Its geography and climatic conditions are the same as those of Santo Domingo, its area of 10,200 square miles supporting a population estimated at 2,000,000, French or a “patois” being the language spoken. Perhaps 95 per cent. of its inhabitants are negroes, or have negro blood. The country is backward. But few attempts have been made to modernize it and it is to-day one of the most hopeless nations of this hemisphere. About 75 miles of railways are in operation. No navigable streams exist. There are no roads, travel in the interior being over trails. The natives are ignorant, uneducated and in some portions of the land are supposed to practice cannibalism. There are two seasons—a rainy and a dry—the rainy lasting from April to November.

Haiti’s chief products are coffee, 40,000 tons of which were exported last year, cocoa, dye woods and cabinet woods, medicinal gums, rubber, castor oil bean and bark for tanning. Her exports of $17,300,000 for 1913 were divided as follows:

France $8,500,000 Germany 6,400,000 United Kingdom 1,300,000 United States 1,100,000

while her imports for the same period amounted to $8,700,000, credited to the following nations:

United States $6,500,000 France 800,000 United Kingdom 630,000 Germany 530,000 Others 240,000

Her requirements are for flour, rice, foodstuffs, candles, oil, cotton goods, shoes, hats, and tools.

The country is retrograding and there is no inducement to capital to revive its exhausted financial condition.

The monetary system is in a hopeless tangle, and is on an inconvertible paper basis, a _gourde_ the unit of value, fluctuating from 20 to 24 cents, U. S. Gold. There has been some talk of placing its finances on a gold basis, but this is visionary. There is one bank—Banque Nationale de la Republique d’Haiti, financed by American money, but it has been closed by the government. No one can authoritatively state with certainty as to the outcome in consequence of this condition of affairs. Credits should be closely watched. Owing to the heavy national debt and the inability of the government to administer its affairs, it is quite possible that the United States will sooner or later be forced to play the rôle it is at present doing in Santo Domingo.

There is a tax for travellers but by arrangement with some of the petty municipal authorities the full sum need not be paid. Samples are supposed to be free.

Haiti may be reached from New York via the Clyde Line (American) which disembarks its passengers in Santo Domingo. Tramp steamers or coasting vessels may there be taken to Haitian ports, or one may go directly by the Royal Dutch West India Mail line sailing twice a month from New York.

The principal cities of Haiti are:

Population Port au Prince 65,000 Jeremie 35,000 Cape Haitien 30,000 Aux Cayes 25,000 Mole St. Nicholas 12,000

XVII PORTO RICO

Porto Rico was discovered by Columbus in 1493, and colonized by Ponce de Leon in 1509. Because the greater percentage of the population of the island speak Spanish and have the traits, desires and inclinations of that race, it may be briefly considered despite the fact that it has been an American possession since 1898. Within another 25 years practically all of its 1,120,000 inhabitants will be able to speak or understand English, which is now taught in all the schools, education being compulsory. A large portion of the population are negroes and mulattoes. There are also many Americans and Europeans.

The island is 100 miles long and 35 wide, containing 2,300,000 acres of which but 24 per cent. is under cultivation. It is extremely mountainous toward the interior, one peak reaching a height of 3700 feet, the lowland on which sugar is cultivated being along the coast. The climate is warm but equable and comfortable, the trade winds moderating any tendency toward excessive heat. Porto Rico is a land of continual summer, and maintains its extreme verdure owing to its rainfall which has an annual average of 77.30 inches.

Porto Rico has about 500 miles of steam railways, and nearly 1000 miles of excellent roads. There are no navigable rivers, but many good harbors.

Its government is under the control of the Insular Board of the United States War Department, a governor being appointed by the President of the United States. The Governor has as Council, six resident American officials, and six natives, who with a House of Delegates of 35 members, constitute the Legislative Assembly, the veto power being held by the Executive; legislation is subject to the final revision of the Congress of the United States. A Resident Commissioner to the United States having a seat in Congress is elected by the people every two years.

Since the yoke of Spain was cast off the island has progressed wonderfully under American management. In 1904 its exports amounted to $16,250,000 and had grown to the enormous sum of $43,000,000 in 1914, while its imports in 1904 were $13,000,000; they had increased in 10 years to $35,500,000. Its development and prosperity have been steadily upward. Owing to the fact that it has free trade with the United States, we do most of its business, last year taking $34,400,000 of its exports and sending it $31,750,000 of its imports.

Its chief exports are:

Sugar (400,000 tons) $28,000,000 Tobacco (170,000,000 cigars, 12,000,000 packs cigarettes) 5,000,000 Coffee (20,000 tons) 7,000,000 Fruits (oranges, pineapples, grape-fruit, cocoanuts) 3,000,000

Porto Rico is essentially an agricultural country and will remain so. Cattle can be raised. There are no mineral resources.

Its requirements are for foodstuffs, flour, meats, tools, fertilizer, oil, machinery, cement, structural iron, vegetables, dried fruits, and fish, cotton goods, shoes, wines and liquors, confectionery, butter, and toilet articles.

United States money is used exclusively, as are also our systems of weights and measures. Direct banking is done with the United States through nine banks in the island.

English is the official tongue, Spanish the popular language.

There are no travelers' taxes and samples pay no duty.

The following cities are the most important:

Cities _Population_ San Juan 50,000 Ponce 35,000 Mayaguez 17,000 Caguas 11,000 Arecibo 10,000 Fajardo 9,000 Yauco 8,500 Guayama 8,500 Humacao 7,000 Aguadilla 6,000 Cayey 5,000 Coamo 4,000

Thirteen lines of vessels connect this island with the United States, four going direct to New York and providing a semi-weekly mail service. There are also ships to Europe as well as the nearby islands.

XVIII THE GUIANAS: BRITISH, DUTCH AND FRENCH

Most travelers ignore British, Dutch and French Guiana, assuming that climatic conditions are unfavorable and the small size of the population means no demand for goods. The fact is that they are not unhealthful, that their credit is good, their merchants reliable, their purchasing power in proportion to their inhabitants is excellent and especially the Dutch and British colonies are friendly to us and what we produce. They are well worth a visit, and spend annually in the United States jointly about $3,000,000. Furthermore, they are easily accessible from either Trinidad or Barbados.

British Guiana is by far the largest and most prosperous. This entire tract was at one time in the possession of Spain and was under its control until 1624. The Dutch in 1648, after the close of their war with Spain, and through one of their mercantile companies, obtained a trading port in what afterwards became known as Dutch Guiana. Following their move, the English under Sir Walter Raleigh, acquired their present possession, establishing a town now known as Surinam, the English afterwards giving a portion of this territory to the Dutch in exchange for their holdings in North America. About the same time the French established a colony at Cayenne, and later on came near being embroiled in a war with Brazil over the boundary line, which was finally amicably adjusted.

These three European colonies, the only ones by the way, in South America, British Guiana being the most westerly, French Guiana the eastern and Dutch Guiana between the others, have for their northern boundary the Atlantic Ocean. Venezuela is the western neighbor of British Guiana. Brazil touches each of these colonies as their southern border, also forming the western boundary of French Guiana.

The topography of all of these possessions is similar. Toward the interior are mountains whose watershed forms many small rivers and creeks flowing toward the

Atlantic. Between the mountains and the ocean are broad fields or savannahs, millions of acres in extent, which gradually terminate in the low lands near the sea. In the highlands and toward the mountains of the interior the climate is spring-like, but it is always very warm along the coast, the temperature being about 80° Fahrenheit, the entire year. There is much rainfall—100 inches being the annual average.

British Guiana covers an area of 90,277 square miles, with a population of about 300,000, composed of about 160,000 coolies, imported by contract from India and under the supervision of the British government, the remainder being white, black and mixed breeds. The native Indians have never been counted owing to the inaccessible location of their settlements. The East Indians were brought for the purpose of working sugar plantations, labor being very scarce. There are also about 5000 Chinese.

Georgetown with 55,000 inhabitants is the capital, the other settlements being Essequibo and Berbice.

The exports which represent the country’s products were in 1913:

Sugar $5,250,000 Rum 1,000,000 Gold 1,400,000 Balata 800,000 Rice 500,000 Diamonds 80,000

Of this the United Kingdom took goods worth $9,300,000 and the United States but $125,000.

During the same period, the imports amounted to $7,750,000, England and her colonies supplying $5,545,000 and the United States $1,800,000.

This colony has about 100 miles of railway, its many rivers and creeks sufficing for its interior transportation.

No traveler’s license is required.

Banking is done through Canada and London; banks in these places having branches in Georgetown and selling exchange on New York. English or American money is used.

Sugar is the great crop here and rum, a byproduct from the sugar cane, the next largest. Cattle might be raised extensively. The forests are rich in cabinet woods. Cocoa, rice, bananas, rubber and cocoanuts could be more extensively grown. There are some gold and a few diamond mines in operation. This colony could be much more highly developed.

The business is almost entirely in the hands of the British, England selling about 65 per cent. of its requirements and the United States 25 per cent.

They import bags and sacks, boots and shoes, flour, corn meal, coal, drugs and medicines, vegetables, hardware, machinery, clothes, textiles, oils, wines and liquors, tobacco, cigars and cigarettes.

Georgetown is the only town to visit, and is best reached by either one of the several steamers sailing from Trinidad or Barbados.

Dutch Guiana, sometimes called Surinam, is 46,060 square miles in area, with a population of 87,500, mostly Indians, negroes and Javanese, who are brought out to work the canefields. The proportion of white is small and they are mostly merchants and government employes.

This country is susceptible of agricultural development, its products and requirements being the same as British Guiana. Paramaribo, with 40,000 inhabitants, is the capital and only town that will repay a visit. This colony is not very progressive, and its trade is decreasing. In 1912 its exports were $3,500,000, mostly sugar, with some cocoa, coffee, balata, gold, bananas and rum, of which Holland took $1,500,000 worth and the United States $900,000.

It imported goods to the value of $3,000,000, Holland supplying $1,700,000 and the United States $700,000.

There are opportunities here but for some reason the colony has been neglected, the capital, Paramaribo, having no modern conveniences, not even a water supply, although it is ideally located for sewerage and aqueducts.

Dutch money is in use, although American and English is accepted. Merchants maintain accounts in New York or Europe for their requirements. Credits are good. English is spoken by all business men.

The Royal Dutch West Indies Mail direct from New York has two sailings a month for this colony. It is also accessible from Trinidad, Curaçao, and Barbados.

French Guiana has 49,000 square miles of territory, with a population of about 13,500, some 8,500 of which are convicts, as this is a penal settlement. Capt. Dreyfus was confined here on Devil’s Island. This is the least developed and less promising of these colonies. There is little agriculture and less cattle raising. Whatever trade there is is controlled by France.

In 1912 the exports were:

Gold $2,000,000 Phosphate 55,000 Balata 20,000 Rosewood oil 46,000 Rosewood 19,000 Cocoa and hide 2,400,000

Most of this was shipped direct to the mother country.

Of the imports of $2,000,000, 70 per cent. came from France, our share being $300,000. It is doubtful if our trade here could be materially increased. Cayenne is the only town to visit, and may be best reached from Trinidad or from the French possession of Martinique or Guadaloupe. French money is in use and while dealers give drafts on Paris or London, most of them having business with New York, do so through some branch of the Credit Lyonnais.

No traveler’s fee is required. French is spoken.

All of these possessions are ruled by officials sent from the motherland for a term of years.

XIX EUROPEAN POSSESSIONS IN THE WEST INDIES

Four European countries, England, France, Holland and Denmark, have possessions in the West Indies. They are readily accessible, cleanly, attractive, hospitable, and will repay a visit both for business and for pleasure. All of them are dependent on the outside world for their staples and food supplies, and to-day are receiving great attention at the hands of the Canadian merchant, who has in many instances supplanted us, especially in such necessities as flour, dried fish, butter, potatoes, onions, cheese and fruits. Their trade is well worth catering to, and much of it can be diverted into American channels. With the exception of Martinique and Guadeloupe, English is spoken universally, even in the Dutch and Danish islands.

The Dutch colony of Curaçao consists of the island of that name, and the adjacent islands of Bonaire, Aruba, St. Eustache, Saba and the southern part of St. Martin, the northern portion belonging to France. These islands are small and situated about 60 miles off the coast of Venezuela to the north, having a total area of 403 square miles, Curaçao being the largest, and about 30 miles long with an area of 210 square miles. They are mostly all of coral formation and cannot raise enough food for the sustenance of their 50,000 inhabitants, 30,000 of whom reside in Curaçao.

Wilhelmstadt with 25,000 is the capital and the residence of the Dutch Governor. It is well equipped for coaling and provisioning ships, being a free port, and as it is in the beaten path of travel from Europe to the Panama Canal its future seems bright.

The inhabitants of these islands are poor whites who have intermarried and a few blacks. Curaçao, however, is the home of many wealthy Jews, whose forefathers were banished from Portugal, these islands having formerly belonged to that country. They are all merchants or traders, owning coasting vessels that ply along the Latin American shores and the other islands. Their credit is good and they are thoroughly up-to-date in their business methods.

While Dutch money is used, American, English, French, German and other currency is received at the current rate of exchange. There are no government banks, but each merchant has credits in the United States or Europe and buys and sells exchange against it.

The total exports of these islands are less than $1,000,000 yearly, $300,000 representing coal brought from the United States and resold to steamers. Many straw hats made from fibre imported from Venezuela and Colombia are exported, the yearly production being about $350,000. Aloes to the extent of $70,000 and dividivi, a dye wood, to the value of $25,000, with hides, skins, and a native lace are the chief exports. Aruba ships some phosphate rock and has one small gold mine in operation. Much smuggling is done into Latin America.

This group imports about $2,000,000, $500,000 coming from the United States, $250,000 from Holland and the remainder from the leading European nations. They require flour, rice, beans, onions, garlic, corn-meal, condensed milk, medicines, oil, candles, tinned foods, soups, hams, cottons, shoes and hardware.

No duty or fees for travelers are charged.

The “Red D” (American) Steamship Line has a ship a week from New York to Curaçao, and the other islands can be reached by coasting boats from this port.

The Danish West Indies consist of three small islands in the Caribbean sea, St. Thomas, St. Croix and St. John, their total area being 138 square miles, with a population of about 25,000, mostly negroes, a few mulattoes and some European officials. St. Thomas, the largest in the group and about 26 miles from Fajardo, Porto Rico, is used as a coaling station for Hamburg-American ships in the Latin American trade. Its imports of $1,000,000 in 1913 are chiefly accounted for by one item—coal from the United States amounting to $550,000. Much bay rum is distilled here. The Panama Canal may revive the trade of this island, owing to its location in the lane of steamship travel.

St. Croix, with 14,000 people in its 81 square miles of area, raises sugar and cotton. They also make considerable rum.

The United States in 1913 exported $600,000 of St. Thomas’s $1,000,000 imports and $550,000 of St. Croix’s $800,000 worth of imports.

No fees are charged in these islands for commercial travelers.

American money is used here as much as Danish. There are no banks, merchants maintaining credits in New York or European markets from the sale of their exports and drawing against them. English is spoken universally.

The Quebec Steamship Company sailing from New York connects with St. Thomas; the other islands being reached by coasting vessels from this point. There are many opportunities from San Juan, Porto Rico, to get to St. Thomas.

These people buy from us coal, food stuffs, flour, dried fish, candles, oil, rice, onions, beans, shoes, clothing, boots, medicines, soaps and other staples.

The French islands in the Caribbean Sea are Martinique and Guadeloupe, and they import their requirements from the mother country, owing to the fact that such goods pay no duties. The town of St. Pierre, Martinique, with its entire population of 70,000 inhabitants was totally destroyed by an eruption from the extinct volcanoe of Mt. Pelee, May 8, 1902. Josephine, the first wife of the Great Napoleon, was born at Fort de France, Martinique.

We sell these colonies some food stuffs, oils and necessities, our yearly sales to Martinique being about $700,000 and to Guadeloupe about $900,000.

Martinique raises sugar and manufactures rum, her sugar production being about $3,000,000 yearly, and her rum export equalling $2,000,000 annually. Guadeloupe exports about $3,000,000 yearly, mostly cocoa, bay leaves, and vanilla beans.

The natives all speak French, and are mostly negroes and half-breeds, with the usual admixture of French officials and soldiers. Guadeloupe has about 1200 square miles and a population of 160,000, while Martinique possesses an area of 380 square miles with about 200,000 inhabitants.

The smaller islands of Marie Galante, St. Barts and half of St. Martins also belong to France and get their supplies from either Martinique or Guadeloupe.

The Quebec Steamship Company maintains a direct service between New York and these islands, connections for the smaller ports being made by coasting vessels. France also has a line of ships from Europe direct.

The British West Indies are made up of the following islands:

Trinidad and Tobago, Jamaica and Turks Island, with Caicos Islands and Caymans; Barbados; the Leeward Islands, consisting of Antigua, St. Kitts, Barbuda, Redonda, Virgin Islands, Nevis, Anguilla, Montserrat and Dominica; the Windward Islands comprising Granada, Grenadines, St. Vincent, and St. Lucia; the Bahamas and Bermuda.

Of these islands the population perhaps numbers 1,500,000, mostly blacks, and mulattoes, with a small percentage of white officials and merchants. The larger islands of Jamaica with 900,000 people, Barbados with 200,000 and Trinidad with 300,000 are the only ones worth visiting for business purposes, as merchants in these places have trading connections with residents of the smaller localities. Kingston in Jamaica, Georgetown in Barbados, and Port of Spain in Trinidad are the only large cities, and have good hotels and prosperous business houses.

English is spoken exclusively everywhere and American money accepted at its face value as readily as English currency in all these possessions. The larger islands have branches of Canadian and English banks with direct connection in New York. Credits are good.

In 1913 the exports were as follows:

Trinidad and Tobago $26,000,000 Jamaica and her outlying islands 11,000,000 Barbados 5,000,000 Leeward Islands 2,800,000 Windward Islands 2,900,000 Bahamas 1,300,000 ———————————— $49,000,000

Trinidad, (with Tobago, twenty miles distant), 1754 square miles in area, is perhaps the most important. Of the $26,000,000 it should be noted that $11,000,000 was for coal, trans-shipped and not produced in the country, thereby reducing her actual productive power in money to $15,000,000. Her chief exports were as follows:

Cocoa $7,000,000 Sugar 2,000,000 Asphalt 1,300,000 Petroleum 400,000 Cocoanuts 500,000

in addition to copra, rum and molasses. Of these exports the United States took $7,000,000, France $2,500,000, England $2,400,000, Canada $875,000, and Germany $675,000.

Her imports in 1913 were $13,750,000, England supplying $4,500,000; the United States $4,000,000, Canada, $1,250,000, France $300,000 and Germany $200,000.

Both England and Canada are favored by a preferential tariff.

Jamaica covers an area of 4424 square miles. Its exports in 1913 were $11,000,000 as against $14,000,000 in imports. Her chief exports are:

Bananas $5,000,000 Logwood 850,000 Coffee 750,000 Cocoanuts 650,000 Rum 500,000 Sugar 260,000 Ginger 180,000 Tobacco 180,000

Of these the United States took $6,200,000, Great Britain $2,000,000, France $750,000, Canada $425,000 and Germany $425,000.

Jamaica's chief export is bananas, almost all of which are taken by the United States, who in return sells her 50 per cent. of her imports, England, Canada and Germany following in the order named with $5,300,000, $1,300,000, and $340,000 respectively to their credit.

Jamaica has no preferential tariff with the United Kingdom and will not have so long as the United States continues to be her best customer.

Barbados' area of 166 square miles is the most densely populated piece of land in the world, with 200,000 inhabitants. It imported $6,500,000 worth of goods in 1913 and exported $2,600,000. It is a great coaling station for ocean vessels, its trade in this line alone amounting to $2,400,000 last year.

The United States took $330,000 of its production in 1913 and sold it goods to the extent of $1,850,000. England controls most of its trade. Its chief articles of export are sugar, rum and molasses.

The following table shows the imports and exports of the chief of the remaining islands:

Islands _Imports_ _Exports_ St. Kitts and Nevis $1,250,000 $ 950,000 Antigua 830,000 850,000 Dominica 720,000 735,000 Montserrat 150,000 180,000 Granada 1,350,000 1,800,000 St Lucia 1,500,000 550,000 St. Vincent 600,000 550,000

All of these islands have a preferential duty treaty with Canada and Great Britain, despite which our own sales with them in 1913 were about $2,000,000.

Sugar and rum are their chief products. Dominica and Montserrat export limes, lime juice and citrate of lime. Granada and St. Lucia export cocoa, and St. Vincent's chief product is arrow-root. Last year St. Lucia supplied 135,000 tons of coal to vessels, most of which came from the United States.

The Bahama group, of which Nassau with 13,000 population is the capital, exported last year goods valued at $1,300,000, of which amount $850,000 was in sponges and $350,000 in sisal, the United States taking $620,000 worth. The imports in the same period were $2,000,000, of which we supplied $1,400,000.

Bermuda, 20 miles square with 3,000 inhabitants, depends for its existence upon the tourists who visit it and what we purchase from and ship to its shores. Its chief exports are Easter lilies, potatoes and early vegetables, 4,000 out of 12,000 acres being under cultivation, yielding the islands $500,000 yearly. Of its $2,775,000 imports this country supplied $1,600,000, England $750,000 and Canada $350,000.

None of these islands is self-sustaining. They need the necessities of life; flour, foodstuffs, hams, meats, vegetables, butter, lard, candles, oil, shoes, cotton, textiles, drugs, soaps, toilet articles, glassware, machinery and corrugated iron.

The Quebec Steamship Company and the Royal Mail Steamship Company, sailing from New York, stop at the leading cities of the larger islands, an inter-island steamship service being provided for. The Lamport and Holt line touches both at Trinidad and Barbados on their northward trip and the United Fruit Company boats stop at Jamaica. The Hamburg-American Line ships call at many of these islands.

XX FOREIGN TRADE WITH LATIN AMERICA AND HOW IT DEVELOPED

No military campaign was ever planned with such exactness of detail and precision as that which characterized the preliminary movements of the exporting nations of Europe to acquire control of Latin American markets. When the Franco-Prussian war was over and the Powers of the Old World had settled down to a development of their resources, it soon became apparent that foreign fields must be sought in which to dispose of the excess products of their industry. With that object in view governments, trade associations, manufacturers, shippers, exporters, civic and social societies, colleges, merchants, and individuals united in one harmonious movement to accomplish this purpose. While each nation followed more or less the same general plan, still Germany attacked the problem with the thoroughness so typical of its people that its course in this direction may be taken as an example of what should be done in similar contingencies, and it may be well worth mentioning in detail.

To impress the Latin American people that their trade was courted by the nation as well as the individual producer, government commissions were dispatched from Europe to each of these countries, when possible in a war vessel of the nation sending them. With much pomp and great ceremony visits were exchanged between the members of this body and the authorities ashore and every effort made to develop a national feeling of regard between both parties, very much the same as we did when Commodore Perry opened up Japan to the world. Much time was spent in each country and nothing was overlooked that might be of any aid to accomplish the object in view.

Following these emissaries from the European Power came officials of trade bodies and business organizations, college professors and writers, each one studying the situation from his particular point of view and noting the things most required and the methods under which business was conducted. One of the subjects given the most complete and far reaching attention was the question of banking relations and how to best develop this important field, for it was early seen that this would form the most essential link in the perfected chain of business success. In the meantime the home government had caused to be printed throughout its territory, full and specific facts regarding the countries, the nature of their soils, everything obtainable about the flora and fauna, their mountains and minerals, the various waterways, climatic conditions and what crops could be grown with profit, with complete data concerning business opportunities. Commercial schools were opened wherein the student was taught Spanish and Portuguese, and perfectly drilled in Latin American business methods and etiquette. Realizing that much of their future success in these lands would be dependent upon having colonies throughout them, every effort was made to encourage emigration, the official authorities knowing full well that affection for the Fatherland and a belief in the superiority of its products, would materially help in the

dissemination of its goods and keep up a demand for home made articles, until they had through their own merit obtained a foothold among the natives. As a direct result of this plan of colonization, fully one-fourth of the population of Chile are either German or of German descent, and the southern section of this country reminds one more of a portion of Germany in its type of building, the characteristics of the inhabitants, their dress, the nature of their business and their modes of living than of a Latin nation. The same is also true in the southern part of Brazil, where the Germans have many colonies, each provided with public schools in which natives are really taught German before acquiring their mother tongue.

The real ambassador of commerce—the traveling man—courteous, polite, affable, familiar with trade customs, national mannerisms, and speaking both Spanish and Portuguese perfectly was on the scene early, paying particular attention to the demands of the merchant. If a certain style of cloth was too wide, the obliging German made it of the dimensions required. If the color was too subdued for the aboriginal customer of the native merchant, the pattern and pigment were changed to suit the buyer. If plows were required with one handle instead of two, so that the farmer could have the other free for manipulating his cigarette, his wish was cheerfully complied with. The idea that filled the mind of the salesmen from Europe was to give the customer just what he wanted, and this rule was never deviated from. No attempt was made to force the storekeeper to adopt the customs of Europe in anything, but stress was laid on the fact that their only object was to oblige in every way the buyer, and cater to his demands. The suggestion from the storekeeper that he got six months' time from England's manufacturers, on this line of goods, was combated with the unanswerable argument that the seller would be pleased to bill the order at eight months if desired.

Samples of native-made articles that sold well were also purchased by the wide-awake representatives and sent home with full and complete data as to price, cost of manufacture, quantities consumed, and any other useful hint that practical observation might suggest, so that those in Germany might have an opportunity to experiment with a view to reducing the cost of the article and thereby obtain commercial control of this particular line. In a word, no stone was left unturned to accomplish the object always in view, namely—the complete capture of these markets.

As orders began to come in and were ready for exportation Germany suddenly realized that she was confronted with a problem which she had not seriously considered before—that of a national merchant marine. Without ships this vast business, now practically acquired, was at the mercy of the foreigner who had vessels in which to convey it to the markets across the seas. With the exorbitant freight rates which were beginning to be charged, as cargoes multiplied and ships became scarce, it became obvious that all this newly secured trade would be seriously jeopardized, if not completely lost, unless the entire situation was under the absolute control of the Government and in the hands of the German people. Accordingly the State took up the question, and to make a long story short, the result was the development of the enormous German merchant marine,—perhaps the most complete and perfect in the

world—with subsidies from the national treasury, which enabled ship owners to quote a freight rate per ton so low, that it was cheaper to ship German made goods from Hamburg to Valparaiso, than from Hamburg to many of the interior cities of the Fatherland for home consumption. This last stroke of generalship in this business campaign for commercial supremacy gave Germany the greatest impetus toward reaching the goal upon which her eyes were fixed, and as a result her export trade as well as her import trade, increased by leaps and bounds, making her the envy of all Europe, a condition which in the opinion of many people undoubtedly had much to do with precipitating the European War.

This briefly is the story of how Germany secured control of not only Latin American trade, but much of the over seas business of the world. In the republics to the south of us the national effect of this commercial invasion is very noticeable. Natives were invited to visit and get acquainted with Germans in Germany, and when they accepted were the recipients of such courteous treatment and became so thoroughly impressed with the perfection of the German nation in every field of enterprise, that they returned enthusiasts on the subject. One of the results of this is seen to-day in the armies of Colombia, Mexico, Chile, Argentine, Venezuela and some of the Central American countries. They have all been instructed by German officers, imported for the special purpose and kindly loaned by the German military authorities—a fact worthy of serious thought when we think that some day Germany may turn covetous eyes upon some parts of Latin America. To see some of these troops march past with their peculiar knapsack, their goose-step and the _pickelhaub_ helmet, makes one feel that one is in Germany for the time being, anyway. Throughout the length and breadth of Central and South America are to be found German delicatessen shops and hotels; German stores and breweries; German banks and steamship lines; German salesmen and German schools, each one dependent on the Fatherland for supplies, and in turn playing an effective part and contributing a strenuous share toward forcing Germany to the front in every way.

In developing local markets their methods were equally unique and practical. I recall for instance the first brewery started in Venezuela. Venezuelans knew of beer in much the same way that we of the States know of _mate_, the herb used so extensively in the Argentine, Uruguay and Paraguay, for making a beverage—that is they had read about it and heard people refer to it, but few really knew what it looked like or how it tasted. All were naturally more or less suspicious of it. Nothing daunted the phlegmatic Teutons who had invested their money in the erection of the plant in pursuing their stolid, predetermined plan of introducing beer as a national beverage in lieu of the light clarets and other wines, formerly so much in use in these countries. A building on the most prominent corner of the city of Caracas was leased and in it chairs and tables were arranged as in German beer halls, while adjacent to the bar at which the beer was served direct from the barrel, was a lunch stand which provided excellent delicatessen food. When everything was ready, invitations were sent broadcast to the better class families to come and accept the hospitality of the brewing company without cost for the purpose of becoming better acquainted with the health and strength-giving properties of real German beer. Physicians were “sampled” in detail and told when to prescribe and what to expect from this

wonderful beverage in certain diseases and especially during convalescence. Within a few months' time the saloon became a rendezvous of the elite. Ultimately beer supplanted all other alcoholic drinks in this particular city. The same plan was carried out in other towns and I am certain that Latin America to-day can boast of more breweries, per capita, than Germany. Other local trade problems were attacked and solved in the same sensible, simple and practical manner, the result always being that German products grew in favor and in demand.

England, France and Italy of course developed their business in these lands along much the same lines, but none of these nations showed the deliberately planned aggressiveness and solidarity of purpose, or the determined unity of spirit that animated the German. England did more to establish her connections throughout Latin America along the path of extensive investments in national and local securities, the building of railroads, the dredging of harbors and erection of docks, while France, relying upon the admitted and acknowledged fact that all the civilized world looked to her for its fashions, styles, millinery, articles of clothing and dress, toilet goods, and luxuries, very naturally took advantage of existing conditions and used this as a foundation on which to erect her trade. Whatever commercial prestige either Spain or Portugal acquired in these countries was due almost entirely to the presence of thousands of citizens of these nations, who created a demand for articles of home production, and this is relatively small.

In this simple but thorough manner was the trail to business success in this field blazed. The experiences of our predecessors, and the lessons they learned should stand us in good stead in our efforts and help to direct our feet from all possible pitfalls. In fact we should, by following and improving on their attempts, if this be possible, acquire a commercial supremacy in this territory in less than half the time taken by the Europeans.

XXI METHODS OF DOING BUSINESS

The question of what method to employ in developing a business in Latin America depends primarily upon your capital and the nature of your product. Obviously we manufacture numerous things that these countries cannot use. Many of our manufacturers seem to be totally unaware of the goods suitable for these markets or their peculiar requirements. I have met a man in Brazil selling, or rather trying to sell, snow plows. It is quite apparent that no amount of exploitation or argument could possibly produce results with such a commodity. With the exception of a few of the more southerly cities of South America, and some located in the highest mountains it would be useless to send a representative to these fields for the purpose of introducing a heating system, no matter what virtue it might have. I know of an American canoe manufacturing concern advertising its wares in a portion of the Argentine which is absolutely dry and without navigable water, as a result of which imported bull frogs die of old age without ever having a swim. It therefore behooves one to make a full and exhaustive investigation through all possible sources of information, and ascertain if one's goods are really appropriate for these lands. Another point worthy of consideration is that wares especially adapted to the uses of some countries may be totally unfit for others. Accurate preliminary data of a reliable

nature may generally be obtained by addressing the United States Consuls located at the various seaports of the Latin American countries. These gentlemen are especially equipped for obtaining all the information necessary, and are charged by the United States Government to supply complete details to inquirers.

[Illustration:

A COMPARISON OF CLIMATES

This map shows South America with its cities and countries placed just as far to the north of the Equator as they naturally lie to the south of it, in order to enable comparison at a glance of the climatic relationship between the United States and the South American markets. The effect is the same as if the map of the Western Hemisphere were folded together at the Equator and the impression of the South American part transferred upon the map of North America. The longitudinal position of every part of South America is thus correct.

The map at first glance would lead one to say that Argentina has a range of climate equal to that from the City of Mexico to Hudson Bay, but the climate of South America can’t be judged that way. A cold ocean current along the West Coast and a warm one along the East Coast greatly modify it. The altitudes of parts of the continent within the tropical zone also temper the heat. The extreme north of Argentina is described as having the climate of Southern Florida. The mean annual temperature at the very southermost part of Argentina is said to be about that of Maine with a minimum hardly lower than the moderate one of Puget Sound and a maximum no higher than that of Nova Scotia. All Argentina is said not to have the extreme range of temperature found in the United States. Going to show how greatly ocean currents offset latitude, the islands of Great Britain are also drawn in on the map in their position relative to the Equator. London is farther north than the northermost spot in the United States exclusive of Alaska.

(_Reprinted by permission of the editor of_ The Americas, _published by the National City Bank of New York_).]

The wisest and best plan, once you are determined to enter these fields, is for one of the heads of the firm or one of the leading officers of the company to make a preliminary tour through the lands in question for the purpose of studying the situation and ascertaining the demands existing for similar lines. On such a trip prices should be carefully observed, strict attention paid to duties, freight and other incidental charges. It is by noting and studying these conditions that you will be able to meet and overcome competition. Special care should be exercised in giving the natives just what they want and not in trying to foist on them the thing you wish them to have, even should it be better, cheaper and more practicable. With this object in view, local dealers and merchants should be interviewed and care taken to ascertain every detail that might possibly have any bearing on your future marketing plans. Being thoroughly prepared in advance helps materially in smoothing the road to be travelled. Samples of competing lines with prices and minute data of all kinds should be sent to the home office for reference purposes.

It will soon be apparent, assuming that the official or representative who has gone over the field finds it pregnant with possibilities, that your business in Latin America may be conducted upon one of the following lines:

First. The opening of your own branch house for each country, or for a group of countries.

Second. Establishing an exclusive agency for each country with a resident merchant therein.

Third. Selling through your own representative directly and conducting your own shipping and banking.

Fourth. Marketing your article through some American export commission house.

Fifth. Exploiting your goods through your own representative and turning the account over to a local or native commission house or merchant for forwarding the goods and collecting for the same.

Sixth. Uniting with several manufacturers in allied lines and sending one salesman to represent you, on a co-operative plan.

Which of these particular forms of introduction is best adapted to your special line is a matter for you alone to determine.

Assuming that your capital and commodity warrants you in establishing a branch house in each individual country or in a group of countries, which is by far the best plan of conducting your business, the question of prime importance is that you should be located in or near the leading seaport in order that you may be close to shipping as well as to be able to superintend personally the discharge of goods and their clearance through the slow moving native custom houses. Great care should be taken to be on the leading line of railway, or near as many different lines as possible in order to facilitate the forwarding of goods to their destination and to the interior. These are vital factors and should be carefully weighed in determining your location. If your business is one requiring the carrying of a large and varied stock, it will be rather difficult to get proper warehousing accommodations especially in the metropolis or port and it may be necessary to erect your own building for this purpose.

The adoption of this system of introducing a line of goods requires careful planning and too much stress cannot be laid upon the selection of a tactful and experienced manager for your venture. Banking arrangements must be made. Municipal and state taxes must be provided for and the thousand and one details attended to that are unknown and unheard of in this country, each one of which requires patience and tact in solving and means the expenditure of money and the apparent wasting of much time. In other words the initial expense involved is far greater than a similar undertaking would be in the United States or Europe and only a business yielding large profits can be expected to withstand the immense financial drains to be incurred. While the salaries of the native office help will be comparatively smaller than the prices paid in the United States, still there will be noted an increased cost in maintaining a travelling force as well as the necessary American employes of the

staff. Transportation charges are high and the cost of a salesman on the road in any of these lands means fully double the expenses of a similar man in this country. Travel facilities are poor, distances between markets long and much time must be consumed in each city visited, especially in the preliminary trips, all of which increases the cost of the traveller, and for the first few years makes him a rather expensive luxury. This must be submitted to with patience for upon his efforts depends your success. It therefore follows that the business to be done must be a large one to afford such preliminary charges and its future outlook must be of the brightest character. That such agencies can be maintained at a profit however is proved by the fact that all the large houses of Europe prefer doing business along this line, and within comparatively recent years this is the method being employed by the big American houses and corporations venturing into these territories. The Standard Oil Company, the Vacuum Oil Company, The Singer Sewing Machine Company, The National Cash Register Company and many of the larger mercantile houses and manufacturing concerns maintain their own branch offices in the principal cities of the Latin American countries and are entirely satisfied with the results.

The establishment of your own agency in a country indicates to the public your intention to become a portion of the native business community and gives you a solid standing with the trade besides bringing you in closer and more intimate touch with the consumer. It has many other advantageous features which must be apparent.

Should your business not warrant such an outlay, the next best method of approaching the situation is the appointing of some high-grade, resident merchant, either foreign or native, in each country, as your exclusive representative. It is obviously unnecessary to state that in making such a selection the greatest care should be taken to investigate most thoroughly the business reputation and financial standing of the one appointed. Very often it is wisest to give your agency to some small, young aggressive firm, with limited capital, rather than to a staid old house with much money and prestige. These suggestions are given for what they are worth. Common sense will indicate the concern which in your good judgment is best adapted to represent you properly. Old established houses generally have the capital and means to introduce goods through the country and will often guarantee to place a certain amount of business within the year upon conditions to be specified. Once you have placed your agency, be sure to turn over all inquiries or orders received from within their territory to them for their attention. This I regret to state has not been typical of American houses and has done much to make responsible firms hesitate about accepting exclusive agencies. A strict adherence to this suggestion will tend to establish your honesty of purpose and will be deeply gratifying to your local representatives.

The house accepting your agency will have its own salesmen to travel the country and to introduce your line to the trade in addition to other appropriate means toward this end. They will be only too glad to have your representative accompany their local man from time to time and are highly appreciative of such an interest, because it stimulates both the customer and their representative and at the same time gives you the opportunity of knowing just what they are doing and what they have to overcome

in the way of prejudice and competition. It is always well to aid the local agency with a small advertising allowance, to be spent as your combined judgments may dictate. This gives a further evidence to them of your desire to go after the trade and keeps their interest more intense on your line. Unfortunately too many American houses think that it is unnecessary to spend any money in advertising their goods in these lands. The sooner they take advantage of the advertising possibilities afforded by these virgin fields the larger and quicker will come the returns. Very often it is advisable to make specific allowances to the firm holding your local agency with a view to having their representatives make special trips in your behalf. These are, however, all details to be worked out advantageously between the contracting parties and will suggest themselves as conditions develop.

In the event of your organization having an export department, properly equipped to conduct correspondence in the native tongue and give direct attention to the banking problems arising as well as to shipping and forwarding it is advisable to have your own traveller, or travellers, to cover one or more of the countries or all of the territory involved. This keeps the home office in closer touch with all the details of the business and is to be commended in certain lines of trade but is only advisable when one’s foreign department is thoroughly perfected and in the hands of a competent manager.

Orders sent in by your traveller will contain such complete and specific instructions as to forwarding and banking that they can be intelligently handled at a minimum of expense with your own force. It should be observed however that your representatives for the first few years should make the entire territory once every twelve months at least, and oftener if conditions warrant, in order to keep your goods continually before the dealers and to engrave upon their memories that you are in the field to stay and wish to cater to them and their wants.

If conditions are such that you cannot afford a personal representative the commission export house offers opportunities for bringing your goods to the attention of the native dealer. There are many of these concerns situated in all of the larger cities of the United States; New York, New Orleans and San Francisco being especially well provided with them, owing to the fact that they are the largest ports in the East, South and West respectively and have excellent forwarding facilities. As a rule these firms are well supplied with capital and capable of rendering effective and efficient services. They are open, however, to the one objection that most naturally they will give the greatest attention to the line yielding them the largest profit, and just how to induce them to handle your goods to the exclusion of other competitors is a problem to be solved by you with the concern you decide to use for your purposes. Furthermore, it should be your express duty to see positively that your customer is thoroughly protected against the commission house making any additional charges or increasing the original price quoted by you to your client. This has been a common practice, and has had the effect of tending to retard business and prejudice trade in these lands.

As a rule these agents pay cash for goods when delivered, a feature which has its attractions to the manufacturer or merchant working on a limited capital and

requiring his money promptly. Their financial connections are of a kind that enable them to do this, allowing a very small commission for their trouble. In addition to all these features they have a corps of experts familiar with shipping procedures, insurance problems, the routing of freight, packing, banking, as well as the details of foreign correspondence so that much of the complications and annoyances of the export trade is taken from your shoulders and borne by men familiar with the entire subject. Every few months it is the custom of many of these organizations to send their representatives through the entire Latin American territory with the idea of developing trade and receiving orders. There can be no question as to their place in this field or as to their general efficiency, and it is always well to discuss with some high class commission export house what they can offer your particular line when contemplating the possibilities of doing business in these lands.

A few American merchants have found it expedient to sell goods through their own representatives, turning the accounts over for delivery to some local concern for the purpose of forwarding the goods and making the collections thereon. While this may be advisable under some conditions, still it is not a practice to be commended and is only warranted when the local or native commission agent is of a high grade and financially responsible and where the purchaser is likely to impose upon the buyer through some of the many methods in vogue among a certain type of small native business men.

Rather than entrust the future of one’s business in the export field with an inferior representative, it would be better to co-operate with several manufacturers in allied lines, and send one man to represent the entire group. It is questionable if one traveller could do justice to more than five or six lines and they for obvious reasons should be related to each other, the principal idea being to economize the time and expenses of the one handling them. For example, a representative might carry neckties, shirts, collars, socks, and men’s underwear and hats, or such lines as corsets, stockings, ladies’ underwear and shirt waists might be effectively presented by one salesman.

The strictest care should be taken in the selection of the person to represent each group of merchants and under no circumstances should lines which might sooner or later develop into competing ones be allowed to be carried.

Such an arrangement appeals particularly to the smaller manufacturer or merchant in that it brings his goods to the attention of the foreign dealer at a minimum of cost with a maximum of efficiency and paves the way for developing the market. Many of the leading sellers in Latin America to-day had their start along this line of co-operative selling.

Whatever medium you may feel it wise to select in entering these fields, bear in mind the fact that under no circumstances should your representative overstock the buyer with goods. It is far better to receive small orders at first than to sell large ones which may move slowly. Climatic conditions are such that in Latin America many goods, unless sold quickly, rapidly deteriorate and the consequent loss will fall on the individual merchant and result in complaints from the buyer if he becomes the

possessor of damaged goods, thereby prejudicing your article in his sight. The salesman in thus cautioning a dealer will exhibit his material interest in the future welfare of the merchant and more thoroughly establish a substantial business friendship with his client.

In many of the countries of Latin America, owing to their enormous extent and lack of travel facility, as well as the exorbitant local freight rates and great distances to be traversed it is often wise to establish more than one agency. In Brazil for example, it might be well to place agencies in Rio de Janeiro, Santos, Bahia, Pernambuco, and Para, for the simple but sufficient reason that the freight on goods from New York to any of these ports direct, is less than the local freights between many of these cities. To get from Callao, Peru, on the west coast to Iquitos on the eastern boundary of that republic is a difficult problem. It is really quicker, cheaper and far more convenient and comfortable to come first to New York, then go to Brazil and up the Amazon, to Iquitos, than to undertake the hazardous journey of many weeks across the risky overland trails through the interior of Peru. Assuming that you were desirous of giving an agency for some special line of merchandise liable to be a good seller in the eastern frontier of Peru as well as throughout the republic, one agency should be placed in Callao, or Lima and the other in Iquitos. In Chile, it is likewise often advisable to place an agency for goods in one of the northern ports of the republic as well as in Valparaiso, or Santiago, either Iquique or Antofagasta being selected for this purpose, as being best adapted to reach the center of the nitrate industries.

[Illustration:

Photograph by Underwood & Underwood

Drying hides and skins in Argentine]

Many of the Central American countries, particularly Nicaragua, Guatemala, and Honduras, as well as Mexico, having seaboards on both coasts will present problems for determining the location of agencies accessible to both oceans. These and other conditions will be continually arising. After discussing the matter with your factor or your representative, common business judgment will be the only safe and sane rule to warrant you in reaching a decision.

XXII THE SALESMAN AND THE CUSTOMER

The success or failure of a business venture in Latin America depends materially on the character of the representative sent to these marts of trade. Never having seen or heard of you or your goods, it is most natural for the foreign merchant to make his deductions from your emissary.

The typical ambassador of commerce for South American fields should combine elegance of dress and courtliness of manners; be a linguist; a scholar; a diplomat; a philosopher; always a student and a business man as well. He should continually bear in mind that his visit is unsolicited—that in a sense he is an aggressor, an intruder, and above everything he should conform to the usages that custom has established in this part of the world.

European merchants and their travellers, with the hope of strengthening their position have spread about the unwarranted idea that the Yankee is tricky in all his dealings and this condition must at all times be combated not theoretically but obviously and practically. Be frank with prospective customers. Do not try to load them up with goods. Keep your agreements to the letter. Live up to your contract even if you lose money by doing so. Follow exactly whatever shipping instructions are given.

After an initial visit to a possible client it is advisable to develop his social side. Ascertain to what clubs he belongs and get put up at them, so that an opportunity may arise to see him after the cares that infest the day are gone. You will find the Latin American a gentleman, a past master of the art of etiquette, a Chesterfield in matters of decorum and an agreeable companion. He, like ourselves, has his weaknesses. Find what they are and cater to them. He will be responsive, after he gets to know you. The amount of flattery that he will stand for and assimilate is beyond belief. The Spanish language is especially equipped for the purpose and provides means for raising to its _n_th power the superlative degree. Do not for a moment get the idea that you are dealing with a child, for though, like the Chinaman, he presents a bland exterior, he is uncannily wise. He knows his line and prices and market conditions. Existing in a world of little excitement, few amusements, and one foreign mail per week, his mind is not diverted and he unconsciously concentrates and becomes a specialist in his business. Having always lived thousands of miles from markets he has learned to prognosticate trade developments years ahead.

He expects to talk to you in Spanish excepting in Brazil where the language is Portuguese, and he will tell you that 100,000,000 people all over the world speak in this tongue; that European salesmen converse with him in this tongue. Obviously, if you can discuss affairs with him in his own idiom you are on the road to success. He often speaks French too, and if you cannot talk in the language of the Dons he will ask you to do so in that of the Gauls. Only in the largest establishments of the big seaport towns will one find merchants with an employe or two familiar with English. It is therefore obvious without a knowledge of Spanish a salesman in this territory is hopelessly and seriously handicapped. In fact he is inefficient. Europeans recognizing the importance of this employ only representatives speaking the languages of the countries wherein they travel. I recall meeting a German in Assam talking fluently the native tongue and later ran across him in Arabia conversing in Arabic in the market place. Americans have never been linguists, but in our business lexicon there should be no such word as “impossible.”

I remember an American traveller for an oil machinery house startling those in the dining room of the leading hotel in Lima, Peru, by pointing to the menu and alternately grunting and squealing aloud. He could not talk Spanish. In a few moments the place was in an uproar. Some thought he had gone crazy; others that he was insulting the Peruvians or the proprietor of the hotel. The head waiter rushed to me and asked that I ascertain what the trouble was. Imagine my surprise when my countryman in explanation of his barnyard impersonation said: “I was trying to tell these durned fools that I wanted ham.” Incidents like these are never forgotten;

always magnified when told and invariably hurt us seriously, socially and otherwise. This little affair happening in a foreign country where news is scarce was talked of in the hotels, clubs and cafés, printed in the journals and illustrated in the comic papers. Americans were always referred to by each narrator as uncouth and the story gone into with great detail and precision. Grandparents in Peru one hundred years from now will be telling this yarn to their grandchildren.

I have long ago ceased to wonder at the lack of common sense exhibited by some large American houses in selecting the type of man they employ for Latin America. I recall one well known concern in this country sending a man to sell carbon paper and typewriter ribbons who spoke only English. Of the man personally I will only state that by nature he was the very antithesis of everything he should have been. Calling upon the leading jobber in his line in Bolivia who spoke only Spanish he found it impossible to do business, and undertook to tell his prices by yelling them, a method in vogue among those who have command of one language and who seem to feel that if you can repeat loudly in a crescendo voice, and with great precision, what you have to say your hearer will ultimately by some occult means understand. In the midst of this vocal exercise by the American, a German happened to drop in, also desirous of selling the dealer goods, and kindly offered to interpret for the Yankee, which suggestion was eagerly accepted. The gentleman from the Fatherland was also selling typewriter supplies and I heard him afterwards telling his friends in the hotel with much gusto how he handled the matter. I shall not try to repeat the conversation. It was humiliating for me to think what a fool my fellow citizen had allowed himself to be made. When the American said “These ribbons are $4.00 a dozen,” the German translated: “These ribbons are $8.00 a dozen.” The American salesman told me afterwards that he had written his house that they could not compete with European prices in this market and I am certain that this concern will never again be tempted even to consider Latin American possibilities. These two cases strikingly serve to illustrate the importance of being familiar with Spanish, or the language of the country wherein you are expected to sell goods.

Extremely sensitive and quick to appreciate a kindness, it pays to study the social usages among Latin Americans and to live in conformity therewith when among them. It is, for example, considered good taste to walk always on the side of the street next the curb, to take off your hat and stand uncovered as the funeral of peon or plutocrat passes, to bow generally to those present as you enter a streetcar or café and to salute them similarly as you depart, while gentlemen always raise their hats when they meet. The observance of these frivolous niceties marks the gentleman, the failure to do so the man, and the yawning abyss between these two degrees of masculinity to the Latin American mind cannot be bridged.

Generally speaking every Latin American is named after some saint and observes the festival of this canonized individual both socially and religiously. Ascertain what day this is and always send some little remembrance. It creates an intimacy hard for us cold-blooded northerners to understand. Never forget church and national festivals. Both of these are dearer to the impulsive natives than are our own and are celebrated more elaborately. It pays to keep a memorandum book for this purpose,

noting data of this nature, so as to be always in close personal touch with customers and prospective clients. Little cards and other appropriate souvenirs from the north commemorating these events are highly cherished as well as deeply appreciated and erect invisible and effective barricades about the sympathetic Latin, sufficient to repulse the attacks of other salesmen.

Religion and political conditions should never be discussed. The Latin American is almost always superstitiously religious and intensely political. To take the wrong side of a theological argument may land you in the hospital while an error in judgment on a political problem may mean jail. Both are places to be avoided in these lands. Besides such arguments always serve to make one decidedly unpopular and materially hurt business prospects.

Religious processions are frequent in the streets. They excite curiosity and are often amusing viewed from our standpoint. Do what the populace does as they pass: kneel or raise your hat, otherwise get away from the scene as quickly as you can. Many clerical parades have been turned to riots by some foolish foreigner failing to observe these suggestions.

With but few exceptions, hotels in Latin America are terrible. Toilet and bathing accommodations are poor, the cooking vile and the dishes unpalatable, while the beds are intolerable. Vaults in American cemeteries are far preferable as residential quarters in comparison with some rooms I have slept in in this part of the world, especially in the small towns and villages of the interior. Conditions become rapidly worse the farther away one gets from the larger cities, and as one penetrates out of the way places hammocks and your own food supplies are to be recommended. It would be almost impossible to describe the primitiveness which exists in this part of the Western Continent away from the beaten path. Travel facilities are execrable. Trains are slow and late and accommodations decidedly bad. Steamers are small and stuffy and not safe. River boats are provided with few if any conveniences. Going up the Magdalena River in Colombia from Barranquilla to Bogota, a journey of about ten days, the traveller formerly had to provide his own sleeping accommodations and this _was wise_, and it always showed good judgment to carry tinned food and bottled water.

Appointments are more often honored in the breach than in the observance, more often forgotten or delayed than kept. Business for no apparent reason is deferred to “mañaña” (to-morrow). Time is not considered by our friends residing in the vicinity of the equator.

These and many more heart-breaking conditions will confront you every day of your trip through Mañaña land. Be a philosopher. Don’t grumble. You came for business. These delays and deprivations are only incidents in the game; they make the reaching of the goal all the more of a victory. Grit your teeth and forge ahead. If fleas and mosquitoes and bedbugs bite, don’t revenge yourself on your possible customer, by telling him what you think of his country and countrymen. Learn to smile. It helps more here than elsewhere.

Be a student from the day that you sail from America to the day that you hand in your last expense account. It will improve you mentally and help your firm financially. Study the needs of the various countries through which you pass. Observe what the people require. Listen to suggestions from all sources. European successes in these markets were greatly advanced by giving the people just what they wanted. Yours will come in the same manner. Remember that a vast majority of the population whom you will meet are either Indians or of Indian origin. Their tastes are sure to be primitive, to incline to gaudy colorings and lack practicability. Remember, too, that they are paying the bills. If they want the things that offend your educated, æsthetic eye, forget it and explain to the house why they should make them as desired. It is always easier to follow styles in vogue for centuries than to create new ones and foist them on the public.

Latin America has always been a hotbed for disease. Be abstemious in eating and drinking. Alcoholic beverages should be taboo, inasmuch as they unnecessarily heat the system. Water supplies are inefficient and often polluted. Your drinking water should be boiled; if good water is not obtainable otherwise drink some reliable mineral water. Remember that plague comes from the bite of the flea, and yellow fever and malaria from the bite of the mosquito, so avoid as much as possible the places where these pests are to be found. Daily baths are apt to remove danger from flea bites and sleeping under a net minimizes the possibilities of contracting yellow and malarial fevers. Personal hygiene should always be observed. In twenty years of the roughest and toughest travelling up creeks and down tropical rivers, through forests heavy with dew, across barren, wind-swept plains, over mountains, in high and low altitudes, by exercising these suggested precautions I have had only one serious illness, yellow fever. Conditions have vastly improved since I first began my trips and are getting better every year. With judgment one could now take a journey all over Latin America without any physical dangers or serious illness intervening, and with less risk than he would be liable to encounter on a trip between New York and Chicago.

From a perusal of the requirements necessary for a salesman in this territory, and I may add that I have not overcolored, or underestimated them, it is apparent that the right man will be difficult to find. If a house cannot see its way clear to enter this field with the right kind of a representative, it had better remain out of it altogether or combine with several concerns in allied lines and send one high grade man to represent them jointly. It is extremely doubtful if any one could do justice to more than five firms in such a venture. The plan adopted by European houses is to send a capable young man to one of the countries and let him live there until he has acquired the language, the customs of the people and their ways of doing business. Then they put him on the road. This serves to demonstrate the thoroughness which marked every step of the European conquest of these markets. Our American public schools are now instructing pupils in Spanish and Latin Americans are coming to this country to acquire English in increasing numbers right along, so that the possibilities are that within a few years these conditions will change for the better. To-day, however, the efficient, competent and reliable salesman for Latin America is so rare and so much in demand that he can practically name his own salary.

Nearly every country in Latin America requires that a license to sell goods must be taken out by the salesman before he can do business within its territory, and as a result there has arisen much cause for complaint. As a rule these taxes or fees are entirely too high and out of proportion to those charged anywhere else in the world, thereby creating a natural tendency to evade the law by every possible means. In some localities runners about the hotels stand in with the authorities and for a small sum provide guests with the necessary paper entitling them to sell goods, while in other places the law is practically ignored.

The right to collect this tax in many countries is sold yearly by the municipal authorities for a lump sum to some individual, who always endeavors to collect as much as he can from the concession. Beware of the person who holds this right. He has at his beck and call a score of petty employes about the city and around the hotels who report your movements to him, and the result is generally disastrous to you, especially if you try to do business without his permission.

In the Argentine republic for example each province has a fixed fee for this purpose and the total sum, if paid, would eliminate the profits from the average amount of your sales. Failure to pay generally means a term in jail.

The merchant’s yearly taxes in many countries includes the right to sell goods by travelling salesmen and if he is approached properly by a non-resident representative will allow him to take advantage of his business foresight and use this permit, thereby giving a legitimate and legal opportunity to omit paying these obnoxious charges. By observing these suggestions and the exercise of diplomacy and good judgment, little need be feared from the authorities in this connection.

Before entering a foreign country for the first time, it is well to obtain letters of introduction to leading merchants and especially to government officials. They prove wonderfully beneficial and are highly successful in smoothing out the rough places which are sure to be met with in the paths of business. It generally pays to act implicitly on the advice given by responsible people living in the land wherein you are a pilgrim, for they are well acquainted with local idiosyncrasies, and can suggest the exact spot where a small tip will facilitate matters materially.

Be sure to cultivate the acquaintance of the high grade old time traveller whom you will be certain to meet sooner or later on your trip. You will find him pregnant with pertinent and useful suggestions, which will do much toward making your initial trip a success. Years of experience in the Latin American school of business have given him a marvellous amount of wisdom, which you will always find him willing to dispense if you are the right kind and not trying to impress the world with your superior knowledge.

Both as a matter of courtesy and as a good business proposition be sure to call on the American consular officer whom you will always find at the port. He is in touch with the local merchants, is generally well informed as to market conditions and can give you many practical suggestions. He also has a line on the financial standing of most dealers throughout his territory.

Be sure that your order blanks are printed in triplicate and in Spanish for all countries except Brazil where the language is Portuguese. Ample space should be provided under the captions “Terms”; “How Packed”; “How Invoiced”; “How Shipped.” When possible, I have always insisted on the buyer signing the order and filling in with his own handwriting the spaces referred to. There can be no cause for refusal to accept the goods, if you have complied with the written conditions of the merchant. Very naturally when the order has been signed the merchant should have a copy, another sent to the house, while you retain the third one for your personal files and for future reference.

If possible always carry your samples in one or more cases. Clothes should never be packed with them, but in separate trunks. Now and then you will find officious and over energetic customs officials. Treat them with courtesy, even if they irritate you. Remember that they can make you endless trouble and that they may understand any caustic remarks you may venture to make in English. As a rule, however, these officials are very considerate. If you are selling shoes, it is wise to bring only one sample of each pair. If you carry a line of silverware, have each sample sawed in half. This will at once remove suspicion from you as far as the customs are concerned.

If you are to travel the West Indies, Central America and the northern countries of South America, including Brazil, Colombia, Venezuela and Ecuador, light clothes should be relied upon. Remember too that in the highlands and mountainous districts of these countries it is often cool, especially at night, and a light overcoat is therefore advisable. In the highlands of Peru, Bolivia and Chile, heavy clothes are always worn. The climate of Southern Chile, Argentine, Uruguay and Paraguay is much like our middle States, excepting that the seasons are reversed, their winter corresponding to our summer and vice versa. A trunk packed for a complete trip for all of Latin America should therefore include both summer and winter clothing.

It is wise to pay much attention to the style and nature of your correspondence. American business men for years have been concentrating and condensing their thoughts—saying in a few words the same thing that formerly were expressed in pages. The Latin American has not yet practiced this conservative method of expressing himself and as a result his correspondence is voluminous and he indulges in word paintings that are picturesque and unique but not practical. If you are not as excessive in this respect as he is, the chances are, unless he knows you exceedingly well, that he will construe your letters as brusque and far from courteous. His letters will be filled with the sentimental phrases of past ages. This is his idea of politeness and should be your guide in addressing him. You cannot be too verbose in your communications. He comes from a race noted for its grandiloquent declamations and this typical characteristic, this desire to figuratively gild refined gold, add a perfume to the violet and a whiteness to the lily, means much to him. It is one of his ways of estimating your educational worth and of calibrating your standing as a gentleman. I know of no better exemplification of this than a comparison between the flowery way Latin American letters are terminated and our own. It is more personal, more deferential and more impressive to sign yourself, “Your attentive and secure servant who kisses your hand,” than briefly and harshly, “Yours very truly,” yet the former

method is the one in which practically all letters close coming from these sunny lands.

[Illustration:

Avenida Central, Rio de Janeiro]

Bills, catalogues, price-lists, in a word all “literature” should be in the language of the country for obvious reasons and in having these translated be sure to employ only experienced and able translators. Nothing paves the way for so much ridicule as poorly expressed and badly produced business documents, for the keen eye of the Latin notes errors with great precision. Efficiently produced and artistically printed materials of this nature impress one in these lands and help materially in giving you and your firm a high standing in the minds of the native merchants, while poorly got up pamphlets and the like open his flood gates of criticism and prejudice both against you and your goods. All weights and measurements should be in the metric system.

Be sure always to bear in mind that first-class mail to Latin America, excepting Panama, Mexico, Cuba and Porto Rico, cost five cents an ounce or fraction thereof and three cents for each additional ounce or fraction thereof; all printed matter, one cent for each two ounces or fraction thereof. Be careful therefore to put full postage on all correspondence, otherwise your mail will be delayed and its recipient subjected to a series of fines for your sin in short postage which will have the effect of hurting your cause. Mistakes of this kind are unwarranted and you should caution the house and the one in charge of the mail to put proper postage on letters. Latin American merchants always look upon letters short-posted as a shrewd Yankee plan to make them pay part of the expenses of your establishment. From their point of view this is not far from right either, for they are never guilty of this fault so very prevalent among Americans.

If you have no fixed address instruct your correspondents to send all mail in care of the consul of the United States of America, at each port where you intend stopping. Remember that consuls are to be found only at seaports. To address a letter Care of the Consul for the United States of America, Bogota, Colombia, would practically mean that you would never get the letter, for the reasons that these officials are found for example in Colombia, at Barranquilla, Savanilla, Santa Marta, and along the seaboard. It is unwise to send mail in care of the General Delivery. Later on after you have been over the territory and established friendly relations with some dealer or merchant, mail may be sent in his care.

Passports are unnecessary in Latin America.

Funds should be carried in the form of Letters of Credit. It is wise to take one of these in Dollars and Cents and the other in Pounds Sterling, as there will be many opportunities to use one of these advantageously in selling exchange when the other cannot be so employed. This all depends of course on the local demands for foreign exchange, and before buying money, it is wise to ascertain which letter of credit can be used more profitably. The saving which can be made in the course of a long trip in closely watching the price of money and buying when conditions favor you, is worthy of your best attention.

XXIII CUSTOM-HOUSES AND TARIFFS

No one can fully appreciate what difficulties custom-houses and tariffs can cause until he has had experience with those in Latin America. The custom-house officials deem it their duty to harass, embarrass, annoy and add to the troubles, worries and expenses of the merchant in these lands. They are veritable boulders in the path of business progress. The charges, fees, tariffs, taxes, and the hundred and one incidental and unwarranted expenses which exist in no other custom-houses in the world save in those of Latin America, change from day to day and are susceptible to as many interpretations as there are government employees having any work to do with the goods under consideration. It would be the height of folly to attempt to give tariffs and other custom-house charges in any Latin American country to-day, for by to-morrow fully half of them would be changed, and let me add that the alteration is always in the form of an additional charge and never a reduction. Tariffs are extreme and exorbitant, subject to the whims and financial needs of those in power and liable to complete variation without warning. Customs officials are recruited always from the class of “politicos” hereinbefore discussed. The positions which they fill are the political plums of the land. These men have not the interest of their country, their countrymen or the merchants within their borders at heart. Their desire is to acquire wealth by exploiting those with whom their official duties bring them in contact, and they have reduced this to a perfect science. The doings of Tammany are in the kindergarten class as compared with these exponents of the theory that to the victor belongs the spoils. The schemes designed and resorted to by these modern inquisitors are almost beyond belief, and could only emanate from the brains of those whose ancestors received their schooling in the days when the “_auto da fe_” was common and Torquemada reigned supreme. Let me illustrate by a few custom-house rulings taken at random from different Latin American ports.

In a certain Central American country, clinical thermometers are admitted duty free, according to the government tariff schedule. Laboring under this belief a local druggist ordered one hundred. Imagine his surprise when the customs collector charged him the duty assessed on cut glass decanters, classing the thermometers as “etched glass containers.” Their contents—mercury—was classed as an explosive at a prohibitive rate and for “trying to evade the customs” a fine of $500.00 was added, or instead of getting the goods in, without charges, the importer was obliged to pay $642.50 or go to jail.

In a shipment of pickles, because the invoice failed to state whether they were put up in vinegar or mustard, a fine of $100.00 was collected.

On a box of candy weighing five pounds, sent as a present, the nature of the ingredients of each separate piece of candy was not indicated, and a fine of $80.00 imposed and obtained.

The bar of a famous ex-prize-fighter has been for years in a Latin American custom house because the importer never could raise the money to pay the arbitrary fine exacted. Brass pays a high duty according to the schedule of the country to which this bar was shipped, because cartridges can be made from it, although there is not an

ammunition factory in the entire land. In the decorations of the wooden pillars at the end of the bar, there were one or two strips of brass about two inches wide. The whole bar was assessed as of this metal and a duty and fine amounting to several thousand dollars imposed, which caused the American who bought it and who had intended to open a café in one of its cities, to get out of the place on the first ship, leaving the bar as a souvenir.

An iron bed, with four hollow brass balls as ornaments on the end posts met with the same treatment in the same custom-house, paying a duty of $200.00.

Theatrical appliances are free everywhere, especially if the property of a traveling troupe. Despite this fact and a positive statement to this effect in the tariff regulations, I knew one large Latin American country, wherein a _carousel_, or “flying-horse” outfit, was refused admission unless the owner paid the duty charged on live stock, each wooden horse being assessed at the rate of $25.00, which is the tariff on breeding stallions.

Thefts by minor employees of the custom-house are only too common. As a rule these men are poorly paid and add to their scanty income by appropriating whatever comes within their reach. I have known of cases of soap, provisions, perfumes, shoes and the like to be entirely confiscated in this manner. There is absolutely no redress. Very often the higher employees are implicated in these nefarious practices. In one of the largest and most progressive of Latin American cities, all the foreign and native merchants had been receiving cases short of their invoiced contents. Complaints to the authorities did not remedy matters. Finally the thieves became bolder and the thefts more extensive, many merchants being offered their own goods for sale at prices less than they originally cost abroad. Concerted diplomatic pressure was brought to bear, and an investigation promised. The day before the official hearing, the entire block of custom houses involved was burnt, a strange coincidence being that the four car tracks in front thereof, were occupied with loaded freight cars so that the fire engines could not get near enough to stop the conflagration. All records were thus destroyed and nothing could be done, the loss, involving millions of dollars, falling as usual on the foreign merchant.

Pages could be filled with similar data. All of our consular offices are cognizant of these outrages, yet nothing definite has been attempted to stop them. No matter what precautions the exporter takes, or how closely he follows the shipping instructions, his customer can always be victimized by these scheming officials. European nations suffer equally with us and it would seem that the time is ripe for some united action on the part of the great exporting countries to remedy this growing evil, for that it hurts trade cannot be denied.

Not only are there unwarranted and excessive duties charged on imports but on exports as well, and on these exports we as the largest user of the things produced in Latin America pay the bill. These conditions should be attended to at once, and it should be the business of our State Department to adjust them properly.

On hides, coffee, rubber and sugar, which are the leading exports from these countries, the United States charges no duty, or a merely nominal one. The

remarkable feature of this trade is that every Latin American country imposes on all of these articles heavy export charges, which according to their own laws are unconstitutional, and we pay the bills, at the same time allowing them to impose exorbitant duties, outrageous port charges, and illegitimate fines on our exports to them. It may be argued that in the end the cost is finally borne by them, but the fact nevertheless remains that there is much work here to be done by our government to overcome these conditions for the benefit of all parties involved. It is decidedly unfair for a country to collect revenues both ways, namely, on its exports to us and on our exports to it.

The importer is the one who bears the brunt of these burdens. He is continually paying bribes or fines which are of course added to the cost of the goods. Failure on his part to “come across” means delays, loss of goods, higher port charges and incalculable annoyances. One of the great objections to this system of robbery aside from its basic principle of error is that one shipment does not serve as a means for calculating a price on the next one. A new custom-house official (and custom-house officials are changed in these lands as often as a chameleon changes color) may have come into office between shipments requiring a higher standard of fines and bribes to placate. This obviously hurts the sale of any article and makes the merchant hesitate to renew orders. Both importers and exporters have preferred to be harassed, fearing that their failure to comply with these unwarranted and illegal demands would result in the exclusion of their goods from the country, a condition which has often been imposed. Concerted action on the part of all nations to stop this blackmail would meet with the support of the merchants and importers of these lands, and the sooner some step in this direction is taken the better.

Under the condition of affairs now existing, and the long-continued attitude of our government toward all of Latin America, it seems as if there is no hope for our people or merchants and that we must submit uncomplainingly to these iniquities. There can be no doubt but that the existence of such a state of affairs has done much to retard the healthy growth of trade relations between all of these countries and the rest of the world. Latin-American merchants are absolutely powerless to remedy the situation by themselves. Attempts to improve must come from the outside and be presented through diplomatic channels and most emphatically insisted upon. A determined effort on the part of this government would do much to bring about a change and would be a most potent factor in extending our trade relations in these lands.

It may be argued that despite the system of fines, bribes and graft which are so intimately associated with the Latin American custom-houses the lands are prosperous and their merchants thriving, but the fact cannot be disputed that the practice is decidedly wrong and reflects materially on the integrity and dignity of the nation permitting it and positively hampers the legitimate growth of trade.

XXIV TRADE MARKS

The registration of your trade mark should be attended to as soon as possible if it is your intention to enter the Latin American field with the article which you

manufacture. In many of these countries the laxity of the laws governing this important commercial protection work great hardship on legitimately established enterprises. I regret to state that in nearly every one of these lands, it is legally permissible for anyone to register any trade mark on fulfilling certain simple conditions and the payment of a small fee. The result is that a class of men without scruples are continually on the lookout for articles which are being well advertised in this country, knowing the probabilities are that sooner or later there will be a demand for them throughout the world and especially in the place wherein they reside. Magazines and periodicals of all classes are watched with care and as soon as extensive publicity campaigns are launched in the United States or Europe, the chances are that the trade name of the article being exploited will be simultaneously registered by a native in many Latin American Patent Offices. The next step in the technique of these rogues is to wait until some shipment of the goods in question arrives, a fact easily ascertained by noting the shipping news from the States and reading the invoices and the names of consignees, data which is eagerly sought after and published with great detail by all the papers of the port. An injunction is then immediately obtained and the entire shipment is either prohibited from landing or held in the custom house pending wearying and tiresome legal complications, with the result that the quasi owner of the trade-mark in question is always victorious and the shipment either excluded from the country in toto or awarded to the unlawful owner of the brand, in lieu of court costs and legal fees. In the latter event they are then sold, and the money derived therefrom goes of course to the pirates who had the foresight to register the name. These men often wait for years before accomplishing their purpose and with the idea of ultimately making money from their venture have been known to renew repeatedly the trade-mark, when it expired owing to legal limitations.

Of course on attaching a shipment of goods bearing one of these stolen and registered trade-marks, the native owner always offers to sell out his interest in the same, invariably asking a price absurdly excessive, particularly so when one stops to consider that he is asked to pay a sum for the right to use his own name. Knowing that he holds the whip hand in the controversy, and that you must meet his terms and conditions, if you wish to do business in the country, and further that he has you at a decided disadvantage in many ways, the situation which develops is trying in the extreme. Then follows a period of conferences, time-wasting interviews during which much patience must be exhibited until ultimately practically the original sum of money asked must be paid. This has been the general experience of almost every one who has been so unfortunate as to be confronted by such a situation.

Good business judgment therefore dictates that when you register your trade-mark in the United States, you should also protect yourself by registering it in the principal countries of Latin America. The easiest way to do this is through your patent attorney or legal adviser. If however you have failed to take this precaution, the first duty of your representative on arriving in each of the countries in question should be the registration of your trade name in the proper department of the government.

In order to give this his personal attention he should have a power of attorney authorizing him to act in this capacity. This paper may be prepared by your attorney, and should be in Spanish for all countries excepting Brazil, where the language is Portuguese. This document should be signed with the firm name by the individual having the right to do so and in the case of corporations by the proper officer, and the corporate seal attached. The signature should then be sworn to before a notary public, whose name and seal should be certified to by the Secretary of State for the State wherein the firm or corporation does business or is chartered. The notarial oath and the certificate of the Secretary of State may be in English. These papers should then be sent to the Secretary of State of the United States at Washington, D. C., who will in turn certify to the fact that the signature of the Secretary of State for the State in question is correct and they should then be forwarded to the Ambassador or Minister or proper representative of the Latin American country, wherein it is desired to register the power of attorney, who will in turn certify to the signature of the Secretary of State of the United States. Armed with this much verified and sealed document, your representative is then in a position to sign your name to the application for the trade mark on his arrival, and to conduct any further business before the local government arising therefrom. A separate legal document of this nature is required for each country in which you propose to protect your trade name.

In case your mark is not registered prior to the departure of your representative for Latin America, it is wise to pursue the course above outlined and have him take the matter up personally. It often happens that by the exercise of judgment and through acquaintances which will be made, or the prestige of the local attorney whom your agent will retain, many objections which might seem unsurmountable can be easily overcome by the man on the ground. Oftentimes too, the mark can be altered in word or design, so as to evade one already registered without in any manner affecting your rights.

When one stops to consider that much over 80 per cent. of the population of these countries are unable to either read or write, and that they are therefore forced to recognize an article by some distinguishing sign or character, the great value of an easily discernible, prominent and effective trade-mark becomes obvious. As a matter of fact the Indians who make up the greater portion of the purchasing public of these countries know goods only by brands and ask the storekeeper for them by their distinguishing names.

Another feature to be most seriously considered in selecting a name for your article in Latin America is that the Spanish alphabet contains no “W.” This letter is formed, when it is necessary to use a word employing it, by combining two V’s,—thus VV. Even to the educated native this letter is unpronounceable. It is therefore quite obvious that no word containing it should ever be used for distinguishing any brand. Such a trade mark, for instance, as “White Wings” instead of attracting custom, would act otherwise, owing to the extreme sensitiveness of the native in fearing criticism in pronouncing the words.

Once your trade mark is established, no matter how crude it may be, never change it. I know of a firm in Baltimore who formerly did an enormous business in lard with

Brazil. The cans which they used for export purposes were a gaudy blue color and decorated with a pig of elephantine proportions. For economic reasons they decided to use plain tin cans, stamping the porker in relief thereon, but preserving his pachyderm proportions. The result was a package equally as good, as far as shipping purposes were concerned, with a saving of about two cents on each one. As a consequence of the alteration the merchant was absolutely unable to sell the goods shipped in the new container, and when later on the manufacturers tried to regain the field which they lost, by sending their former tins, the natives were sure that they were being deceived and refused to buy these goods also. Competitors who had eagerly sought this market took advantage of the situation and the Maryland house was completely shut out of the territory and absolutely lost their business.

Another illustration may serve to impress the importance of maintaining your trade mark in its entire originality. The Chinese are great consumers of canned salmon, and our Western fisheries supply much of the article. One firm in San Francisco had a brand well liked and very famous among the Celestials. The label on the tin showed a highly colored salmon having the wrong number of fins, with tail elevated in the act of leaping over a waterfall down stream, while the background was filled with tropical palms and cocoanut trees. The trade mark was simplicity itself, and was recognized with favor all over the Flowery Kingdom. Higher education however completely removed the brand from the map. The head of the house had a son just from college, who had been recently admitted to the firm. He started to clean up things—to be 100 per cent. efficient. His æsthetic and educated eye at once saw that the label on the brand which had made the firm's fortune was a living lie. Salmon were not colored like the rainbow; leaped up stream only; had less fins and depressed their tails when doing acrobatic feats. And horror of horrors—no tropical palms or cocoanut trees grew in the vicinity of the salmon's habitat. So the label was reconstructed and made a work of art, scientifically and piscatorially correct, and not a mere illegitimate combination of wrong details. Then goods with the new and authentic label were shipped. When they got to China no Chinaman could be induced to buy them. They became dubious at once of the changed label. Living in a land of suspicion they knew intuitively that some designing schemer was falsifying their favorite trade mark. "No samee chop" was the laconic reply when told that these were the old and well known goods in a new dress. Argument was useless. The brand was completely lost to the market. I know one merchant in Hong-Kong who was forced to throw two car-loads of this salmon into the sea, because space in his "go-down" or warehouse was worth more than that occupied by unsaleable stock.

Should you for some reason contemplate altering your trade mark or the color or shape or size of your container, always take the wise precaution of consulting the merchant handling your goods abroad and if possible adopt or be guided by his suggestions. He is on the firing line and has his finger on the pulse of the buyers, therefore his opinion is worthy of the most serious attention.

As typical of the high-handed hold ups of the local Dick Turpins, who have registered trade marks under their own names in Latin America let me state that I know of two American patent medicine men whose products have been extensively

advertised and are almost household words in the United States, paying $28,000 and $25,000 respectively for the privilege of using their own names in one country of South America. Both of these concerns had been doing business in the United States for forty years and they afterwards ascertained that the gentlemen (?) who had registered their names had been waiting patiently for their coming all the time. A well known mineral water, within the past two years, paid according to my positive knowledge $2500 for their trade-mark and considered that they got off remarkably cheap. The price originally asked was $20,000 and their representative spent three months on the ground using every possible means to reduce the figures of the original demand. In the meantime nearly 500 cases of the water in question were held up by the authorities, who refused to allow them to be landed until they had the written consent of the native holding the registration papers. A prominent typewriter company flatly refused to pay the excessively high sum demanded by the party holding the right to use their trade mark, reversed its name, and now sells its machine by this unpronounceable designation. Pages could be filled with similar illustrations, showing the great importance of properly protecting your trade mark at the start.

XXV FINANCE AND CREDITS

The science of foreign banking is the most difficult to understand of all the departments of modern finance. It requires the experience of experts whose knowledge must be the most profound and complete and includes such details as the conditions of the world’s markets, the existing crops, factory productions, local and extraneous political affairs, as well as external and internal commerce.

European financiers and merchants soon recognized the importance of reciprocal banking arrangements between the home countries and foreign fields and as early as 1862, anticipating the growth of Latin America and sensing the financial necessities of its future merchants, opened the London and River Plate Bank, which with its ramifications of branches and agencies in Argentine, Brazil, Chile, New York, and various European countries has been a potent factor in developing and controlling business along British channels. Following the pioneer move of this corporation, other institutions were organized in England, until to-day the amount of British capital invested in banks in all of Latin America is close to $500,000,000.

[Illustration:

Calle Rivàdavia, Buenos Aires]

Realizing the benefits to be derived from such monetary connections in these countries and knowing that a bank’s co-operation meant much to both the buyer and seller and formed perhaps the strongest link in the chain of foreign commerce with which they hoped to girdle the world, Germany followed in the footsteps of England and opened a similar series of institutions in the same territories, even going so far as to have branches in England, knowing the decided preference for “bills on London.” Through their offices in the English capital, they succeeded in keeping as much as possible of the business they acquired abroad in their own hands, reaping all possible profit from every transaction. In their turn, and as their foreign trade demanded it,

France, Italy, Spain and Switzerland entered the field but on a much smaller financial basis, at the same time restricting their activities so as to confine them more to the home countries and to persons of their own nationalities engaged in this field of commerce.

Only recently have statutory and business conditions warranted the advance of the American banker into this sphere of finance. To-day in Latin America our banking institutions may be found in the Argentine, Brazil, Panama, Cuba, Santo Domingo, Porto Rico, Mexico and to a small extent in Haiti. As it becomes apparent that our merchants and those of other countries require financial organizations to further and facilitate trade with the United States, additional establishments will be opened in these lands until ultimately the dollar will be so enthroned in the estimation of the business world that it need pay no homage to the Pound Sterling, which up to the present has been Emperor Supreme in the Realm of Finance.

That this movement is judicious no one familiar with this trade will for a moment dispute. The ability of the British banks, through their strong financial arteries, gave them exceptional opportunities to force business into the hands of English merchants, by obliging the seller of exchange, for example, in Buenos Aires on New York to pay from 1 per cent. to 1.5 per cent. more than if he sold on London, or if he desired to buy, to pay a correspondingly higher price for a draft on New York than on London. In addition to exerting thus their powers through a high rate of exchange to drive merchants into British markets, the profits in the transfer of money incident to the transaction were enormous. The truth of this statement is vividly apparent when we are told that in 1912, “bills on London” valued at $9,025,000,000 were sold, on every penny of which a fraction of a per cent. of profit was made by English bankers.

It is not deemed necessary for the purpose of this work to go into the intricacies of the banking problem in Latin America. Such incidents as local loans, credits and financing, need not concern us, and are best left for solution to those in this line of business. It is to be hoped however that the presence of American banking institutions throughout Latin America will result in the financing with American money of municipal and national improvements such as water-works, sanitation, electric and gas companies, subways, harbor improvements, fortifications, building of warships, telephones, electric and steam railways. It was the custom of the European financier in making such loans to stipulate that the work should be done under the supervision of citizens of, and with articles and machinery purchased in, the country placing the loan. This was as it should be. It gave their engineers and contractors an opportunity to force upon these countries their products and methods, provided permanent employment for many of their countrymen, who in return created a demand for articles of home production.

We may therefore consider the banking situation only in so far as it applies to the traveller, the house he represents and the customer he sells in the accommodation it can afford them and the service it may render all parties. One of its chief uses will be to give reliable information as to the credit rating of customers.

From a financial point of view all of Latin America may be divided into seven groups: (1) the east coast countries of Brazil, Argentine, Uruguay and Paraguay; (2) the west coast countries of Chile, Peru, Bolivia and Ecuador; (3) the northern countries of Venezuela and Colombia; (4) the Central American Republics of Guatemala, San Salvador, Nicaragua, Costa Rica, Honduras, with which Haiti may be considered; (5) Mexico; (6) the countries wherein American banking systems exist, such as Panama, Cuba, Santo Domingo and Puerto Rico, and (7) the extensive group of foreign possessions and islands such as British, French and Dutch Guiana, British Honduras, Trinidad, Barbados, Jamaica, Martinique, Guadeloupe, Curaçao and St. Thomas.

The first and second groups of these South American countries are almost entirely under the domination and control of the European financier, the English being paramount, followed by Germans, French, Italians and Spanish, in the order named. Throughout Brazil, Argentine, Uruguay, Paraguay, Chile, Bolivia, Peru and Ecuador, in all the larger cities and ports, as well as in the interior and isolated towns, where business is to be had, may be found branches, agencies, or representatives of banking houses of these nationalities. They keep their fingers on the pulse of trade, know mine outputs, crop prospects, cattle productions, stability of governments, possibilities of revolutions or political unrest, the condition of business—in a word everything that has any bearing on banking or that could by any possibility reflect on the money market. Taking all these elements into consideration together with the important factor of the question of supply and demand, they decide the price of exchange each day or how much a merchant having a foreign obligation to meet, must pay for the necessary sum to liquidate his indebtedness. Very naturally a better price is quoted for the money required if payment is to be made in coin of the bank’s nationality for the reason that it necessitates less actual movement in the medium of exchange, the entire transaction as a rule being done on paper. This preliminary saving of a fraction of a per cent. in a big business means much in the course of a year and it has a strong tendency to make the buyer seek markets so situated that he might profit thereby. On the other hand the Latin American trader desiring to remit to the United States for goods bought in this country is forced because of lack of direct financial connection in South America to buy his exchange on London, Hamburg, Paris or some other European money center, thereby giving the European banker a profit of a fraction of a per cent. on every dollar of our foreign business. Furthermore, invoices and bills of lading are frequently attached to banking documents for custom house clearance and other purposes, thereby giving the European banker and through him, his clients and friends, an opportunity of learning our prices and terms. And so, not content with giving the foreign financier a chance to make money on our export trade, we also aid our greatest competitors by supplying prices and information to defeat our commercial purpose.

Some mercantile houses in the larger of these countries maintain for their own use accounts in New York against which they draw when liquidating bills in the States and do a general banking business as well, including the cashing of drafts and selling of exchange. Obviously only a large business concern could afford to do this and their natural tendency is to sell direct exchange on New York as high as the European

banks. The dealer with small capital or the foreign merchant is invariably for one reason or another forced as a general rule to do business through the European banker when in need of American exchange.

In both Venezuela and Colombia, their nearness to the United States, a direct steamship service to our leading ports and the fact that we as a nation take the bulk of their products, combine to overcome all attempts on the part of Europeans to establish banks in these countries. As the local exporters ship their goods to our shores where they are disposed of they instruct their agents to deposit the moneys so received in local American banks, against which they issue checks in liquidation of indebtedness, thereby eliminating the necessity for the services of the international banker. Local banks in these countries, never very strong, and always subject to forced loans from financially embarrassed governments, do not enter materially into the business life of the community although they also maintain credits in New York and sell drafts against them. The consequence is that every leading merchant throughout these lands develops into a foreign banker, on a small scale, and buys and sells exchange. As long as this condition prevails, and it works most satisfactorily, the foreign bank will not be required to open its doors.

Practically the same state of affairs occurs in Central America, the general tendency to political unrest and the existence of an inconvertible paper currency in some of these countries, (similar conditions being current in Colombia) serve to emphasize distrust in local banks and concentrate banking operations in the hands of the larger mercantile houses.

Prior to the revolutionary troubles which are now convulsing Mexico, American, English, German, French and Spanish banks were to be found throughout that country. The presence of the American banker in this territory and the great bulk of trade movements between Mexico and the United States, kept the price of exchange within reasonable bounds.

In Panama, Cuba, Santo Domingo and Porto Rico, American banks exist and American currency is in use almost exclusively. All financial calculations are made in dollars and cents and a complete and perfect system of exchange on leading cities of this country is current so that the subject need not be further discussed.

As is to be supposed, the European countries having possessions in the West Indies and South or Central America, very naturally have banking facilities between these colonies and each mother country. In addition, prominent Canadian banks have successfully established branches in the largest of the British colonies for the purpose of building up direct trade with the Dominion of Canada, thereby eliminating the tribute London usually demands on exchange. Although we take much of the exports and sell these possessions most of their necessities, still the individual business done in each island or colony is relatively small and the field of operation too restricted to warrant other banking connections. Besides exchange on New York is cheaper here than elsewhere, owing to the fact that both Canadian and English banks maintain branches in that city. In the other colonies merchants, as a rule, have personal accounts in American banks in the States and are thereby enabled to handle

their own transactions advantageously.

There are four monetary systems in use in Latin America: (1) the gold standard, wherein gold is the only legal tender, other forms of money being maintained at a parity with or without a government guarantee; (2) the gold exchange standard, wherein gold and other forms of money are legal tender, the conversion of the legal tender into gold being guaranteed by the government; (3) the silver standard, wherein silver is the legal tender, and (4) inconvertible paper, the value of which continually fluctuates and is dependent entirely upon the stability of the government's credit.

The gold standard is used by Bolivia, Cuba, Costa Rica, Ecuador, Peru, Porto Rico, Santo Domingo, Uruguay, the British, French, Danish and Dutch West Indies and possessions.

The gold exchange standard is in use in Argentine, Brazil, Mexico, Nicaragua and Panama.

The silver standard is current in Salvador and Honduras.

Inconvertible paper is found in Chile, Colombia, Guatemala, Haiti and Paraguay.

The basis of exchange between countries depends primarily on the relation existing between the gold value of their respective moneys, the price paid being materially influenced by the condition of the balance of trade and the social or political state of the country. For example, with the balance of trade in favor of England, the price of exchange on that country would go up a fraction of a point or so, while if a country is in a state of political or economic unrest, or at war, the price of exchange on it goes much higher than if conditions were normal. For these reasons exchange in all countries varies daily, the price for the day being decided upon the receipt of European cables from the home institution. It will therefore be apparent that it is impossible to determine a fixed rate of exchange for any definite period. By buying when exchange is low and selling when it is high, much money can be made, especially if the sum involved is large. The United States did a gross business with Latin America in 1912 of $526,468,815, practically all of which was paid for by European exchange. Assuming that the commission charged was one-half of one per cent., the cost to the American merchant would be $2,632,344, which in itself is a strong argument for American banks in these lands.

Furthermore the home offices of all of these European banks having branches throughout Latin America, have had in mind the rendering of financial assistance to the home merchant or manufacturer. This was especially true of the German organizations, which were designed to foster and facilitate commercial relations of all kinds abroad. In the headquarters of these institutions, complete records and data are kept regarding all overseas merchants, their credits and the financial turnover of their business each year being known. As a consequence when the exporter presented his shipping documents at say Hamburg, the bank, should he so desire, knowing the rating of the importer, discounted the bill, and for the service rendered charged a commission, while the Latin American customer had the benefit of the time agreed upon for payment, according to the terms of the sale. Compare this perfect

system of the banks extending courtesy to the exporters and the importers with the American policy of “cash against documents” and we see another vital reason why the Europeans succeeded in their conquest of these markets. The American manufacturer with small capital was handicapped. His business demanded a quick turnover; he had no way of ascertaining Latin American credits and no American banking connections to accept his export shipping documents at a discount. As a consequence, the door of this trade was closed to him and his productions.

Owing to the fact that gold coin is bulky and heavy to transport and paper money of a foreign nation always worth as a rule much less than its face value, a traveler is accustomed to carry what is known as a Letter of Credit. This is a document issued by a bank to a person or concern authorizing him or it to draw on the bank or its correspondents drafts for the whole or any desired part of the sum named in the Letter of Credit, by means of sight or time drafts. Customary means to prevent forgery of the holder’s signature are provided. On presenting this document to the bank’s foreign correspondent, the sum desired is advanced in the money of the country or in the monetary terms expressed in the Letter of Credit. These Letters of Credit are always time limited and are made against cash or some suitable guarantee to the bank issuing them.

In traveling in South America it is advisable to have two different Letters of Credit, one in Pounds Sterling and the other in Dollars. In Central America, Venezuela, Colombia, the British, Dutch and Danish West Indies it is often more advantageous to use dollars when buying exchange or getting cash on the Letter of Credit, while in Chile, Argentine, Brazil and Uruguay, pounds sterling are better. Before selling exchange on your Letter of Credit or realizing money on it, always visit the banks and see which one offers the best rate and whether English or American gold is in demand. By taking advantage of these conditions much money can be saved in the course of a long trip. The opening of American banks in Latin America will do much toward making the dollar popular and travelers are advised to take out letters of credit through United States banks with local branches in these lands.

It has been the understood custom for the correspondent banking house on whom a letter of credit was drawn to give the holder all information desired as to the rating and financial standing of local merchants and to aid him in every way possible. This was done in theory more than in practice. Assuming that your letter of credit was on an English bank in Buenos Aires, and that you were selling cotton goods, it would be most natural for the bank manager in Argentine to evade all direct information as to a possible customer’s standing, especially if his home institution had been discounting bills for a good client in England drawn against the local merchant. This is generally the attitude of bank managers in competitive lines and particularly when there is a tendency to cut into the trade of their customers. In this regard they can hardly be blamed for they are really protecting their patrons. If however, one is selling flour, or something which England cannot produce, the desired information is given fully and freely and every assistance rendered. Native or private bankers are not so reliable or as trustworthy sources of information.

In only two or three South American countries are there responsible commercial agencies; therefore, after getting what data you can from the bank it is always well to verify it by any other means at hand. Customers will often give references either in Europe or America as to their standing, which should be corroborated. Inasmuch as you desire information as to your clients' credit and standing, you should be equally willing to establish the reputation of your house and to that end should assist as much as possible in supplying whatever facts in this connection may be wanted.

To illustrate the insufficiency of our knowledge regarding Latin American credits, let me cite a personal experience. At the beginning of the war in Europe, one of the largest daily papers in Buenos Aires was refused credit for less than $100.00 a week of cable news, because there was no really reliable means in New York of satisfying the manager of the foreign press agency that the paper was of the highest financial standing. A moratorium had been declared in the Argentine and Europe and at that time no direct banking connections existed with the United States. This condition of affairs only served to make the New York manager insist that the service be paid for weekly. He was absolutely unwilling to extend credit for even ninety days, provided the paper paid the cable tolls in Buenos Aires, which it had offered to do. The publication, its plant, equipment and the building it owns and occupies are easily worth $5,000,000. Furthermore it is eminently responsible and reputable. With all the manifold resources of a great, wealthy newspaper, it was absolutely impossible for it to remit money to the United States to get the war news so essential for its readers. Cables to Europe were cut, as the world knows, thereby preventing it from getting reports from this source. Its position was desperate. After finding that efforts to obtain the desired service from the press agency were useless and that no credit would be extended, the South American editor, in despair, cabled me, and I financed the paper for five months, paying weekly the bills incurred. With the opening of the National City Bank in Buenos Aires, remittance in full with interest was made for the money I had advanced, the draft sent me being one of the very first issued by that institution. This American news association had a great opportunity to establish a profitable connection in a country where a service of this kind is badly needed, for the favorable attitude of the press is of the greatest benefit in developing both business and friendly relations between nations. Instead of taking advantage of the situation, the position it assumed has positively hurt us as a nation.

One of the things to be met and overcome is the question of long credits. European merchants originally extended much time to reliable customers. Instances are on record of from twenty-four to thirty-six months being given. Goods were often shipped on consignment. The tendency of late, however, as business became established in these lands has been to curtail credits. This condition is one which demands delicate and diplomatic handling and very naturally will be materially controlled by circumstances. European banks were organized, as hereinbefore explained, to discount long time paper, provided the drawer and the drawee were considered good risks. The Federal Reserve Act, however, falls short of helping us in this regard for the life of a foreign negotiable draft is limited by it to ninety days.

Long credits are not to be encouraged. They were excusable in the age of the sailing ships and poor banking facilities, but with the quick transportation service of to-day are unwise and unnecessary. Under no conditions should more than six months time be allowed and that only for some special line dependent upon some future contingency, such for instance as crops—agricultural machinery being a good illustration. Staples and necessities require less time to dispose of and ninety days should be ample. If possible it might be wise to get the customer to agree to pay one-third of the invoice on receipt of shipping documents and the balance in sixty or ninety days. On overdue accounts, the Latin American merchant has always been accustomed to pay a good rate of interest.

XXVI PACKING AND SHIPPING

The method of packing goods intended for the export markets of Latin America is worthy of the greatest study and the most serious consideration. Poor and improper packing, so characteristic of American made goods, has caused us the loss of much business, and wherever I have been in these countries it has formed the subject of much unfavorable comment and highly warranted criticism. Of late there has been a slight tendency toward improvement in this really important branch of the foreign trade, but there is still much opportunity for bettering conditions in this regard.

In the United States with every forwarding facility, the largest, best and most complete transportation systems on earth, we are prone to think of the rest of the world as being similarly provided with modern methods for handling goods. The fact is that the burro, the llama, the camel, the elephant, the coolie and the Indian are yet the greatest common carriers, and it will be many, many years before the shrill whistle of the locomotive will supplant the jingling bells of the pack train, or the slow moving caravan, in the outer edges of terra firma. In Latin America to-day, in proportion to its size, there are comparatively few railways, and fully another century will elapse before it possesses half the amount of mileage that we have at present in the United States. This is primarily due to the scarcity of population and secondarily to the inaccessibility of many of its interior towns, built in early days in remote and secluded spots so as to be free from the frequent invasions of buccaneers, as were the coast cities, or for the purpose of being near some rich mine or fertile agricultural district. The narrow mountain trails that wend their circuitous and tiresome way along the gigantic buttresses which Nature has so profusely placed throughout this part of the world are the only routes to these inland cities. As a rule they are hardly wide enough for two mules or pack animals to pass, except at certain localities. On one side they are bounded by the walls of snow-tipped mountains, which raise their majestic heads into the clouds, while on the other yawning abysses, hundreds, sometimes thousands of feet deep, open their gaping mouths, along the bottom of which winding watercourses wend their way to the sea.

[Illustration:

Photograph by Underwood & Underwood

A Pack-train on the Andes Trail in Colombia

“In the United States with every forwarding facility, the largest, best and most complete transportation systems on earth, we are prone to think of the rest of the world as being similarly provided with modern methods for handling goods. The fact is that the burro, the llama, the camel, the elephant, the coolie and the Indian are yet the greatest common carriers”]

Many of the ports of Latin America are open roadsteads, such for instance as Mollendo, Peru, one of the gateways to the interior of that country and Bolivia as well. At certain seasons of the year it is almost impossible for one to land and I have known of vessels to wait as long as six weeks before getting their cargoes discharged into the rolling, tossing lighters which continually thump and smash against the side of the ship. After the lighters are loaded, they in turn have to wait days, weeks and often months before a favorable opportunity arrives for getting their contents ashore. Without being conversant with these conditions one can hardly realize the strain and pressure exerted upon packing cases at such times.

After the goods have been brought to land by the none too gentle longshoremen, they are opened by the customs authorities and examined, and are then placed upon trains for forwarding into the interior points, for practically all these ports are the terminus of some railway leading into the remote inland districts. When they have gone as far as the train can take them, they are then consigned to the tender mercies of the muleteer, aided and abetted by the llama, burro or mule, and may be weeks on the road to their final destination.

The varying climatic changes to which they are subjected should also be given due consideration. Leaving the ice-bound northern ports of the States in winter, they come through the storm tossed waters of either or both oceans to the port of disembarkation, where for days they may rest under the broiling tropical sun. As they follow their path to the interior, on train and by beast of burden, they pass through torrid heat and tropical rains, across wind swept plateaus, through sand and snow storms, sleet and hail, above the clouds in high altitudes, and down into green valleys, across swollen streams, and on again up the sides of steep canyons, and through gloomy woods. Each night they are unstrapped from the animals’ backs, and roughly thrown on the ground along the trail or in the filthy barnyard of some mountain hospice. Before the stars have stopped their twinkling in the early dawn they are again piled upon the backs of the unwilling, resisting beasts and the dreary, wearying, monotonous march resumed.

Custom has decreed the exact weight each burro, llama or mule will carry and let me add that these animals know to a nicety their load, and are life members of a union that prohibits its initiates from carrying more than is expected of them. Attempts to overload bring forth growls, groans and moans, and if these signals of protestation are overlooked by the attendants, the animal flatly refuses to budge, until the burden is made the standard union size, a condition of affairs that must be extremely satisfactory to the cause of labor.

The merchant living in the interior is always specific to state the exact dimensions of each box and how he wishes it strapped and packed, in accordance with the

transportation which he will have available at the time the goods arrive. Obviously a llama or burro cannot carry as heavy a load as a mule, and the buyer, who generally owns his own pack animals, gives his instructions in accordance with the nature and size of the animals which will form his caravan. Extraordinarily heavy cases may be carried suspended from poles between two mules.

[Illustration:

Copyright by Underwood & Underwood

Llamas in Cerro de Pasco, Peru, bringing in their burdens of copper ore from nearby Indian mines

“Custom has decreed the exact weight each burro, llama or mule will carry, and let me add that these animals know to a nicety their load, and are life members of a union that prohibits its initiates from carrying more than is expected of them.”

See page 315]

Follow these shipping instructions to the letter. The man who makes them out knows all about the difficulties that are to be overcome and is familiar with every inch of the road that must be traveled. Do not let the superior judgment of your shipping clerk alter one word of these requirements. Near Durango, in Mexico, there lie practically all the parts of a large plant, not made according to the instructions given the man who took the order. In the draughting room of the shops which constructed the machinery, they could not understand why the fly wheel of the engine should be made in so many sections adapted to be bolted together, and so they constructed it as if intended for shipment to Buffalo, and not so that a mule might carry each component part on his back. The entire order was executed in the same manner. As a result the equipment they turned out is gradually resolving itself into iron oxide, at the railway station nearest to the mine it was designed for, while the people who purchased it are filled with contempt for American methods and the American machinery company that received the business has long since vowed never to accept another Latin American commission.

If the packing instructions read:—“Each case to be made of half-inch pine boards, strapped with iron bands, half an inch wide around each end, and wrapped first in waterproof paper, then sewn in burlap, and NOT TO WEIGH more than 40 kilos (about 100 pounds)”—do exactly this and NOTHING more.

The iron bands and the heavy wood of the packing case insure protection against breakage during its ocean and railway voyage. The waterproof paper will serve to keep the contents of the case from rain and snow storms, to say nothing of preventing the spray of the ocean while it is in the lighter, from damaging its contents. The burlap sewed over all is a visible defense against theft en route, either by the customs authorities or by the pack train men. The weight of 40 kilos means that it may be strapped to the side of a burro, and form one of two such packages to be carried by him. Furthermore the wood of the case being half an inch wide, means that when the box reaches its destination, it can be sold to the coffin maker for conversion into a baby’s casket, because wood of this nature is scarce in many of these lands. The

metal strips will find another use and the waterproof paper and burlap covering will serve some particular purpose, perhaps be sold to the upholsterer.

Your shipping instructions will also tell you exactly what signs or marks to put upon the outside of the case or its covering. Observe this with precision. The net and gross weights must also be marked thereon in a legible manner. Be sure that in weighing and marking the case you use the metric system for this is the only one used through all of Latin America. They know nothing of pounds and ounces. It is a wise plan to have your shipping clerk familiarize himself with this method, so as to avoid mistakes in marking, which may cause the importer much trouble at the custom house when the goods arrive.

Never place anything of a foreign nature in a packing case unless expressly instructed to do so by the shipper. Many exporters often take advantage of a small space available in a box to enclose a package of cards or some other advertising material. In most Latin American countries it is against the law for a case to contain anything more than what the bill of lading or the consular invoice expressly states, and the trouble that ensues from this desire to really help the purchaser can never be understood by those so far away from the native customs official who seizes every opportunity to extort money from the local dealer in the shape of fines and fees.

The merchant in ordering will generally definitely state just how he wants the goods which you are shipping him declared, so as to properly conform to the classification in vogue in the local custom house and its tariff regulations. Here it again behooves you to follow his instructions word for word, otherwise the officious custom house employe sees another chance to levy a fine and the unfortunate importer becomes correspondingly disgusted with your methods of doing business with him.

Finally, the packages should agree in number, weights, markings, declarations and contents with the consular invoice and the bill of lading. This will help materially all along the line from the receiving clerk of the steamship company to the merchant who accepts the consignment at its destination.

It would be well if shipping clerks engaged in the export trade would make a careful study of the geography of the Latin American countries, and the various ways of routing goods, as well as the topography of each state. This would do much toward eliminating complications. As an illustration of the ignorance so frequently displayed in this connection, let me recite what happened to a joint shipment of beer and mineral water, intended for Leon, Nicaragua. In ordering goods from this country the Latin American merchant will often have a shipment made up of goods from different cities. He will instruct or request the exporter living at the port from which the shipment is to be made, to assemble the several cases which make up his various orders, and send them under one consular invoice, his idea being to save money, in the many incidental charges made by consuls and those handling his freight. The beer came from Milwaukee and the mineral water from the warehouse in New York City. The shipping instructions read as follows:

“Ship via Isthmus of Tehuantepec, to Salina Cruz then via first opportunity to Leon, Nicaragua.”

The intellectual shipping clerk could see no valid reason for sending goods intended for Nicaragua through Mexico, so he took upon himself their routing, and as a result the goods were sent direct from New York to Bluefields, Nicaragua, on the east coast of that country, with instructions to a forwarding agent there to dispatch them to their destination on the west coast. That was three years ago and the last I heard of them was that they had been sold by the customs authorities to pay storage and other accumulated charges. Of course the forwarding agent in Bluefields realized that it would be easier to send goods to the North Pole than across the country, as he had been instructed, owing to the fact that there was hardly a mountain trail over which they might be transported. In addition to this it would take several weeks to make the journey, and the expense would be enormous. These facts were communicated to the shippers who promptly decided to abandon the goods, replying that they did not care to do business in such an inaccessible country. As a result of this colossal error goods to the value of more than $2500 were lost to the exporter and the importer, and bad feeling engendered on both sides. The speculator who bought them at the custom house sale, told me that the contents of the bottles had deteriorated so that the goods were unsaleable after their long stay in the tropical warehouse, and as a result he was the possessor of a large quantity of bottles for which he had no sale.

Shipments from the United States to a foreign country require what is known as a consular invoice to accompany them. This document states briefly the contents of the invoice, its weight, and value, from whom and for whom intended. This paper must be made out before the consul or vice-consul of the country to which the goods are to be exported, the idea being to keep track of the business between the nations. This document should always be in the language of the country for which the shipment is intended, although all the consuls do not require this condition to be rigidly complied with. They must be taken to the office of the consul or vice-consul empowered to issue and sign them and as a rule he requires one or more copies for his files and for forwarding to his government, or to the customs authorities at the port to which the goods are going. For this service he charges a fee, generally specified by law. Great care should be exercised in the preparation of these papers, as before intimated. The importer generally states just how he wishes his goods declared in these documents and it is best to follow his commands instead of those which may be issued or suggested by some of the employes of the consular office, or even the consul himself. Besides if you follow your shipping instructions there can be no cause of complaint, on the part of the buyer, should unfavorable conditions arise.

It might be well in order to impress upon the reader’s mind some of the great difficulties to be overcome and the many handlings that are received by goods in transit to follow in detail a shipment actually made from New York City to La Paz, Bolivia, the route being the usual one taken by merchandise intended for that place. The order was placed in February, 1913, early in the month and the goods arrived December 22nd, 1913, being more than ten months on the way. When the American

salesman received the order at La Paz, it was immediately forwarded by the next mail to New York City, where it arrived in about five weeks. The shipment of 854 cases was made from the factory in the middle West about the 15th of April, 1913, and the vessel containing them sailed from New York harbor, May 1st, 1913. Exceptionally bad weather in the Atlantic, delays in the Straits, storms in the southern Pacific, and time lost in discharging cargo intended for intermediate ports made it September 1st, before the goods reached Mollendo, in Peru, the port of discharge for the interior. Here, owing to bad weather, Mollendo being one of the worst ports on the Pacific, and the further fact that the roads and custom house were both congested with freight, a common occurrence in this part of the world, another month was consumed before the cases were finally got ashore and passed by the Peruvian authorities. A few more days were lost in loading them on the narrow gauge railroad that runs from Mollendo to Arequipa, an inland city of Peru, and the end of the first railway. Here the goods were trans-shipped to the road running to Puno, Peru, on the shores of Lake Titicaca, where they were again discharged and allowed to wait for many days before their turn came to be stowed on the small steamer plying across this perpetually storm-tossed lake in the clouds, to Guaqui, where after being put ashore they were again examined by the Bolivian customs officials. They were next placed on the train which took them across the wind swept plateaus of Bolivia, to the edge of the tea-cup rim, at the bottom of which La Paz is situated. Here again they were transferred, this time to an electric train which took them down the face of the canyon wall, 1500 feet, to the station at the outskirts of La Paz. At this point Indian cargadores took the cases, one at a time, on their backs and carried them to the merchant’s warehouse, where they were again opened, and checked up, after which they were repacked and sent on into the interior towns, mining camps and his branch stores, via llama, burro and mule.

In this shipment there was nothing unusual. It went over the route commonly selected and took about the average length of time. If you have followed its many handlings by rough men, in all kinds of weather, you will admit at once the necessity for strong packing cases and you will, I am sure, cease to wonder why it takes goods intended for interior cities so long to reach their goal.

A wise precaution, and one to be recommended for all shipments to Latin America, is to insure them against theft en route. This may add a little to the cost of the article, but it is the only protection against petty pilfering. The fact is that the minor employes of the custom houses, as well as the porters, trainmen and pack train attendants are so poorly paid, and so completely lacking in honesty that there is every tendency in the world to appropriate whatever appeals to their fancy. I have known what should have been cases of toilet soap to arrive at their destination, filled with scrap-iron, so as not to attract suspicion by their weight, and this after duty had been collected at the custom house and freight paid by the shipper. Unless there is an insurance against these depredations one has absolutely no protection, for it is practically impossible to prove where and by whom the theft was committed. Furthermore if a conviction were obtained it would mean that in future all goods bearing your particular shipping mark would be forever doomed to trouble.

I am always forced to laugh when I think of the experience of a traveller for a well-known baking company in the United States who was making his initial trip to South America. The port at which he landed was, as it generally is, the scene of a yellow fever epidemic. Fearful of contracting this disease he decided to take the first train for the capital, located in the mountains and as a rule free from the scourge which infests the port. Inasmuch as the train left early, he deposited his twelve sample cases at the custom house with the keys and the request that after they had been inspected one of the men whom he had tipped should send them by the evening train to his hotel. After waiting for three days without receiving the trunks, during which time he frequently sent telephonic messages to the customs authorities and telegraphed and wrote the United States consul on the subject, he decided to go in person, despite his fear of contracting fever, and secure his samples. You may imagine his surprise on reaching his cases to find every one empty—the cakes and biscuits and dainties had been eaten by the customs employes. Of course it was impossible to place the blame on any one, and his loud demands for redress resulted in the police escorting him to the railway station and threatening to arrest him if he persisted in continuing his demonstrations. His cable to the house,

“Samples eaten by the customs authorities. Send duplicates,”

confirmed the belief of his employers that he had gone suddenly insane and brought this brief reply:—

“Return immediately.”

As far as I know, this big company have made no further efforts to enter these really profitable fields, which are still dominated by English cracker and biscuit concerns. I trust that the moral will be patent to my readers that it pays to keep close to your sample cases and never trust them with unreliable or unknown natives.

XXVII ADVERTISING

Advertising is in its infancy in all parts of Latin America. It has been given neither thought, study or attention, by the native, and where some particular article has made a “hit” or developed into a profitable seller through publicity, the chances are that the campaign was conducted by some foreigner more or less familiar with modern methods. Thousands of dollars are yearly wasted by inexperienced persons in trying to market goods along erroneous lines.

The great thing which militates against successful work in this field is the enormous percentage of illiteracy—some authorities placing it as high as 85 per cent. Chile admits that 49 per cent. of her citizens cannot read or write; Argentine 54 per cent.; Cuba 56 per cent.; Mexico 75 per cent.; Brazil 85 per cent. and Guatemala 92 per cent. This condition is easily conceivable when we stop to consider the scarcity of either public or private schools, and the large percentage of aborigines, Indians, negroes and mixed breed population, especially in the northern countries of South America, as well as in Central America, Mexico and the Spanish-speaking West Indies.

How to reach this class, each member of which is a potential possibility from a purchasing point of view, is a problem requiring much consideration. Bright colors attract them and posters and cards illustrating your article, and showing its application and practicability have their value. Such souvenirs are never thrown away but are preserved for years. If any member of the village can read he is asked to transcribe the printing on the medium, and this will in all probability form the subject for much discussion so that ultimately everybody becomes acquainted with whatever may be thereon related or depicted, thereby fulfilling the mission for which it was intended.

To advertise a luxury to the uneducated classes is a waste of money, for they have neither the means nor the desire to indulge in such extravagances. Very naturally the great demand among these people, as it is among persons of this class elsewhere, is for the necessities of life—cotton goods, textiles, patent medicines, shoes, farming implements, hardware, machinery, tools and the like. These are the things required by the farmer and the laborer who make up the greater proportion of the world's population, and perhaps the very best way to reach them is through the influence of the middle man, the jobber and the local storekeeper. Of these three, the village merchant is by far the most important with the masses. He is always a man of standing in his community. He is invariably respected and looked up to. His word among many amounts to law—his judgment final. He is the moneyed man of the neighborhood. He carries the peons on his books—helps them along in hard times, and when crops are short—extends credit when he thinks it wise to do so and curtails it when proper. He is therefore in a position to force on this great class of the people whatever he wishes. I recall one of these typical country merchants telling me that practically every man in the neighborhood owed him money and that therefore he had them all in his power, so that he could tell them just what he wished them to do or buy or be closed out. The control held by such a man in these remote communities is far-reaching and conclusive. It is quite obvious that the proletariat may be reached through direct appeal to him. He usually takes the local papers, and those published in his immediate vicinity, and is certain to subscribe to one or more of the leading metropolitan dailies, so as to keep in touch with the markets and shipping conditions. He knows almost to a ton what this year's crop will amount to; what the output of the neighboring mines will be; how much rubber will come from up country; if wool will bring a high price, or if cattle will be lower than last year, and is generally an all around encyclopaedia of useful information on every local subject. The course to pursue is obvious—advertise in the papers he takes, and at the same time cultivate his friendship. Get to know him personally and intimately, and seek to do him favors when the opportunity offers.

The educated and better class of people demand all the luxuries and the nicer things that the markets of the world afford. In addition to their native language, they have been taught to speak French and most of them use this idiom as frequently as they do their mother tongue and have perhaps at various times in their careers lived in the capitals of Europe. Their tastes are most modern. They demand the best and have the money to pay for it. Obviously it is a comparatively simple problem to reach this class. In each Latin American country are to be found numerous weeklies and

monthlies, most of which are well got up typographically and profusely illustrated, which are an excellent medium for placing one in direct touch with this desirable portion of the purchasing public. They also take the leading metropolitan dailies and these papers are very effective in bringing to their attention articles which they may desire.

Sign boards are beginning to be well thought of and are making their appearance throughout the larger cities. Posters, well executed, but in glaring colors, and if possible displaying a portion of a nude female always attract universal attention and for many lines are excellent mediums. Some of the countries charge an internal revenue tax on all sign boards, posters, placards and street announcements proportionate to their size. Before undertaking a campaign requiring the use of this class of material, it is therefore well to ascertain what this fee will amount to and arrange for its payment. In some cities the hoardings are sold for a period of years, to the highest bidder, who in turn rents them to the user for a specified time. These spaces are often the property of the municipality which contracts directly with the user for them. In Buenos Aires these stands are so highly thought of that they are often leased years in advance.

Moving picture theatres abound in the larger cities as they do with us. Between films it is the custom to run advertisements which are thrown on the screen for a few minutes. This is a rather cheap and practical means of announcing one’s wares, inasmuch as it reaches a good class of people.

Street cars are used as extensively as in the United States, and are worthy of serious consideration in conducting an elaborate advertising campaign. Not only are the inside spaces in the car for sale, but in many cities the spaces outside both above and below the windows and the front and rear dashboards are effectively used.

Electric signs are as yet comparatively unknown. Some of the larger cities such as Rio de Janeiro and Buenos Aires have a few but they are the exception to the general rule. The streets are usually so narrow that good locations for display purposes are difficult to find. This condition will be overcome in time, in many of the metropolitan towns, with the advent of municipal improvements, the broadening of streets and the laying out of modern avenues. Another element which militates against the universal use of the “flash” sign is the fact that they are apt to get out of order and mechanics experienced enough to repair and keep them in operative condition are not numerous in these localities. It therefore follows that for some years to come, the fixed electric sign would be the more ideal for this section of the world.

I doubt if any business house in any part of Latin America is really familiar with the value of the follow-up letter system such as we use so satisfactorily in the United States. I am certain that its introduction and regular use will be found profitable in developing any line of trade, especially when intended for those who in the course of a year receive comparatively little correspondence.

With regard to advertising rates the Latin American publisher is becoming more consistent of late. Time was when he asked $600.00 a year and took $60.00. To-day he keeps closer to an established price, although diplomacy and politeness can

accomplish much toward a generous reduction on his first quotation. Local dealers always are given a far better rate than foreigners and before doing business with a paper it is highly advisable to find out by some means the price paid by the larger business houses of the place. This will serve you as a guide in determining what to pay for your space. It is always customary to run little “readers” in the columns especially if you have contracted for much advertising, and as these cost nothing, it is well to provide appropriate manuscript for them and insist upon its being used.

Local copy in many sections of Latin America is far from our idea of what it should be and may appear a bit startling to our notions of propriety. In Peru, there is a mineral water known as “Jesus Water,” the labels on the bottle, the colored posters and other advertising showing Christ at the spring.

A cognac company uses cuts, posters and large signs depicting the Saviour in the act of pouring out a glass of brandy and saying to Lazarus, lying in a coffin at his feet, “Lazarus, arise and take a glass of Cognac Bisquit.” I have seen this announcement in colors on the back page of the leading illustrated weekly.

“You Furnish the Corpse and Do the Mourning—We Do the Rest,” is the ingenious slogan announcing the advertisement of an undertaking firm. Let me add that such advertisements are not considered sacrilegious or brutal, but simply show how primitive conditions are in these fields.

Doctors advertise patients and patients advertise doctors in these favored lands of the sun. This is considered perfectly ethical and adds to rather than detracts from the reputation of both parties. I recall a picture in halftones in the leading weekly of South America showing the photographs of a physician and his patient, a well known lady of the city. Grouped between the two were reproductions of forty-eight stones alleged to have been removed from the sufferer. Pictures of amputations are shown in detail, with lifelike illustrations of the surgeon. Executions are also minutely depicted. I mention these facts in order that a more complete insight may be gained as to the advertising disposition and temperament of the public.

[Illustration:

Chilean Infantry

“To see some of these troops march past with their peculiar knapsack, their goose-step and the pickelhaub helmet, makes one feel that one is in Germany.”

See page 220]

[Illustration:

De venta en los buenos establecimientos

“Local copy in many sections of Latin America is far from our idea of what it should be and may appear a bit startling to our ideas of propriety.... A cognac company uses cuts, posters and large signs depicting the Saviour in the act of pouring out a glass of brandy and saying to Lazarus lying in a coffin at his feet, ‘Lazarus, arise and take a glass of cognac!’”

See page 339]

Position in the greater number of papers is an unknown quantity and its value little understood or appreciated. Those connected with the journal positively do not realize its importance. Even if a definite location is contracted for in your agreement you need not be surprised if the advertisement appears anywhere on any page. This is not done to antagonize you, but is due to the fact above mentioned. Attempts to deduct for wrong position in making payments generally start all kinds of trouble and result in caustic editorial comments. Here as in all things in Latin America, friendship counts, and if you have taken the precaution to get on the right side of the editor and the make-up man, you can have your choice of positions. I know of a representative who was advertising a well known American mineral water in South America three years ago. One of the dailies in which he was doing much display work had just added a new two-color press to its equipment and as he was very intimate with the editor the advertisement appeared in red ink for a long time in the center of the front page along with the foreign telegraphic news, columns being broken for the purpose. No extra charge was made for the service and the owner of the sheet felt that he had done nothing more than exhibit his high regard for the gentleman from the North.

Before preparing your copy for Latin America it is well to study all these conditions and see wherein you can take advantage of them for there is no denying that peculiar opportunities exist which if profited by may mean for you and your firm success in this territory.

Once you have decided upon your copy and the size of the space you intend using, it is advisable to have electro cuts made. This saves time and insures for your advertisement a uniformity of text and type which cannot be guaranteed if the same is to be set up in the office of the paper for each issue. When these electros are to be used in rotation they should be numbered and printed instructions for the foreman should accompany them.

[Illustration:

South American appreciation of advertisements “made in U.S.A.”

“They recognize Americans as the best advertisers in the world and not being familiar with English appropriate and use our illustrations irrespective of the fact that they have absolutely no bearing on what they are advertising.”

See page 343]

Plagiarism is rampant. They recognize Americans as the best advertisers in the world and not being familiar with English appropriate and use our illustrations irrespective of the fact that they may have absolutely no bearing on what they are advocating.

Typical of this purloining I recall a well known picture from an American cereal advertisement showing two men seated in a dining car, eating breakfast food. Outside snow is all over the ground and trees; “Smoke El Toro Cigar” is the announcement beneath the sketch and in no place does a cigar appear or is any reference made to one. Whoever selected this picture did not even have the good

judgment to modify the same to the extent of cutting out the snow storm, in a land where snow is unknown or eliminating the raised spoons piled high with the cereal and held in the hands of the travelers.

The full page advertisements of Pillsbury's Flour were bodily appropriated and used by a local cement manufacturing concern. The fact that they also put up cement in bags seemed enough to warrant them in using this copy, although the picture of the cook surrounded by the paraphernalia of his office was not altered in the least.

XXVIII RECIPROCITY

Foreign trade to be permanent should be established on a reciprocal basis. To expect to ship a nation your raw or manufactured materials, receiving only in exchange therefor a monetary consideration, is neither equitable, sensible nor practical. It is decidedly lacking in business judgment and reflects on the sincerity of the country endeavoring to do its trade along such lines.

Perhaps the chief reason that European Powers have obtained such a foothold in foreign markets is due to the fact that they take in exchange much of the crude exports of these lands and convert them into finished factory products. This from an economic standpoint is as it should be. It gives employment to the citizens of the importing nations, develops and maintains their merchant marine, necessitates less material movements in the medium of exchange in payment for goods on the part of those concerned in the transaction and more firmly entrenches each in the other's business and friendly relations.

The various countries comprising Latin America are in no sense manufacturing ones. They possess few if any factories or plants and these are usually devoted to the perfection of some local necessity, such as wines, cigarettes, cigars, soap, sugar, and other articles for personal use or consumption. They are however the largest producers of raw materials the world knows. Due to our shortsightedness as a nation, we have allowed the European merchant and manufacturer to take these products from Nature's laboratory, elaborate the finished article therefrom and during each stage of its perfection, from its origin to its completion, we have paid a profit, not to one, but to several enterprising foreigners.

The Latin Americans—in fact no nation—will buy from us for sheer love or their high regard for us as a people, or even from dire necessity for that matter. Most of these countries achieved their independence from Spain because they refused to be further exploited by the mother country. It behooves us as modern and liberal minded, wide-awake business men, to develop our trade in these territories so that our exports to each country will be paid for by the things which we import from it. This is not a difficult problem to solve, especially as at the present time our imports from them exceed the value of our exports to them by approximately $100,000,000 yearly. This sum should represent the amount of trade expansion with the United States these countries will be in a position to stand on a reciprocal basis.

Another feature in this connection which has developed since the beginning of the present war is the monetary situation in Latin America. These countries as the world knows were borrowing nations, and practically dependent upon Europe for all of their

financing. To-day Europe cannot aid them in this respect and they have turned toward us for assistance, thereby placing us in a much more advantageous position than we formerly occupied with relation to developing our trade along reciprocal lines, for a lending nation can always dictate to the borrowing one.

Following the stringency in the European money markets and their inability to lend further financial aid to Latin American enterprises, there has been a decided slump in property values of all kinds, thereby giving the American investor desirous of entering these fields an excellent opportunity to acquire controlling interests at the minimum expense in undertakings which will ultimately rehabilitate themselves as money making propositions. These conditions should not be lost sight of during the readjustment of values in this part of the world.

To be more specific, perhaps 80 per cent. of the world's supply of bismuth comes from Peru. This metal is largely used in the arts and medicine. An Italian company owns practically all the mines. Germans and English buy the ore and ship it to their respective clients in Europe. On its arrival it is sold to smelters which produce the metal therefrom. Manufacturing chemists purchase this and convert it into the bismuth subnitrate used so extensively by the physician of to-day. This product is imported by the American drug broker who sells it to the jobber, whose traveller in turn disposes of it to the wholesale chemist through whom it reaches the local druggist and finally the consumer. It is safe to say that fully 30 per cent. of the prescriptions written by the doctor and compounded by the apothecary call for this drug. If the metal is to be used in the arts it goes through as many hands before reaching the ultimate user. It is not difficult therefore to see that from the mine to the consumer there are six or seven profits made, several of which might be eliminated, thereby reducing the cost of the article, provided the ore was brought direct to this country and the reduction made here. Furthermore instead of going around the Horn to Europe, the freight through the Panama Canal to an American port would be much less, consequently effecting a great initial saving. Why does not some manufacturing chemical house take advantage of this opportunity?

This same condition of affairs is true of cinconah, from which quinine is made, iodine, opium, belladona, menthol, castor oil, licorice, linseed and many other extensively used and well known drugs. What a chance exists in this field alone to establish a reciprocal trade, and at the same time to reduce the high cost of these medicines!

Last year Bolivia sent to Germany and England 50,000 tons of tin. We bought back 30,000 tons of this tin from the wide-awake Teuton and Anglo-Saxon merchants, or expressed in figures we contributed more than $16,000,000 to the bank accounts of these gentlemen. We are the largest users of tin in the world and Bolivia is the second largest tin producing country, with thousands of acres of unexploited tin fields yet to be developed. It is about two-thirds as far again from Bolivia to Europe as it is to the United States. With proper shipping facilities and the use of the Canal or by going to California, the saving in freight alone should be sufficient to interest some progressive concern in the handling of this article direct.

Europe sends its wool buyers to Argentine and Uruguay. I have attended these markets and have yet to meet an American buyer representing any of our woolen cloth manufacturers. We buy much of our wool from European markets, thereby giving Belgians, French, English and Germans who have initiative and enterprise a profit on their business acumen. Is this sensible? It only adds to what each one of us pays for our clothes.

Ecuador's chief product is cocoa. It is the largest grower of this commodity in the world. The bean is perhaps the richest and most highly flavored and is in great demand in the trade. Europe buys 80 per cent. of this article and although we are the biggest individual users of chocolate on earth, our merchants purchase but 20 per cent. direct. Then England and Germany, and even little Switzerland, turn around and sell us back—at a profit of course—fifty per cent. of what they bought in Ecuador. And we call ourselves merchants! Who exhibits the good judgment in such a transaction?

The linseed of the world is produced by Argentine and India. The small farmer trades it for supplies to the village merchant, who in turn exchanges it for goods with the jobber in the capital or seaport. To these men come the buyers for the Greek firm which practically controls this industry and purchase the seed, and we, the most extensive users of linseed oil in the world, pay our toll and tribute to the able and shrewd men who have their headquarters in Athens. Isn't there something radically wrong here?

The alpaca gives a fine soft wool. Practically all of this material is bought in Bolivia by Europeans who manufacture the cloth which they afterwards sell us. I cannot understand why some sagacious American has not entered this profitable market.

The seasons in the southern part of South America are reversed, so that they have summer when we have winter, which means that their fruits and vegetables, melons and berries are ripe when we have snow on the ground. The apples, peaches, pears, plums, apricots, nectarines, cherries, grapes and melons of Chile are as good as our own. A profitable return awaits the one who will forward these goods in refrigerator ships to our big northern markets.

In Colombia and Ecuador large quantities of _tagua_ or ivory nuts formerly grew wild. They are about the size of a goose egg, or slightly larger, very hard and a dead white, protected by a thin black skin. For years no one knew what to do with them. Finally an enterprising German found that they could be converted into buttons. To-day the ivory nut is cultivated for this purpose, and forms one of the leading exports from the countries named; the shipments for 1913 amounted to over $5,000,000. The finished button is sold not only to the Latin Americans, but throughout the world as well.

Brazil is the second largest diamond producing country in the world. English companies have $50,000,000 invested in these mines, which means that the diamonds obtained therefrom pass through the hands of several Europeans before they ultimately reach the wearer in the United States. One State of Brazil—Minas Geraes—has for the past six years been exporting gold to Europe, sometimes as much

as $2,000,000 a month, because Germans, Belgians and Englishmen own the mines.

Chile contains the largest known deposits of “caliche”—that is, the earthy material from which nitrate is made. This article is extensively used in the arts, in the production of gunpowder and other high explosives and also as a fertilizer. Last year she exported 50,781,241 quintals, the world’s total consumption for the same period of time being 51,296,489 quintals. I know of but one American house established in these fields. The business is controlled almost entirely by English and German companies.

We should also make a more determined effort to finance municipal and national improvements in these countries. The money lenders of Europe have been quick to take advantage of such opportunities. They proved good investments for them. We should also find them profitable, under the right conditions. In this field there are and will be for years to come great possibilities, especially in electric and gas plants, electric and steam roads, water works, sewers, and sanitations, mines and smelters. The benefits to be derived from such a source of investment are only too obvious. They give our engineers and contractors and all connected with such an enterprise an opportunity to force upon these countries our products and methods, provide permanent employment for many of our countrymen, who in return will create a demand for goods made in America. England leads the world in outside investments of this nature, having over $10,000,000,000 in various foreign lands, $5,000,000,000 of which is in Latin America. The German long ago saw the advantage of following in the footsteps of the Briton and is the second largest investor in such enterprises abroad.

International bankers when making loans to private persons or governments interested in these progressive movements always stipulated that the materials to be used should be purchased from the country which furnished the money for the development. This was a fair and far-seeing business proposition and should serve as a guide for us in our future dealings with these markets.

Chile to-day is spending $400,000,000 on harbor improvements and fortifications, most of the work being in the hands of Europeans. The plans contemplated will require many years to complete, and during all this time European material will be used and workmen from the Old World will derive profit from the undertaking.

An American first had the concession to build the subway in Buenos Aires. He spent months trying to get capital in the United States without success. Finally a German raised the money in Hamburg and now everything about the line from the electrical installation to the motorman and his uniform is “Made in Germany.” Being the first and only underground road in Latin America it was written about and talked of everywhere, and at all times the Germans got credit for the enterprise and were well advertised as efficient and wonderful engineers. This was another opportunity lost to us.

Before the European War started a syndicate of English, French and Germans had agreed to expend $200,000,000 in Colombia building railways and in making the Magdalena River, the only highway to the capital at Bogota, navigable at all seasons

of the year. Due to present hostilities they had to abandon the project. The terms offered by Colombia were excellent, including 5 per cent. interest on the capital and the further provision that the government would ultimately within a specified period take over the road, paying an exceptional profit to the original investors. Here is an excellent opportunity for American capital to develop a reciprocal market.

One of the chief reasons for the scarcity of invested American capital in Latin America is the indefinite and indifferent attitude of our State Department in failing to protect its citizens abroad or in seeking redress for injuries done individuals or business conducted in these countries.

No race of men are as enterprising or venturesome or more truly pioneers in every sense of the word than we Americans. This trait is a natural inheritance from our forefathers, who left comparatively civilized and comfortable Europe to gain a livelihood in the wilds of unknown and unexplored America. We are a practical people, also, and when through years of trying experiences we became definitely impressed with the fact that in our foreign ventures we had neither the co-operation nor the protection of our government, very naturally we abandoned these tempting fields of business and allowed them to be profitably tilled by the citizens of European governments which sympathized with their subjects in their efforts to develop trade and at the same time provided them adequate protection of a substantial and impressive type.

In the early days which marked the European campaign for the commercial supremacy of Latin America, most of these countries were the scenes of much bloodshed and the violence of devastating revolutions. As a result of the instability of their governments, there was positively little or no security of life or property. Concessions solemnly made were ruthlessly cancelled. Business ventures involving the outlay of immense patience and large capital were completely wiped out. In brief the foreigner in these lands was looked upon as an intruder and treated with scant consideration. When Americans were involved in such occurrences, our State Department, with very few exceptions, ignored the petitions of the victims, until its neglect in this regard became so notorious that finally no promoter had the temerity to seek capital in this country for any Latin American enterprise. This condition of affairs had much to do with turning the current of these ventures toward European money markets, an opportunity eagerly accepted by all parties.

On the other hand, the European, whether prospecting in the snow-topped mountains or uplands of Bolivia, or in the jungles of the Amazon, knew that his government kept a watchful eye on him and encouraged his every effort, first because this was the privilege and duty of a government and secondly the success of the individual in these lands ultimately meant prosperity for the nation. If he was robbed, imprisoned or murdered, if the result of his years of labor was destroyed in national or local uprisings, the warship would always materialize to emphasize the collection of compensation when diplomacy failed.

Such consideration for their people on the part of the European governments duly impressed the Latin American mind, and more so especially when he was heavily

taxed to reimburse the foreigner for injuries received. As a result the European became respected more and more from Mexico to Patagonia, and was allowed to pursue his way in comparative peace, the converse of this proposition being true of the unfortunate American, who could not expect governmental protection and who became the object of much abuse and ridicule in these lands. The truth of these statements is so obvious that it is unnecessary for me to cite any illustrations in support of them.

Socially speaking all of Latin America may be divided into two general classes, the politician and the business man. As a rule the “politico” has been the cause of all the unrest and upheavals these countries have experienced, while the advance and progress of these nations is due to the “commerciante”—the man who uses his brain and invests his money in its various ventures. The larger progressive enterprises in Spanish America—the building of railroads, the developing of mines, exporting, importing, in brief, commerce as a whole—is chiefly carried on by foreigners, aided by a few ambitious, practical, far-seeing, native business men, never the politician. Commerce is a great civilizing agency. The higher in the scale of civilization a people are, the more secure will trade relations with them be. The larger and more important countries of Latin America have at last begun to realize that internal peace means prosperity, that prosperity attracts, yes invites capital, even from the timid and those whose government does not stand behind them in a dignified manner.

As a consequence, despite the unfavorable attitude of the United States State Department toward foreign investment, and with the idea of showing our Latin American friends that we are sincerely interested in establishing our trade relations with them on a reciprocal basis, American capital in large sums is beginning to find its way into this hitherto, for us, closed market. Panama has just been loaned $3,000,000 American money to be used in the construction of railways and roads, thereby bringing the producer nearer to the markets and the shipping points of the country. Within five years I venture to predict that as a result of this investment, our trade with Panama will have materially increased, owing to the fact that agricultural products heretofore prevented from reaching the consumer will be able to do so with comparative ease, especially in the case of tropical fruits, cocoanuts, copra and sugar.

American bankers have loaned the Argentine Government $15,000,000 in 6 per cent. gold notes. The temperament of the public as to the attractiveness of the loan may be readily estimated when I state that the entire amount of securities to cover the indebtedness was sold before four o’clock of the day on which they were offered. The successful consummation of this business—the first ever concluded directly between the Argentine Government and the bankers of this country—will serve greatly to strengthen the “entente cordiale” now so rapidly developing between the United States and the rest of Latin America.

Nor is this all. Movements are now on foot leading to investments of American capital in large sums in practically all of our sister republics. With each step in this direction we as a nation, and also our manufacturers and merchants, become more firmly entrenched in the Latin American commercial world, and our mercantile

supremacy in these lands is more positively assured.

As a typical illustration of what can be done in these countries when the subject is handled intelligently let me mention the case of the United Fruit Company, which operates in Colombia, Cuba, and practically all of Central America. Starting in 1870 with a small beginning, this organization is now one of the most solid to be found anywhere in the world. In Costa Rica alone they have invested over $19,000,000 in bananas, while enormous sums are also being expended in other countries in sugar, coffee, cocoa, cocoanuts, the development of mines and the building of railroads and hotels. In fact the prosperity of all these nations is directly due to the presence of this great organization, which finds a market for its products in Europe and the United States, and which through its various local branches and stores, as well as its numerous employes, is a potent factor in introducing American goods and American ideas to all with whom it comes in contact. Its large fleet of ships come to all the leading seaports of this country, and the vast trade which it now controls, and which is still in its infancy, is capable of enormous growth. As one example of what its business means in freight alone, I may state that from the port of New Orleans this company shipped, last year, nearly 150,000 car-loads of bananas to the West and Middle West. The model hospitals which it has installed in each of the countries in which it operates for the free treatment of its servants have caused our physicians to be highly respected throughout this portion of Central and South America, and as a consequence the native now comes to the United States for serious surgical operations and medical treatment, instead of to Europe as formerly. Further than this, the intimate association bound to result from so many Americans living in Latin American communities has tended to develop in each due respect for the ability and integrity of the other, and this has been beneficial to all parties concerned.

It is to be hoped that all the countries of Latin America will take advantage of the disposition so apparent on the part of our financiers to extend external credits among them and that every effort will be used by those in power to establish lasting internal peace and a guarantee of protection against unwarranted attacks on foreign capital. Such an assurance will do much to develop the commercial side of these really wonderfully productive lands.

Is it not the duty of our State Department to assist such a movement by giving capitalists and merchants of this country its positive and definite assurance that legitimate investors and investments will be efficiently and effectively protected by the United States Government, along the same lines as those in general use by the European powers? Such an edict on the part of the United States would remove the last great barrier to American trade development in Latin America.

XXIX HEALTH PRECAUTIONS

Travel in Latin America can be made comparatively safe, from a medical point of view, by the strict observance of a few common sense precautions. Perhaps the first thing to be considered is the question of water. With but one or two exceptions, drinking water is notoriously bad in all of these countries, being polluted and almost certain, if drunk, to develop, sooner or later, either typhoid or some other intestinal

disorder. Credence should not be placed in the well-intentioned statement of the native that the water is good. Like their ancestors, through the continual drinking of the local water, they have become self-immunized to any form of contagion from its use. Because the water comes from snow-clad mountains does not insure its purity, either. Most mountain streams, long before they reach reservoirs, are used for washing clothes or bathing and become infected in this manner. It is obviously out of the question to boil all water prior to drinking and if you are obliged to take many trips to the interior or off the beaten paths of travel, bottled mineral waters are not always obtainable. Therefore it is wise for the purposes of such excursions to carry any of the well-known makes of pocket filter, which come especially made for such purposes. Let me take advantage of this opportunity to correct the erroneous idea entertained by so many of the laity that locally made aerated mineral waters are free from bacteria. They should be shunned as much as the local unboiled water. The best thing to do if you are going to these countries, is to have your system rendered immune to the typhoid bacillus, by having your family physician give you the anti-typhoid vaccination, such as is used in the American army and navy. There is but little inconvenience attending its administration and you can rest assured that after taking the treatment you will not contract typhoid fever. Drink bottled mineral water when possible. Its purity is certain to eliminate tendencies to either stomachic or intestinal troubles.

[Illustration:

Photograph by Underwood & Underwood

The Plaza Hotel in Buenos Aires]

Pineapples, berries, melons or green uncooked vegetables such as radishes, cucumbers, onions, water-cress, lettuce, salad and the like should be avoided for the same reasons. Truck gardens wherein they are grown mostly use dirty water for irrigation purposes. Even the native is aware of this practice among many gardeners and I recall one man whose farm on the outskirts of a large South American city bears this announcement:—

“The vegetables from this place are not irrigated with water from the sewers.”

Cholera, a rare visitor to these lands, need not be feared, if you are careful in your diet and drinking water. Green vegetables, berries, melons, and fruits should be avoided in the event of an epidemic and only cooked vegetables eaten.

There is much small-pox, especially in communities where there is a large percentage of Indian population, but this need not be a cause for worry if one is vaccinated. A popular South American hotel, having had many cases of this disease among its patrons, has hanging in each room this sign:—

“Rooms disinfected when guests leave,”

in order to inspire confidence in its new clients. This sign might have as a companion, another one displayed in a leading Latin American hotel, reading:—

“Guests are requested not to spit through the mosquito netting.”

Yellow fever always exists in many of the towns of Ecuador, Colombia, Venezuela, Brazil and most of the Mexican and Central American ports. It is due to the bite of a certain species of mosquito. By observing precautions, such as sleeping under a net and staying away from districts known to breed these insects, the chances for contracting this disease are materially minimized.

That bubonic plague is present in many localities cannot be denied. Ecuador, Venezuela, Peru and Brazil have this disease more than any other countries of South America. It is caused by the bite of a specific flea. Daily baths have a tendency to wash away the germs deposited by this insect.

For the purpose of keeping away fleas, mosquitoes and other pests it is well to apply daily to the exposed portions of the body a solution of equal parts of spirits of camphor and oil of citronella, a pint bottle of which should form part of one’s traveling kit.

Leprosy need not be feared. My experience of several years in one of the largest leprosy hospitals in the world, in a country with many lepers among its inhabitants warrants me in saying positively that the probabilities of a temporary resident contracting this disorder are almost _nil_.

It is a wise precaution, for obvious reasons, when travelling in remote districts to carry your own pillow, sheets and bed-clothes, a hammock being preferable to a bed because more sanitary and easily conveyed.

Oranges, bananas, limes and the many other delicious tropical fruits need not be feared. You will meet persons who will warn you against them, but they do no harm when eaten in moderation.

Whiskey, wines and beer, especially in the warm climates are to be eschewed. They heat the blood and are over-stimulating. Every doctor will tell you that the possibilities of recovery from disease are always against the person who uses alcohol, and nowhere in the world is the truth of this more exemplified than in Latin America. In one hospital of which I was in charge in one of these lands, out of 47 cases of yellow fever, among foreigners, during an epidemic, 44 succumbed. Each man who died was an extreme user of alcohol in some form. Of the three recoveries one man was a teetotaler, the other two being occasional drinkers.

The old doctor’s advice to keep your head cool, your feet warm and your bowels normal in order to avoid sickness is as appropriate for Latin America as for anywhere else.

A small medical case containing calomel, quinine, soda-mint tablets, peroxide of hydrogen, a bandage, some aseptic gauze, and a packet of absorbent cotton is all that is needed for a trip. Symptoms of any disorder should not be ignored or made light of. If they persist be sure to call in the very best physician available.

APPENDIX LATEST STATISTICS AVAILABLE IN 1915 ABOUT SOUTH AMERICAN IMPORTS

Argentine

Articles. From United From United From From Total States. Kingdom. Germany. France. Imports. Automobiles $543,930 $430,530 $822,315 $2,252,835 $5,159,030 Bagging 13,025 3,299,705 68,130 5,230 8,355,140 Beams, iron 94,440 91,035 1,846,070 495,815 3,276,365 Beverages 46,690 169,155 168,350 129,525 1,149,360 Binder twine 2,729,950 10,655 5,835 8,760 2,765,130 Books and pamphlets 30,515 462,520 58,015 154,900 1,254,810 Book paper 7,395 61,275 947,850 2,900 1,154,760 Brick, paving 8,375 98,520 153,625 109,400 1,055,840 Bridge materials 66,905 776,810 110,240 3,265 997,670 Carriages and cars, accessories and parts of 64,550 350,550 406,335 389,360 1,504,605 Cement, hydraulic 13,545 640,520 258,135 752,880 3,989,340 Cheese 15,825 7,010 73,890 2,074,590 Chemical and pharmaceutical products: Candles, stearin 1,700 272,460 104,675 9,520 1,094,570 Medicinal preparations 340,680 153,065 206,685 1,154,280 2,191,620 Perfumery 27,550 206,740 86,690 1,043,180 1,411,500 All other 1,982,965 2,086,355 1,764,010 1,101,350 9,083,685 Cigars 32,045 21,605 20,935 8,685 1,415,630 Coal 782,910 23,642,425 381,320 25,047,240 Coffee 585 4,980 7,020 1,631,615 Cotton and silk goods 10,635 430,995 275,395 518,345 1,447,725 Cotton and woolen goods 75 682,520 303,845 76,075 251,842 Cotton goods made up 8,200 157,340 497,315 430,635 1,186,140 Cotton hose 750 22,000 1,101,325 223,015 1,407,220 Cotton laces $2,810 $559,200 $415,285 $123,525 $1,349,000 Cotton tissues: White 21,305 4,099,620 133,420 77,075 4,813,065 Unbleached (linen) 12,500 874,610 3,920 4,485 1,127,060 Printed 1,605 2,610,395 460,140 68,935 3,693,435 Dyed 9,370 4,377,675 920,095 244,910 10,315,680 Color not specified 3,015 534,595 170,910 121,190 1,059,655 Cotton yarn: Colored 2,705 111,845 129,475 20,195 1,003,695 Unbleached 70,735 326,310 52,430 46,420 1,508,790 Cotton goods, all other 301,675 2,568,815 1,064,295 619,455 6,632,860 Ducks 550 493,600 162,180 156,150 1,156,655 Dyes and colors 249,550 997,635 722,980 199,185 2,427,250 Dynamos and motors, electric 28,545 219,935 1,212,775 42,385 1,637,755 Electric and wire cable 102,885 1,205,515 1,227,695 96,465 3,087,700 Furniture, wooden 587,060 513,055 308,515 489,640 2,668,230 Glass and plain crystal 12,145 663,930 201,380 68,860 1,538,850 Harvesting machines 1,948,165 46,200 14 2,712,855 Household and cooking utensils. 52,450 89,910 741,430 95,940 1,210,210 Iron and steel wire, galvanized: Smooth—Up to No. 14 638,990 249,100 1,027,250 1,500 2,015,735 No. 15 and higher 625 53,430 13,590 465 75,945 Barbed 635,030 106,320 137,085 2,825 926,250 Twisted 3,599 16,485 3,410 27 25,300 Iron and steel wire, not galvanized: Up to No. 14 408,200 16,495 213,970 75 720,060 No. 15 and higher 19,645 2,905 15,975 175 41,395 Iron and steel wire, plated (with bronze copper, nickel, or tin) 79 5,750 27,630 307 35,605 Iron axles and wheels 87,685 1,156,005 7,750 1,256,735 Iron bars and sheets 408,135 656,150 2,489,430 80,800 6,288,590 Iron, galvanized 1,398,165 4,088,950 381,955 24,985 6,160,145 Iron, wrought 321,005 1,156,670 377,870 77,300 2,753,025 Jewelry, fine, except watches and loose precious stones 15,885 180,215 769,525 620,660 1,849,545 Leather and manufactures 1,283,105 758,510 688,340 792,230 3,766,540 Locomotives 1,847,135 293,845 627 2,188,660 Machinery, general 1,119,225 2,022,795 2,572,365 459,975 6,939,140 Machines, spare parts 1,132,290 684,510 692,340 119,950 2,909,925 Malt 59,385 1,074,280 Manufactures of copper and bronze 100,795 402,430 281,845 144,120 1,073,095 Manufactures of stone, earth, glass, etc. 170,240 987,185 2,050,820 616,460

4,667,250 Materials for port works 105 110,280 66,075 14,580 204,035 Materials for sanitary works 962,525 57,135 3,045 1,066,365 Motors: Windmills, with or without framework, and pumps 372,580 13,980 555 393,275 Other various 631,820 316,015 85,765 6,800 1,142,485 News print paper 727,970 85,595 603,725 7,735 1,610,380 Oil: Lubricating 1,301,930 787,995 63,980 10,815 2,518,350 Olive 146,075 3,645 5,240 143,525 4,748,915 Kerosene 2,289,115 156 2,289,275 Naphtha, unrefined 5,495,150 126,010 75,895 43 5,710,755 Pine, unplaned: White 1,728,450 140,350 11,773 23,160 2,130,015 Pitch 8,078,590 3,880 29,170 30 8,164,720 Spruce 1,662,050 76,925 50,635 14,065 3,689,605 Pipes, iron: Galvanized 229,180 966,955 83,565 3,205 1,294,550 Other 51,460 756,245 238,810 34,290 1,171,965 Railway coaches 117,730 1,073,510 1,191,240 Railway couplings, steel 136,585 485,835 397,810 2,480 1,147,350 Railway freight cars 558,855 2,650,155 74,190 16,095 3,812,510 Railway materials 132,810 4,152,660 237,460 93,345 5,013,430 Rice: Unhulled 30,685 286,055 Hulled 378 76,860 5,020 2,476,215 Sand for building 115 1,024,380 Sardines 516 27,130 26,120 44,485 1,031,425 Screws and nuts $170,230 $401,675 $156,050 $183,830 $1,061,980 Seeds: Alfalfa 482 155,145 73,230 740,945 Flax 1,020 100 1,335 Corn 332 1 100 1,115 Wheat 1,175 39 48 265 7,630 Other kinds 41,510 26,170 281,195 201,115 1,069,415 Silk 635 208,055 428,735 1,287,600 2,341,730 Steel rails 737,685 2,226,600 1,343,315 17,290 5,088,405 Spirits and cordials 12,070 462,545 44,365 1,685,810 3,183,410 Sugar: Refined 215 467,710 228,260 852,550 Other 1,669 1,110,785 1,575 1,117,385 Tea 230 306,100 18,930 374 1,072,030 Tin plate, unworked 345,530 673,230 5 67 1,036,860 Threshing machines with or without motor 1,182,175 179,385 119,385 97 1,517,030 Tobacco dip 95,545 2,153,045 6,285 520 2,348,005 Tobacco, leaf 378,260 19,495 82,675 4,615 3,485,160 Tramway materials 107,725 506,110 599,020 20,920 1,688,460 Watches: Gold 2,270 15,420 64,010 209,035 593,300 Other kinds 115,450 26,985 230,270 302,665 1,395,305 Wines 9,160 21,235 39,985 8,031,335 9,830,910 Woolen goods: Made up 4,150 235,295 586,865 504,855 1,418,170 Tissues, all wool 4,425 3,571,105 1,039,340 888,125 5,957,735 Mixed 3,245 2,018,030 441,055 133,225 2,799,150 Yerba, Brazilian 4,946,085 Imports by parcel post, etc. 3,070 609,945 839,485 944,510 3,308,795 All other articles 12,223,614 19,315,571 21,833,634 11,791,528 90,808,013 ———————————— ———————————— ———————————— ———————————— ———————————— Total $57,057,505 $114,515,800 $61,703,550 $36,301,925 $371,383,595

Bolivia

IMPORTS

Articles. Value. Animals, live: Cattle $302,553 Horses 482,528 Arms and ammunition 692,047 Breadstuffs: Cereals 111,462 Pastes, alimentary 72,617 Rice 194,541 Wheat flour 857,148 Candles 366,220 Cars and carriages: Railway cars 272,219 Other 102,944 Cement 148,292 Coal and briquettes 674,512 Cotton manufactures, not mixed with other material 1,684,088 Earthenware, tiles, and piping of, and porcelain 151,840 Explosives, including powder 452,490 Fish, fresh, including shellfish 125,027 Fruits 100,636 Gold, coined 107,082 Hats 447,937 Hides and skins,

manufactures of 118,023 Instruments, musical and scientific 107,238 Iron and steel and manufactures: Beaten, drawn, and in sheets 348,456 Machinery and apparatus: Electric 339,731 Mining 446,881 Other and parts 633,095 Tools 225,340 Iron manufacturers 2,046,497 Jewelry: Genuine (of precious metals) 105,702 Other 104,271 Leather boots and shoes 155,088 Medicines, prepared 154,297 Oils, mineral, and products 86,315 Paints, colors, and varnishes 99,604 Paper and manufactures 386,503 Soap 97,209 Spirits, wines, and malt liquors: Beer, cider, and “chicha” 80,160 Spirituous liquors 644,226 Wines 380,603 Sugar, refined 1,195,665 Textile manufactures: Laces, embroideries, and trimmings 188,666 Knitted goods 174,418 Wearing apparel, ready-made, except waterproof 763,364 Wood and manufactures: Unmanufactured, except dyewood 248,087 Manufactures: Furniture 130,702 Other 75,794 Wool, pure 689,861 All other articles 1,887,017 ———————————— Total $19,258,996

EXPORTS

Bismuth $836,366 Coca 286,417 Copper 1,318,389 Rubber 6,032,892 Silver: Crude $1,675,940 Coined 168,204 Tin 23,432,658 Wolfram $202,165 All other articles 1,104,816 ———————————— Total $35,057,841

Brazil

Articles United United Year States Kingdom Germany Arms and ammunition: Ammunition 1912 $457,294 $1,369,956 Firearms 1912 572,302 $21,756 1,111,676 Asphalt 1912 39,334 Belting 1912 44,394 206,090 42,740 Bicycles 1912 37,116 103,249 41,287 Blacking, boot 1912 19,573 29,039 17,163 Breadstuffs: Flours and meals, not wheat 1912 57,540 48,186 Wheat 1912 213 Wheat flour 1912 4,007,047 Cars, carriages, motor cars, etc.: Railway cars 1912 1,915,701 991,730 331,761 Axles and wheels, for railway cars 1912 271,653 268,616 431,786 Carriages, etc. 1912 161,351 31,658 41,716 Axles, etc., for carriages 1912 26,803 18,790 Motor cars 1912 924,045 317,873 1,526,018 Motor-car accessories 1912 110,530 112,434 320,209 Cement 1912 275,942 1,138,048 2,525,183 Cordage, jute and hemp 1912 12,168 34,919 17,643 Cotton manufactures: Piece goods— Bleached 1912 12,094 1,310,654 Unbleached 1912 4,386 237,242 Dyed 1912 54,865 2,905,293 74,654 Printed 1912 1,195 836,941 Other 1912 69,650 4,608,054 1,461,724 Other 1912 187,005 1,091,231 2,272,635 Coal 1912 2,788,601 15,490,137 Patent fuel 1912 2,099,247 Clocks and watches: Clocks 1912 100,479 93,059 Watches 1912 10,027 14,586 Chemicals and drugs: Calcium carbide 1912 52,939 Pills, etc. 1912 47,158 ..... Pharmaceutical goods, etc. 1912 423,164 962,656 1,364,543 Dynamite and other explosives 1912 10,257 417,202 91,324 Electrical machinery and supplies: Cable 1912 250,047 241,369 49,997 Insulators 1912 55,044 125,582 Machinery 1912 2,060,944 569,562 1,375,764 Fishhooks, locks, stirrups, etc. 1912 140,729 106,077 236,351 Fish: Codfish 1912 279,415 449,641 Preserved extracts, etc. 1912 144,028 Fruits: Dried 1912 19,544 . ..... Fresh 1912 212,010 . Preserved, and extracts 1912 33,304 Glass and manufactures: Bottles and tumblers 1912 58,245 564,005 Window glass 1912 4,042 135,855 Hats 1912 89,217 Ink: Printing 1912 18,148 59,066 Writing 1912 2,923 25,160 . Instruments, scientific: Dental 1912 165,793 34,385 23,810

Optical, and goods 1912 19,065 25,612 Surgical, and goods 1912 36,873 70,598 Other 1912 172,381 75,190 191,322 Iron and steel, and manufactures of: Cutlery 1912 $178,465 $337,214 $576,594 Enameled ware 1912 13,020 59,051 379,110 Galvanized corrugated sheets 1912 328,994 1,540,600 91,931 Furniture 1912 54,393 51,471 42,635 Bars, rods, plates, and sheets 1912 114,879 529,803 569,338 Cast, pig, and puddled iron 1912 7,019 331,278 Locomotives 1912 1,871,639 459,850 1,290,737 Motors and stationary engines 1912 425,918 333,763 507,533 Machinery— Agricultural 1912 409,458 84,233 179,056 Industrial 1912 230,799 2,776,668 1,784,057 Other 1912 3,556,371 2,379,798 2,249,642 Nails, screws, etc. 1912 117,401 143,478 116,929 Rails, joints, etc. 1912 1,868,840 751,474 1,344,151 Scales 1912 67,337 24,013 31,839 Sewing machines 1912 1,563,131 105,297 963,594 Steel bars and rods 1912 94,276 518,345 81,098 Stills, boilers, etc. 1912 77,836 466,263 78,623 Structural material 1912 196,928 648,719 1,223,603 Tubes, pipes, fittings 1912 419,678 1,988,125 985,359 Typewriters and accessories 1912 354,833 60,116 Tools 1912 694,927 1,537,651 661,834 Telegraph poles, bridge and fence material 1912 328,901 391,635 360,880 Leather, and manufactures of: Boots and shoes 1912 333,285 Sole leather 1912 40 20,150 Other leather 1912 561,458 224,854 1,585,747 Manufactures of leather and skins 1912 35,724 92,322 120,066 Lighting apparatus 1912 60,656 107,021 223,470 Meats and products: Bacon 1912 157,373 ..... Hams 1912 15,210 458,846 Lard 1912 92,275 Preserved, and extracts 1912 25,202 Milk, condensed 1912 18,541 Mills 1912 15,332 48,325 Musical instruments: Phonographs and accessories 1912 138,602 303,147 Pianos 1912 126,894 607,091 Oils: Gasoline 1912 1,164,021 Kerosene 1912 4,383,101 Lubricating 1912 812,756 152,101 129,294 Paper, and manufactures of: Card and mill board 1912 4,413 261,009 Playing cards 1912 4,414 2,451 Printing paper 1912 13,595 61,101 881,228 Stationery, etc. 1912 57,291 115,605 261,500 Writing paper 1912 12,974 220,869 Paraffine 1912 13,151 29,405 14,266 Photographic apparatus and accessories 1912 51,521 72,405 Presses 1912 6,333 14,712 10,237 Pumps, hydraulic, and parts 1912 92,776 118,906 86,698 Pipe, lead 1912 1,776 45,491 Plated ware 1912 3,368 32,398 26,423 Perfumery, dyes, etc., and materials for 1912 277,532 620,696 301,905 Paints, prepared 1912 130,806 394,256 127,948 Resin 1912 1,547,214 Rubber manufacture 1912 182,828 278,553 288,933 Soap, unscented 1912 35,734 198,953 56,998 Starch 1912 1,502 59,796 69,984 Salt 1912 137,923 Tallow and grease 1912 2,871 15,137 Tin plates, in sheets 1912 271,451 1,112,935 Tinware 1912 6,678 47,953 Tents 1912 2,054 13,480 14,226 Type, printers' 1912 2,089 107,021 Tobacco leaf 1912 44,602 Varnishes 1912 $49,260 $115,833 Vegetables: Dried 1912 815 $9,859 Preserved and extracts 1912 15,389 Wire: Copper 1912 851,550 65,115 285,042 Other 1912 823,876 227,990 1,403,714 Wearing apparel 1912 40,577 214,689 222,144 Wood, and manufactures of: Furniture 1912 137,340 76,271 115,560 Pine blocks and boards 1912 2,302,576 Staves and hoops 1912 7,886 28,931 112,666 Rough, sawed, planed, and veneered 1912 33,123 25,621

Articles Year France Belgium Total Arms and ammunition: Ammunition 1912 $197,561 $2,178,121 Firearms 1912 $488,328 2,280,796 Asphalt 1912 172,889 Belting 1912 49,137 351,719 Bicycles 1912 31,837 258,786 Blacking, boot 1912 72,676 Breadstuffs: Flours and meals, not wheat 1912 214,938 Wheat 1912

14,026,977 Wheat flour 1912 11,733,682 Cars, carriages, motor cars, etc.: Railway cars 1912 3,912,337 7,382,069 Axles and wheels, for railway cars 1912 337,014 1,328,604 Carriages, etc. 1912 285,090 Axles, etc., for carriages 1912 29,125 93,150 Motor cars 1912 1,470,795 186,216 5,368,650 Motor-car accessories 1912 483,508 1,265,430 Cement 1912 117,025 960,125 5,263,961 Cordage, jute and hemp 1912 11,058 91,014 Cotton manufactures: Piece goods— Bleached 1912 1,457,021 Unbleached 1912 255,016 Dyed 1912 59,781 120,078 3,320,815 Printed 1912 935,708 Other 1912 376,106 438,478 8,329,407 Other 1912 402,305 3,788,388 Coal 1912 18,482,303 Patent fuel 1912 56,702 2,214,749 Clocks and watches: Clocks 1912 227,530 Watches 1912 247,059 Chemicals and drugs: Calcium carbide 1912 435,057 Pills, etc. 1912 72,467 Pharmaceutical goods, etc. 1912 1,537,131 4,908,461 Dynamite and other explosives 1912 37,119 563,570 Electrical machinery and supplies: Cable 1912 579,885 Insulators 1912 204,388 Machinery 1912 537,636 4,811,052 Fishhooks, locks, stirrups, etc. 1912 51,979 559,805 Fish: Codfish 1912 6,537,176 Preserved extracts, etc. 1912 75,259 1,267,575 Fruits: Dried 1912 24,847 703,853 Fresh 1912 961,797 Preserved, and extracts 1912 14,359 64,082 Glass and manufactures: Bottles and tumblers 1912 73,050 776,833 Window glass 1912 319,055 518,487 Hats 1912 149,846 756,931 Ink: Printing 1912 32,535 111,969 Writing 1912 36,576 Instruments, scientific: Dental 1912 230,589 Optical, and goods 1912 36,965 85,485 Surgical, and goods 1912 95,661 216,052 Other 1912 110,639 586,037 Iron and steel, and manufactures of: Cutlery 1912 $86,941 $1,193,260 Enameled ware 1912 485,525 Galvanized corrugated sheets 1912 2,060,072 Furniture 1912 170,171 Bars, rods, plates, and sheets 1912 $397,021 1,797,435 Cast, pig, and puddled iron 1912 372,735 Locomotives 1912 122,518 3,749,149 Motors and stationary engines 1912 70,511 1,460,513 Machinery— Agricultural 1912 702,012 Industrial 1912 354,519 5,758,613 Other 1912 888,227 345,870 10,071,038 Nails, screws, etc. 1912 80,627 547,469 Rails, joints, etc. 1912 2,071,438 3,318,764 9,384,650 Scales 1912 135,175 Sewing machines 1912 2,548,510 Steel bars and rods 1912 944,537 Stills, boilers, etc. 1912 716,563 Structural material 1912 384,630 564,202 3,099,101 Tubes, pipes, fittings 1912 354,521 3,973,039 Typewriters and accessories 1912 423,494 Tools 1912 299,377 3,311,443 Telegraph poles, bridge and fence material 1912 25,509 469,437 1,478,680 Leather, and manufactures of: Boots and shoes 1912 27,181 531,639 Sole leather 1912 20,842 Other leather 1912 896,943 3,587,909 Manufactures of leather and skins 1912 76,573 412,719 Lighting apparatus 1912 465,826 Meats and products: Bacon 1912 187,414 Hams 1912 525,627 Lard 1912 111,526 Preserved, and extracts 1912 35,156 308,424 Milk, condensed 1912 1,396,423 Mills 1912 42,722 128,429 Musical instruments: Phonographs and accessories 1912 458,952 Pianos 1912 79,795 866,547 Oils: Gasoline 1912 1,185,084 Kerosene 1912 4,424,901 Lubricating 1912 1,262,449 Paper, and manufactures of: Card and mill board 1912 451,045 Playing cards 1912 9,058 Printing paper 1912 111,916 2,107,646 Stationery, etc. 1912 74,376 525,185 Writing paper 1912 425,648 Paraffine 1912 65,229 Photographic apparatus and accessories 1912 51,663 224,255 Presses 1912 37,519 Pumps, hydraulic, and parts 1912 365,636 Pipe, lead 1912 51,542 Plated ware 1912 72,960 Perfumery, dyes, etc., and materials for 1912 1,041,177 1,964 2,829,581 Paints, prepared 1912 43,801 753,872 Resin 1912 1,593,017 Rubber manufacture 1912 111,358 962,267 Soap,

unscented 1912 289,575 Starch 1912 56,828 212,972 Salt 1912 731,785 Tallow and grease 1912 80,022 Tin plates, in sheets 1912 1,421,649 Tinware 1912 29,369 100,931 Tents 1912 41,336 Type, printers’ 1912 37,188 233,373 Tobacco leaf 1912 343,987 Varnishes 1912 $198,527 Vegetables: Dried 1912 35,413 Preserved and extracts 1912 $118,861 611,043 Wire: Copper 1912 1,293,638 Other 1912 $344,331 2,880,837 Wearing apparel 1912 247,057 1,140,662 Wood, and manufactures of: Furniture 1912 108,453 871,002 Pine blocks and boards 1912 2,768,805 Staves and hoops 1912 186,883 Rough, sawed, planed, and veneered 1912 464,835

Chile

Articles From From United United From States Kingdom Germany Total Bottles for liquor $498 $523,145 $525,154 Cars for portable and aerial railways $18,727 335,521 393,922 850,535 Cement, Roman 72,917 313,012 1,168,373 1,703,032 Coal 502,787 7,103,652 278,210 11,129,959 Coffee, grain 1,293 12,640 21,785 770,292 Coke 155,402 176,455 383,753 Colors, common, prepared with waters and oil 13,893 306,272 84,326 409,157 Cotton goods 770,188 6,923,309 3,413,980 14,161,177 Cotton yarn 38,558 621,476 522,450 1,593,200 Glassware 30,858 27,682 274,723 391,455 Iron and steel, and manufactures of 3,521,167 4,447,775 4,446,738 13,448,154 Wire 465,300 28,459 146,187 694,661 Iron articles for domestic use 26,599 125,583 510,028 689,537 Pipes, tubes, tools, etc. 152,906 813,813 568,463 1,883,638 Nails 216,655 58,493 205,515 525,819 Railway couplings and plates 37,157 49,141 145,620 276,940 Iron and steel, unworked, in bars, plates, and other forms 240,183 149,994 413,660 1,153,087 Sheet iron, corrugated, galvanized 967,402 776,490 4,150 1,748,128 Rails for railways 516,384 488,551 443,247 1,516,485 Live animals 3,919,088 Cattle 3,286,871 Locomotives and tenders 107,932 337,791 656,819 1,119,018 Machinery, implements, etc.: For arts and sciences 327,923 169,531 762,327 1,369,415 Mining 99,827 250,047 296,913 652,828 Agricultural 915,971 683,360 342,550 1,979,586 Industrial 226,647 867,627 1,049,792 2,345,184 Motors 81,737 1,022,549 304,967 1,471,558 Parts 153,672 494,480 613,277 1,122,020 Materials for Longitudinal Railway 316,032 148,954 201,036 666,022 Metals, other than iron and steel 155,706 840,196 932,125 2,249,211 Mineral water 9,450 145,113 90,612 401,054 Olive and other edible oils 560,434 28,040 162,025 1,244,117 Paper, unsized, for printing 225,398 40,477 893,543 1,220,867 Paraffine in paste form 87,808 94,811 440,909 634,204 Paraffine and petroleum, naphtha, gasoline, etc. 1,134,728 10,102 186 1,144,624 Petroleum, fixed, impure 273,881 58,466 34,337 365,026 Petroleum, crude 1,240,221 2,527,758 Pine lumber, rough 1,252,359 76,335 3,079 148,949 Railway freight cars 13,205 187,866 62,022 430,473 Rice 720 5,352 380,485 820,954 Sacks, empty 220,705 1,105 3,285,198 Salmon 373,640 10,613 12,292 401,314 Silk thread and manufactures 2,716 24,903 333,584 1,183,838 Sugar: Refined 205 890 167,733 199,417 White 409 19,618 81,182 Granulated 5,460 52,151 2,261,793 Raw 346 501 23,220 Tea 5,700 829,158 60,937 933,672 Woolen goods 8,920 3,211,547 2,445,224 7,047,551 Woolen yarn $10,168 $54,294 $621,698 $705,738 Yerba maté 790 78,150 23,503 689,646

Colombia

Articles From United States Total Animals $1,608 $26,016 Arms and accessories 27,203 57,439 Ceramics, crockery, etc. 157,674 503,579 Drugs and medicines 390,546 838,347 Electric machinery and equipment 110,922 175,638 Explosives 48,876 94,116 Food products 1,573,257 3,054,952 Metals 1,060,274 2,916,924 Machinery: Agricultural and mining 182,017 381,587 Locomotive 876,863 1,031,711 For arts and sciences 349,060 620,251 Musical instruments 17,398 69,622 Oils and fat products 94,457 171,733 Perfumes, soaps, etc. 92,064 152,169 Paper and cardboard 96,629 477,522 Textiles 1,667,131 10,547,134 Varnishes, paints, etc. 48,824 125,862 Wines, liquors, etc. 68,172 835,772 All other articles 749,062 1,884,249 ———————————— ———————————— Total $7,612,037 $23,964,623

Ecuador

Articles Value Animals, live $47,111 Arms and ammunition 49,521 Boats, launches, etc. 10,390 Books, blank and printed 34,135 Boots, shoes, and findings 234,302 Candles 155,938 Carriages in general 76,809 Cement, stone, and earth 56,423 Clothing, ready-made 624,959 Cordage, twine, and thread 166,328 Crockery and glassware 161,102 Drugs and medicines 430,229 Foodstuffs 1,849,847 Gold and silver coins 285,333 Hats and caps 140,185 Iron and steel, and manufactures of: Hardware 798,971 Machinery 620,554 Jewelry 19,807 Leather 26,569 Lumber, rough and finished 94,594 Matches 26,917 Mineral products 206,445 Musical instruments 53,699 Oils in general 115,092 Paints and varnishes 41,063 Paper in general 171,167 Perfumery 79,065 Textiles: Silk fabrics, pure and mixed 18,143 All other 2,784,944 Vegetable products 54,899 Wines and liquors 375,574 Miscellaneous 830,728 ———————————— Total $10,652,843

Paraguay

Articles and countries Value Beverages $281,844 France 60,636 Italy 61,203 Spain 123,670 Drugs 215,039 United States 42,134 Argentine 14,191 France 33,084 Germany 48,936 United Kingdom 44,202 Government supplies (for public works) 119,499 United States 18,070 Argentine 24,414 Germany 62,351 Haberdashery (small wares sold by dry goods stores) 380,518 Argentine 19,865 France 84,109 Germany 171,797 Italy $16,289 Spain 18,640 United Kingdom 60,874 Hardware 836,621 United States 103,467 Germany 368,286 United Kingdom 268,886 Provisions 1,171,578 United States 81,795 Argentine 448,602 Austria 106,492 Germany 205,870 Italy 64,926 Spain 105,738 Textiles 1,462,367 France 64,441 Germany 396,413 Italy 83,121 United Kingdom 835,666

Peru

Articles and countries 1910 1911 Cotton textiles and manufactures: United Kingdom $1,770,615 $2,131,482 Germany 438,676 535,076 Italy 224,175 404,303 Belgium 132,222 169,378 United States 149,202 139,605 Spain 60,811 130,091 France 59,629 99,281 Japan 11,986 8,189 Other countries 14,337 12,064 ———————————— ———————————— Total $2,861,653 $3,629,469

Wool and animal hair and manufactures: United Kingdom $532,944 $638,459 Germany 277,565 577,760 Belgium 92,726 159,246 Italy 61,532 84,559 France 42,153 77,513 Spain 8,189 United States 2,501 6,856 Other countries 29,026 10,138

———————————— ———————————— Total $1,038,447 $1,562,720

Linen, hemp, jute, and other textile fibers and manufactures: United Kingdom $249,441 $280,042 British India 88,969 188,683 Germany 31,194 55,531 Australia 19,636 42,027 France 16,088 20,113 Belgium 13,820 16,998 United States 5,133 13,971 Spain 10,390 Italy $11,338 $10,283 Chile 16,321 6,910 Other countries 4,245 1,230 ———————— ———————— Total $456,185 $646,178

Silk, animal and vegetable, and manufactures: Germany $121,146 $161,299 United Kingdom 63,633 66,792 France 58,120 63,964 Italy 23,539 20,157 Belgium 7,425 19,032 Hongkong 10,399 Japan 5,742 United States $4,847 Other countries $26,613 4,053 ———————— ———————— Total $300,476 $356,285

Hides, skins, and leather goods: United Kingdom $58,957 $163,144 United States 37,481 139,040 Germany 40,727 100,897 France 14,108 52,626 Japan 22,814 Italy 10,745 Spain 4,618 Other countries 17,988 13,935 ———————— ———————— Total $169,261 $507,819

Wearing apparel and notions: Italy $108,746 $47,705 France 124,469 26,166 Germany 118,796 12,472 United Kingdom 258,955 10,769 United States 58,081 2,331 Other countries 145,483 3,526 ———————— ———————— Total $814,530 $102,969

Furniture: Germany $53,574 $49,516 United States 40,226 45,004 United Kingdom 44,007 42,912 France 10,818 22,123 Hongkong 4,540 Other countries 6,732 7,536 ———————— ———————— Total $155,357 $171,631

Metals and manufactures: United Kingdom $1,270,759 $1,948,984 United States 498,529 1,579,651 Germany 205,570 616,240 Belgium 165,188 490,747 France 36,814 182,843 Brazil 24,424 Italy 18,925 Other countries 9,166 12,432 ———————————— ———————————— Total $2,186,026 $4,874,246

Stones, earth, coal, glass, and chinaware: United Kingdom $272,100 $935,964 Germany 142,845 476,249 Belgium 67,955 237,524 United States 51,925 127,507 Australia 26,916 59,604 France 15,178 60,305 Chile 33,194 Japan 32,011 Italy 14,044 Other countries 17,237 12,672 ———————— ———————————— Total $594,156 $1,989,074

Woods, lumber, and manufacturers: United States $322,726 $1,530,689 Chile 17,421 49,034 Germany 15,183 53,137 Ecuador 16,059 36,035 France 23,943 Japan 17,601 United Kingdom 17,333 16,063 Hongkong 8,939 Belgium 5,999 Spain 5,693 Italy 5,596 Other countries 48,542 13,187 ———————— ———————————— Total $437,264 $1,765,916

Paints, dyes, varnishes, bitumen, gum: United States $213,200 $491,146 Germany 67,604 223,551 United Kingdom 62,403 152,262 Belgium 16,433 72,282 Salvador 15,985 43,812 Mexico $22,760 France 19,397 Italy 6,467 Other countries $12,896 4,960 ———————— ———————————— Total $388,521 $1,036,637

Live animals: Chile $10,088 $44,425 Ecuador 10,292 United States 5,313 Germany $3,309 United Kingdom 1,747 Other countries 35,218 786 ————————

———————— Total $45,306 $65,872

Stationery, paper, and cardboard: Germany $154,574 $422,898 Spain 21,689 108,503 United Kingdom 35,680 98,794 United States 46,829 97,310 Belgium $28,424 $57,458 France 16,706 36,999 Italy 11,733 Hongkong 4,550 Other countries 4,897 5,880 ———————— ———————— Total $323,466 $859,404

Tools, ships' stores, machines and vehicles: United States $436,758 $749,864 United Kingdom 269,136 809,800 Germany 77,644 225,503 Belgium 35,685 172,842 France 57,998 49,253 Italy 11,733 Hongkong 4,550 Other countries 17,066 10,725 ———————— ———————— Total $894,287 $2,034,270

Musical instruments: Germany $19,986 $75,960 United States 7,936 30,532 United Kingdom $11,373 France 5,499 Other countries 8,187 14,168 ———————— ———————— Total $36,109 $137,532

Arms, ammunition, and explosives: Germany $17,333 $172,171 United Kingdom 67,225 123,851 United States 39,331 102,317 France 76,569 Hongkong 27,009 57,847 Belgium 8,968 Other countries 34,778 9,076 ———————— ———————— Total $185,676 $550,799

Dry goods and miscellaneous articles: United Kingdom $2,583,430 $336,527 Germany 1,490,550 255,510 United States 1,801,962 205,638 France 1,495,523 142,928 Chile 143,322 134,417 Belgium 561,506 96,239 Cuba 35,374 78,049 Italy 62,563 17,509 Mexico 16,020 Ecuador 55,146 11,927 Japan 11,810 Hongkong 42,353 9,425 Spain 37,349 7,922 Other countries 156,830 3,314 ———————— ———————— Total $8,465,908 $1,327,235

Beverages: France $160,715 $173,850 Germany 88,049 87,241 United Kingdom 82,375 118,708 Portugal 69,449 63,736 Italy 45,447 43,350 Spain 31,919 51,224 Belgium 25,111 25,417 United States 16,394 10,331 Hongkong 4,185 Other countries 42,752 1,878 ———————— ———————— Total $562,211 $579,920

Comestibles and condiments: Australia $801,639 $1,013,886 Hongkong 507,400 626,795 United States 547,456 568,416 United Kingdom 370,549 322,906 Germany 345,219 273,677 Italy 182,726 185,579 Chile 497,755 94,935 France 89,290 Belgium 38,065 59,390 Spain 40,552 Portugal 56,154 28,181 Brazil 14,331 Japan 7,586 Other countries 227,306 6,466 ———————— ———————— Total $3,574,269 $3,331,990

Medicines and pharmaceutical products: United States $118,766 $212,933 Germany 131,346 210,426 France 76,106 177,568 United Kingdom 144,568 143,950 Italy 49,701 53,793 Belgium 12,983 Hongkong 10,321 Other countries 30,877 48,925 ———————— ———————— Total $551,364 $870,899

Articles not classified: Germany $16,224 United Kingdom 14,959 United States $94,696 14,725 France 51,229 7,494 Other countries 52,453 10,888 ———————— ———————— Total $198,378 $64,290

Uruguay

Articles Value Beverages $2,224,582 Chemical products, etc. 1,433,804 Chalk 52,661 Cement, Portland 981,279 Coal 2,742,100 Chinaware 187,546 Food products: Cheese 113,573 Coffee 365,174 Codfish 90,894 Chocolate 129,899 Sardines 91,011 Canned goods 89,599 Fruits 370,006 Indian corn 317,804 Oils 737,926 Potatoes $978,165 Peas 113,028 Wheat 109,620 Yerba maté 1,236,542 Sugar, refined and unrefined 2,338,379 Rice 637,092 Glass bottles and flask 97,323 Glass, window 307,585 Hides and skins and manufactures 66,805 Iron, steel and manufactures: Agricultural machinery and implements 552,319 Beams 555,211 Carriage springs 76,135 Enameled ware 150,108 Cutlery 63,195 Fence wire 848,326 Galvanized iron— Bars and sheets 144,958 For roofs 692,365 Hoops 76,279 Iron in bars and sheets 697,835 Machinery, for trades 634,419 Nails 38,933 Pipes— Iron 82,818 Galvanized iron 81,450 Rails 53,998 Screws and nuts 50,125 Live animals 905,318 Metals (other than iron and steel and manufactures of) 749,770 Oils: Benzine 283,636 Lubricating 129,168 Gasoline 45,009 Kerosene $85,784 Paints, dyes, inks, etc. 378,382 Paper, and manufactures of 1,031,812 Porcelain 59,749 Sulphur 79,996 Textile goods: Cotton 5,370,078 Linen 249,387 Silk 318,090 Woolen 1,773,931 Tobacco 1,321,860 Wood and manufactures of: Furniture 258,841 Other 2,680,597

Imported from Value United Kingdom $12,648,379 Germany 7,894,644 United States 5,671,318 Argentine 4,173,155 France 3,952,473 Italy 3,348,233 Belgium 3,333,938 Spain 2,143,455 Brazil 2,071,535 Chile 312,828 Australia 297,341 Netherlands 242,552 Cuba 186,004 Paraguay 166,601 Austria-Hungary 116,079 Portugal 31,567 —————————————— Total $46,590,102

Venezuela

Articles United United States Kingdom Germany France Agricultural implements, accessories $98,438 $166,525 $36,159 $408 Arms and ammunition 201,728 10,067 38,391 16,429 Automobiles and accessories 96,593 1,930 3,049 16,304 Bags and bagging 6,677 215,460 12,213 101 Beer 77 8,638 58,708 7 Biscuits 96,547 20,563 12,111 1,912 Bottles 493 6,884 129,871 93 Butter 137,977 2,692 168,080 47,443 Canned meats 95,892 17,050 20,418 16,950 Carbonic acid gas 1,022 939 4,585 49 Cement 66,461 23,246 25,954 17 Cheese 990 461 5,436 1,454 Coal 11,365 81,103 11,742 Confectionery 32,978 23,480 6,132 12,546 Cotton goods 449,663 2,745,304 378,992 75,396 Cotton knit goods 1,363 17,826 114,133 26,110 Drugs and medicines 287,718 32,625 111,579 130,989 Earthenware and crockery 3,324 11,602 46,280 1,387 Electrical apparatus and accessories 120,585 2,626 8,530 76 Flour 1,085,821 11,697 289 Glassware 22,828 1,929 39,681 5,998 Hams 72,697 795 679 20 Hats 8,150 2,619 203,438 7,980 Iron, and manufacturers of: Domestic wares 18,609 23,054 118,941 803 Manufactures 176,498 99,154 55,367 14,311 Tubes 40,410 17,486 7,034 Unfinished 42,356 17,708 10,400 214 Lamps, lanterns, and accessories 7,345 461 7,442 1,221 Lard 382,184 6,199 17 Leather 95,488 6,607 44,448 68,008 Machinery 289,850 90,596 62,944 20,200 Malt $125 $48,381 Nails, iron 16,931 $7,528 17,130 103 Oils: Benzine, gasoline, and naphtha 14,957 672 1,677 32 Crude petroleum 970 427 Engine 15,755 5,739 2,908 99 Kerosene 160,958 2,523 Linseed 4,298 1,597 14,548 57 Olive 279 4,035 2,799 8,749 Other 3,265 58 1,946 34 Olives and capers 1,286 1,268 918 5,072 Paints: Ordinary 31,644 4,852 15,035 407 Enamel

and colors 7,368 180 11,257 1,363 Paper: Printing 41,368 110 617 3 Other 26,427 5,999 53,263 2,045 Perfumery 54,518 16,664 22,800 66,381 Powder and dynamite 17,095 426 3,021 Railroad material 41,974 82,754 23,090 Rice 17,969 28,589 253,946 58 Sardines 1,663 8,241 81,780 11,349 Spices 27,115 268 5,708 123 Stearin and suet 5,205 1,938 1,098 1,507 Tobacco and products 5,171 2,392 2,946 106 Turpentine 8,063 133 668 15 Vegetables, dried 6,756 609 161 274 Wall paper 4,698 200 3,695 317 Window glass 942 207 4,088 569 Wines and liquors 13,024 84,255 66,239 159,342 Wire: Barbed 138,388 994 3,755 Galvanized and plain 13,762 2,537 4,982 Woolen goods 4,526 170,149 40,553 49,002 All other articles 1,079,696 178,356 767,354 987,960 ———————————— ———————————— ———————————— ———————————— Total $5,718,323 $4,281,026 $3,199,389 $1,761,410

Coin: Gold 1,114,115 3,860 78,744 Silver 778,176 ———————————— ———————————— ———————————— ———————————— Total, 1912 $6,832,438 $4,284,886 $3,199,389 $2,618,330 Total, 1911 5,219,577 5,253,865 3,195,945 1,857,564

Articles Netherlands All Other Total Agricultural implements, accessories $34,770 $29 $336,329 Arms and ammunition 17,816 74,834 359,265 Automobiles and accessories 117,876 Bags and bagging 10,135 2,658 247,244 Beer 17,617 85,047 Biscuits 2,577 987 134,697 Bottles 1,643 316 139,300 Butter 33,718 1,001 390,911 Canned meats 10,156 21,483 181,949 Carbonic acid gas 2,853 9,448 Cement 13,874 96 129,648 Cheese 55,255 3,678 67,274 Coal 4,009 4,298 112,517 Confectionery 6,374 16,522 98,032 Cotton goods 325,087 388,695 4,363,137 Cotton knit goods 44,657 226,667 430,756 Drugs and medicines 37,817 34,170 634,898 Earthenware and crockery 11,147 641 74,381 Electrical apparatus and accessories 2,625 2,285 136,727 Flour 1,097,807 Glassware 8,244 744 79,424 Hams 309 58 74,558 Hats 12,026 31,247 265,460 Iron, and manufacturers of: Domestic wares 25,872 331 187,610 Manufactures 11,011 7,152 363,493 Tubes 714 65,644 Unfinished 501 434 71,613 Lamps, lanterns, and accessories 1,290 327 18,086 Lard 388,400 Leather 9,736 1,099 225,386 Machinery 16,052 7,932 487,574 Malt $170 $48,676 Nails, iron 2,808 1,437 45,937 Oils: Benzine, gasoline, and naphtha 47 17,385 Crude petroleum 2,203 3,600 Engine 312 1,932 26,745 Kerosene 163,481 Linseed 2,374 22,874 Olive 5,382 180,728 201,972 Other 90 360 5,753 Olives and capers 891 13,746 23,181 Paints: Ordinary 1,751 2,332 56,021 Enamel and colors 2,073 254 22,495 Paper: Printing 157 522 42,777 Other 27,465 23,068 138,267 Perfumery 28,527 3,971 192,861 Powder and dynamite 1,955 22,497 Railroad material 16,078 1,000 164,896 Rice 311,139 3,030 614,731 Sardines 38,743 108,475 250,251 Spices 2,398 3,129 38,741 Stearin and suet 291,085 17,236 318,069 Tobacco and products 205 2,699 13,519 Turpentine 8,879 Vegetables, dried 95 1,257 9,152 Wall paper 335 26 9,271 Window glass 2,260 666 8,732 Wines and liquors 27,981 213,335 564,176 Wire: Barbed 143,137 Galvanized and plain 794 22,075 Woolen goods 14,167 13,885 292,282 All other articles 167,868 541,239 3,722,473 ———————————— ———————————— ———————————— ———————————— Total $1,666,354 $1,962,895 $18,589,387

Coin: Gold 4,648 1,201,367 Silver 778,176 ———————————— ———————————— ———————————— Total, 1912 $1,671,002 $1,962,895 $20,568,940 Total, 1911 1,340,904 1,527,034 18,394,889

INDEX

Acre Territory, 13

Advertising, 331

Advertising medicines, 332–333–335–336–337–338

Advertising rates, 338

Africa, 13, 176

Alcoholic drinks in Latin America, 253–373

Almagro, de, Diego, 67

Alpaca, 88

American attitude toward investments, 358

American Banks in Latin America, 290–298

American loans, 363

Angostura bitters, 130

Anguilla, 206

Antigua, 206, 209

Anti-typhoid vaccination, 369

Appendix, 375

Appointments in Latin America, 252

Argentine, 10, 13, 31; discoveries of, 31; history, 32; early government, 31; present government, 32–33; wars with England, 32; area, 33; Patagonia, treaty with Chile, 33; boundary, 34; population, 34; immigration, 35; typography, 35; climate, 36; crops, 36, 37, 38; seasons reversed, 38; butter and cheese, 38; flour, 38; animal products, 39; number of cattle, 39; minerals, 40; woods, 40; peat, 40; petroleum, 40; railways, 41–42; factories, 41; steamships, 43; docks, 44; British investments, 45; German investments, 45; daily papers, 45; money, 46; travellers' tax, 46; cities, 47; exports, 47; imports, 48, 375–376–377–378, 219; illiteracy, 331, 356

Asphalt, 133, 207

Austria-Hungary, 3–5–10

Ayolas, de, Juan, 57

Alvaredo, Pedro, 139

Bahamas, 206, 207, 210

Ballata, 132, 194, 196, 197

Bananas, 120–148–149, 172, 195, 196, 208, 364, 365

Banking, West Indies, 174, 195, 206

Barbados, 205, 207, 209

Barbuda, 206

Belgium, 5

Bermuda, 206, 210

Bills on London, 289, 291

Bismuth, 86, 87, 99

Bolivia, 13, 32; area, 79; climate, 80; population, 82; railways, 83; minerals, 86; forests, 87; currency, 88; drugs, 87; travelers' tax, 89; cities, 89; exports, 88–379–380; imports, 88–379

Bolivar (Simon), 80, 106, 114

Braden Copper Co., 73

British capital invested, 289

Brazil, 192–215; illiteracy, 332; imports, 380–381–382–383–384

Brazil, 6, 7, 10; area, 13; boundaries, 13; population, 14; discoverer, 14; history, 15; language, 14; early government, 15; present government, 16; climate, 17; geography, 17; coast, 17; ports, 18; rivers, 18, 19; products, 19; manufactures, 21; mines, 22; railways, 24, 29; hotels, 24; money, 24; imports, 25, 26; exports, 25, 26; preferential duty, 25; steamships, 27; cities, 29; travellers' tax, 30

British Guiana, 13–15, 191; early history, 192; topography, 192; temperature, 193; area, 193; exports and imports, 194, 195; travelers' tax, 194; banking, 195

British West Indies, 205

Bubonic plague, 254–371

Cabot, Sebastian, 31–57

Cabral, Pedro Alvarez, 14

Caicos Islands, 205

Canadian banks, 195–206, 299

Canal Zone, 143; currency, 152

Carib Indians, 168

Castro, Cipriano, 9

Cattle raising, 172, 179

Caymans, 205

Central American Federation, 139

Chicle (gum), 148, 149, 163

Chile, 13, 32; discoverers, 67; Indians of, 67; early history, 67; government, 68; area, 68; coast of, 68; mountains, 68; climate, 68; population, 69; foreign colonies, 69; railways, 69; rivers, 70; ports, 71; nitrate, 71, 72; iodine, 72; copper, 73; coal, 74; minerals, 74; crops, 74; wine, 74; cattle, 75; forests, 75; industries, 75; fruits, 75; exports, 76; imports, 76, 77; money, 76; business in hands of, 77; travellers' tax, 77; cities, 78; how to reach, 78–215, 219; illiteracy, 331, 356; imports, 384–385

Clothes for Latin America, 260

Cocaine, 87–101–102

Cocoa, 20, 132, 179, 207, 364

Coffee, 19, 88, 110, 119, 131, 135, 149, 183, 188, 196, 208, 364

Colombia, 13; discoverer, 114; early history, 114; area, 115; topography, 115; climate, 116; population, 116; present government, 117; railroads, 117; Bogota, 118; travel, 118; rivers, 119; agriculture, 119; coffee, 119; bananas, 120; Panama hats, 120; tagua nuts, 120; cattle, 120; hides, 121; mines, 121, 122; emeralds, 121; money, 122; imports, 123, 386; exports, 123; travellers' tax, 124; cities, 124; travel, 124; steamships, 125; ports, 125, 219–364

Columbus, Christopher, 114–126–139, 168, 176, 186

Commercial agencies, 306

Consuls for United States, 225, 259

Consular invoice, 323

Copper, 63, 110, 133

Copy, advertising, 339, 340; position of, 341

Cortes, Hernando, 138, 156

Correspondence in Latin America, 261

Costa Rica, early history, 138; present government, 140; area and population, 142; topography, 144; railways, 145; agriculture, 147; forests, 148; bananas, 149; coffee, 149; mines, 149; exports, 149; imports, 150, 151; currency, 152, 153; travellers' tax, 153; cities, 154; steamships, 154, 364

Cuba, 1, 2, 5; area, 169; topography and population, 169, 170; climate, 170; government, 170; railways and rivers, 171; sugar, 171; fruits, 172; mines, 172; exports, 173; imports, 173; currency, 174; banks, 174; travelers' tax, 174; principal cities, 175; rail and steamship connections, 169, 175; illiteracy, 331, 364

Curaçao, area, 200; population, 200; currency, 201; banking, 201; exports, 201; smuggling, 201; imports, 202; steamer connections, 202

Custom House rulings, 268–269, 270

Customs of Latin Americans, 248, 249

Customs and Tariffs, 266

Cuzco (city), 104

Denmark, 199

Devils’ Island, 197

Diaz (Porfirio), 158

Disease in Latin America, 109–253–254–264–369–370–371–373

Dominica, 206, 209, 210

Drinking Water in Latin America, 254–368–369

Dutch Guiana, 13–15, 191; population, 196; trade conditions, 196; exports and imports, 196; currency, 197; steamship connections, 197

Eating fruit, 373

Ecuador, 13; early history, 106; government, 107; area, 107; climate, 107; area and topography, 108; census, 108; railways, 109; revolutions, 109; diseases, 109; natural resources, 110; currency, 110; exports, 112; travelers’ tax, 112; imports, 112; principal cities, 112; how reached, 113; imports, 386

Electro cuts, 342

England, 2–3–5–123, 174, 183, 184, 199, 208, 209, 210, 220

English investments, 355

Europe, 3–4–6–7–12

European attitude toward investors, 360

European Possessions in the West Indies, 199, 205

Exchange, basis of, 300–301

Exchange buying, 291

Exports, Bolivia, 379–380

Export duties, 272

Federal Reserve Act, 309

Finance and Credits, 288

Financing improvements, 292

Foreign commerce statistics, 2–5–6

France, 5–13–47, 176, 183, 184, 197, 198, 199, 204, 205, 208, 220, 222

French banks, 290

French Guiana, 13–15, 191; extent and population, 197; exports, 197; imports, 198; travelers’ tax, 198; language, 198

Galapagos Islands, 107–112

Germany, 3–5–13–47–65–77–122–183, 184, 208, 215, 218, 219, 220

German banks, 289

German investments, 355

Gold exchange standard countries, 300

Gold standard countries, 300

Grenadines, 206

Granada, 206, 209

Guadeloupe (French possession), 204, 205

Guano, 99–102–134

Guatemala, early history, 139; present government, 140; area and population, 140; topography, 144; railways, 145; agriculture, 147; forests, 148; bananas, 148; coffee, 149; exports, 149; imports, 150, 151; currency, 152, 153; travellers’ tax, 153; cities, 153; steamships, 154; illiteracy, 332

Guyara Falls, 61

Haiti, early history, geography and climate, 182, 183; roads, 183; monetary system, 184; travelers’ tax, 185; principal cities, 185; steamships, 185

Health precautions, 253–368

Henequen (rope), 163, 172

Holland, 15, 192, 199 (West Indian possessions), 200

Honduras (British), early history, 139; present government, 140; area and population, 143; topography, 144; agriculture, 147; forests, 148; bananas, 149; exports, 149; imports, 150, 151; currency, 152, 153; travellers’ tax, 153; cities, 153; steamships, 154

Honduras (Spanish), early history, 139; present government, 140; area and population, 141; topography, 144; railways, 145; agriculture, 147; forests, 148; bananas, 149; mines, 149; exports, 149; imports, 150, 151; currency, 152, 153; travellers’ tax, 153; cities, 154; steamships, 154

Hotels, Latin America, 250

Huerta (Victoriano), 158

Illiteracy, 331

Imports, Argentine, 375–376–377–378 Brazil, 380–381–382–383–384 Bolivia, 379 Chile, 384 Colombia, 386 Ecuador, 386 Paraguay, 387 Peru, 103–388–389–390 Uruguay, 391–392 Venezuela, 393–394–395

Inconvertible paper standard countries, 300
Intestinal diseases, 370
Irala, Domingo, 57
Island of Margarita, 134, 136
Isle of Pines, 169
Italian banks, 290
Iturbide, Augustin, 139, 157
Ivory nuts (see tagua nuts)
Jamaica, 206, 207, 208, 209
Josephine, Empress of France, 204
Lake Titicaca, 83, 85, 96, 98
Latin America, 2, 4, 5, 6, 8, 9, 11
La Paz, 83, 84, 89
Leeward Islands, 205, 207
Leprosy, 372
Letters of Credit, 265, 303, 304
Letters of Introduction, 258
Literature for Latin America, 263
London and River Plate Bank, 288
Long credits, 309
Lopez, Carlos Antonio, 57–58
Madero (Francisco), 158
Mail in Latin America, 264
Marie Galante (French possession), 205
Martinique (French), 204, 205
Medicines for Latin America, 372–374
Meiggs (Henry), 97
Mendoza, de, Pedro, 31
Merchant Marine, Germany, 218
Merchants’ tax in Latin America, 257
Methods of Doing Business, 224, 227

Mexico, early history, 156, 157; revolutions, 158; form of government, 159; area, 160; topography, 160; population, 161; railways, 161; mineral wealth, 162, 163; forests, 163; exports, 164; imports, 165; monetary system, 165; commercial tax, 165; travel and hotels, 165; principal cities, 166; railroads, 166; steamships, 167, 219; illiteracy, 331

Monetary systems, 299

Montserrat, 206, 209, 210

Mountain sickness, 81

Nanduti lace, 62

Napoleon III, 158

Napoleonic Wars, 2

National Cash Register Co., 231

National City Bank, 308

Nevis, 206

New Granada, 114

Nicaragua, early history, 138; present government, 140; area and population, 142; topography, 144; railways, 146; agriculture, 147; forests, 148; bananas, 149; coffee, 149; mines, 149; exports, 149; imports, 150, 151; currency, 152, 153; travellers' tax, 153; cities, 154; steamships 154

Ojeda, de, Alonso, 114

Order blanks, 259

Packing instructions, 316, 317–319

Packing and shipping, 311

Packing weights, 315, 316

Panama (Republic of), early history, 139; present government, 140; area and population, 142; topography, 144; railways, 146; agriculture, 147; forests, 148; bananas, 149; mines, 149; exports, 149; imports, 150, 151; currency, 152, 153; travellers' tax, 153; cities, 154; steamships, 154

Panama hats, 101, 102, 111, 120, 123, 201

Paraguay, 13, 32; discoverers and early history, 57; present government, 58; population, 58–60; area, 59; climate, 59; roads, 60; railways, 60; soil, 61; rivers, 61; yerba mate, 62; quebracho, 63; minerals, 63; woods, 63; cattle, 63; money, 64; credits, 64; exports, 64–387; imports, 65, 387; travellers' tax, 65; cities, 65; shipping goods, 66

Passports, 265

Pearls, 134

Perry, Commodore, 213

Peru, 13; early history, 91; Chumus, 91; war with Chile, 92; government, 93; area, 93; population, 94, 95; railways, 96; mines, 99; petroleum, 100; exports, 100, 102; Panama hats, 101; currency, 101; travelers' tax, 103; principal cities, 104; exports, 103–388–389–390; imports, 103

Peruvian Balsam, 148

Peruvian Corporation, Ltd., 96, 97

Petitgrain, oil of, 62

Petroleum, 23–40–53–99–100–103–110–132–133

Philippines, 1–2

Pizarro, 67, 79, 91, 106

Plagiarism, 343

Population, 5, 10, 14

Porto Rico, 1, 2, 5; early history, 186; climate, 187; roads, 187; government, 187; exports, 188; principal cities, 189; steamship connections, 190, 204

Ports in Latin America, 313

Portugal, 223

Postage to Latin America, 263, 264

Power of Attorney, 279

Preferential duty, 25, 26, 208–210

Quebracho, 40, 41, 63, 64

Quinine, 102

Raleigh (Sir Walter), 192

Ratings of merchants, 305

Reciprocal opportunities, 347, 348, 350, 351, 352, 353, 354

Reciprocity, 345

Redonda, 206

Registration of Trade Mark, 279

Religious Processions, 250

Rubber, 20, 87, 96, 111, 120, 183

St. Barts (French possession), 205

St. Croix (Danish West Indies), 202, 203

St. John (Danish West Indies), 202

St. Kitts, 206, 209

St. Lucia, 206, 210

St. Martins, 205

St. Thomas (Danish West Indies), 202, 203, 204

St. Vincent, 206

Salesmen and Customer, 242

Salesmen’s requirement, 242

Sample cases for Latin America, 260

Santo Domingo, 5; early history, 176, 177; revolutions, 177; present government, 177, 178; area, 178; railways, 179; exports, 179; imports, 179; moneys, 180; American Bank, 180; travelers’ tax, 180; principal cities, 180; steamships, 180

San Salvador, early history, 139; present government, 140; area and population, 141; topography, 144; railways, 145; agriculture, 147; forests, 148; coffee, 149; mines, 149; exports, 149; imports, 150, 151; currency, 152, 153; travellers’ tax, 153; cities, 154; steamships, 154

Shipping instructions, 319, 320, 321

Silver standard countries, 300

Singer Sewing Mch. Co., 230

“Sirroche” (mountain sickness), 81

Sisal (see Henequen), 163

Solis, de, Juan Diaz, 31, 49

Souza, de, Thome, 15

Spain, 1, 2, 168, 177, 192, 223

Spanish banks, 290

Standard Oil Co., 230

Subway, 356

Sugar, 19–57–62–102, 110, 171, 179, 188, 194, 195, 196, 203, 207, 208, 209, 210

Swiss banks, 290

Tagua (nuts), 110, 111, 120, 123, 353

Tannin, 41

Thefts in Custom House, 270, 328

Theft en route, 328

Tin, 86, 87

Tobacco, 19, 53, 62, 64, 171, 179, 188

Tobago, 205

Tonka (bean), 132, 135

Torquemada, 268

Trade commissions, 214

Trade development, 212

Trade Marks, 276

Travel in Latin America, 251

Travelers' Tax, 174, 180, 189, 194, 245

Trinidad, 205, 206, 207

Tungsten, 99

United Fruit Co., 121, 364, 365

United States attitude toward Latin America, 274; indifference toward investments, 359–362

Uruguay, 13; discoverer, 49; early history, 49; war with Brazil, 50; government, 50; area, 50; climate, 51; population, 51; colonists, 51; rivers, 52; ports, 52; railroads, 52; agriculture, 53; minerals, 53; forest lands, 53; grazing lands, 53; packing houses, 53; cattle census, 54; money, 54; exports, 55; imports, 55, 391–392; travellers' tax, 55; cities, 56; steamships, 56

Vacuum Oil Co., 230

Valdivia, Pedro, 67

Vanadium, 99–102

Velasquez (Diego), 168

Venezuela, 8–13; early history, 126; boundaries, 127; government, 128; population, 129; rivers, 129, 130; railroads, 131; asphalt deposits, 132; cattle, 133; minerals, 133; money, 134; exports, 134; imports, 135; principal cities, 135; commercial fees, 135; steamships, 136, 192, 200, 219, 220; imports, 393–394–395

Virgin Islands, 206

Windward Islands, 206, 207

Wolfrain, 23–40–88

Woods, cabinet and dye, 21

Yellow fever, 254–371–373

Yerba mate, 19, 62, 64

TRANSCRIBER’S NOTES

1. Silently corrected typographical errors and variations in spelling. 2. Retained anachronistic, non-standard, and uncertain spellings as printed. 3. Enclosed italics font in _underscores_.

End of Project Gutenberg's Selling Latin America, by William E. Aughinbaugh